



THE PHILIPPINE
STOCK EXCHANGE, INC.
ANNUAL REPORT
2017



**EVOLVING INTO A
WORLD CLASS
STOCK EXCHANGE**

**Best Stock Exchange
in Southeast Asia 2017**



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ABOUT THE COVER

The Philippine Stock Exchange, Inc.’s (“PSE”) new logo is featured in this year’s cover of the Annual Report. The vibrant colors of the logo represent the dynamism of the Exchange, which has been demonstrated through its innovative product development programs, technology upgrades, continuing regulatory reforms and rigorous benchmarking exercises. All these initiatives are undertaken to bring the PSE closer to its vision of becoming an exchange with world class standards. The intertwined ribbons also represent the unification of the Ayala and Tektite trading floors in the new PSE building – PSE Tower – which is likewise featured in the cover.

VISION, MISSION & CORPORATE VALUES

VISION

A premier exchange with world-class standards for trading securities and raising capital that serves as a strong engine for a robust economy.

MISSION

Offer products and services responsive to the needs of investors and other stakeholders

Provide a facility for fair, accurate, complete and timely information about listed companies, while extending market education and awareness programs to investors

Be a preferred venue for raising capital

Practice and promote good governance within the Exchange and among listed companies and trading participants

Operate efficiently to optimize shareholder value

Adopt world-class systems and global best practices for an efficient, fair and orderly market

Develop a highly motivated and professional workforce, committed to serve and excel

CORPORATE VALUES

Professionalism in delivering quality service and in meeting the highest standards of excellence

Integrity, transparency and accountability in implementing business programs and enforcing decisions

Teamwork in working towards a common and favorable goal for the market

Mutual respect in relating with fellow employees

Inner strength in prioritizing the common good of the market instead of individual interest

Corporate responsibility in promoting market growth hand in hand with community welfare

FINANCIAL HIGHLIGHTS

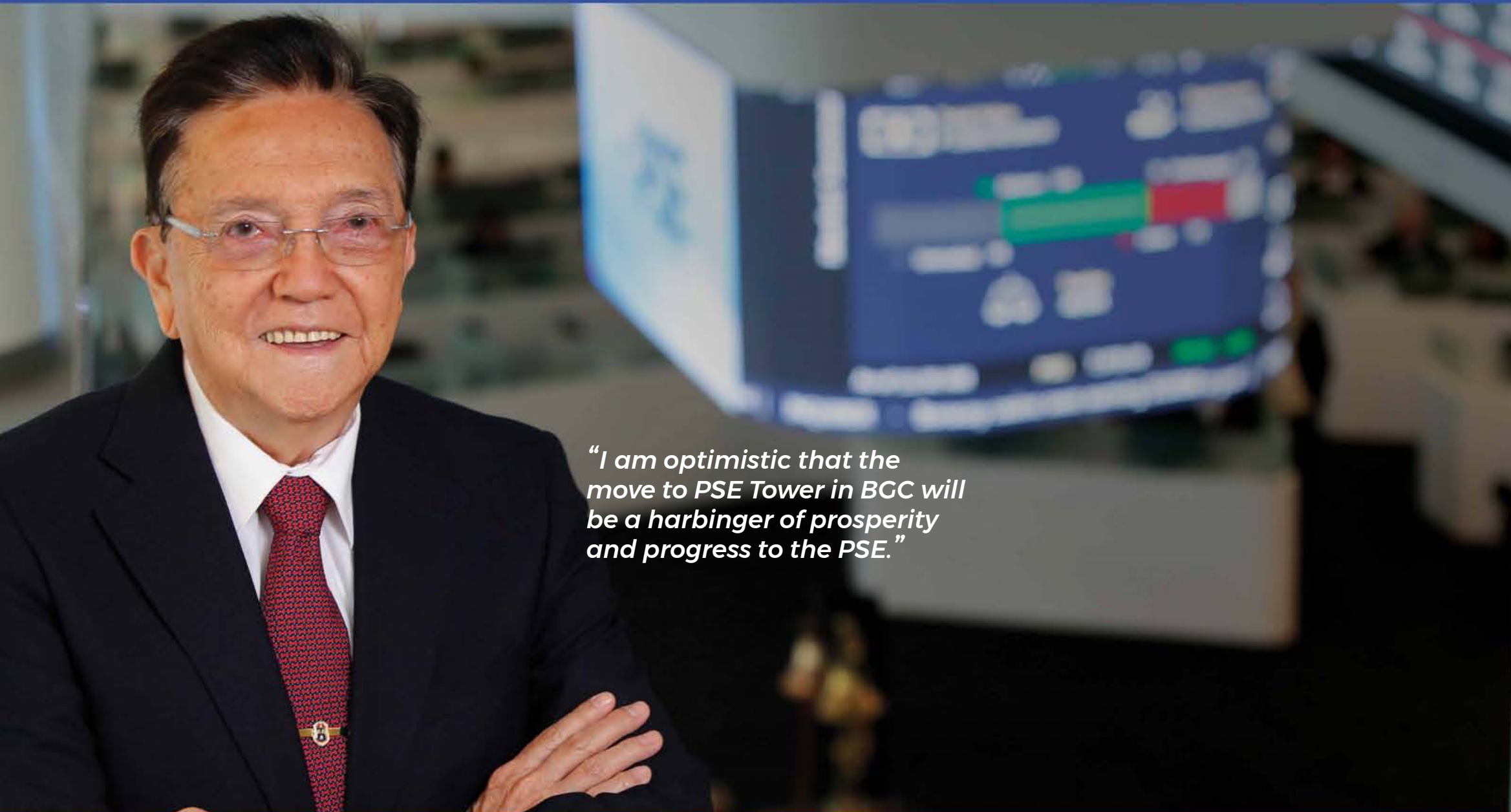
THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES

TABLE 01

[IN THOUSAND PESOS]	CHANGE			
	2017	2016	AMOUNT	%
RESULTS OF OPERATIONS				
OPERATING REVENUES	1,225,519	1,263,286	(37,767)	(2.99)
LISTING FEES, MAINTENANCE & PROCESSING FEES	494,946	558,907	(63,961)	(11.44)
TRADING FEES, DATA FEED & SUBSCRIPTION	335,337	303,190	32,147	10.60
SERVICE FEES	349,708	344,553	5,155	1.50
OTHERS	45,528	56,636	(11,108)	(19.61)
TOTAL EXPENSES	592,859	592,597	262	0.04
COST OF SERVICES	246,512	245,268	1,244	0.51
ADMINISTRATIVE EXPENSES	346,347	347,329	(982)	(0.28)
OTHER INCOME	405,932	204,756	201,176	98.25
INCOME BEFORE INCOME TAX	1,038,592	875,445	163,147	18.64
NET INCOME AFTER TAX	828,085	701,541	126,544	18.04

TABLE 02

YEAR-END FINANCIAL CONDITION				
TOTAL ASSETS	3,701,274	3,428,826	272,448	7.95
CASH AND CASH EQUIVALENTS	811,661	833,795	(22,134)	(2.65)
FINANCIAL ASSETS AT FAIR VALUE THROUGH PROFIT OR LOSS	319,001	230,900	88,101	38.16
AVAILABLE-FOR-SALE INVESTMENTS	513,916	550,067	(36,151)	(6.57)
PROPERTY AND EQUIPMENT	1,454,334	1,200,316	254,018	21.16
TOTAL LIABILITIES	369,502	413,008	(43,506)	(10.53)
CURRENT LIABILITIES	355,860	400,293	(44,433)	(11.10)
PENSION LIABILITY	13,642	12,715	927	7.29
EQUITY	3,331,771	3,015,818	315,953	10.48



“I am optimistic that the move to PSE Tower in BGC will be a harbinger of prosperity and progress to the PSE.”

MESSAGE FROM THE CHAIRMAN

Dear Shareholders,

I have had the privilege of seeing how the PSE has swiftly progressed in the last five years or so in terms of product offerings, technology innovations, governance standards, and stakeholder engagement. Last year was no exception, considering the accomplishments of the Company in these areas. All the changes we have seen, big and small, served as key elements in directing PSE's path towards becoming a world-class exchange.

As we ticked off items on the list of products that are needed in our market, we also look at how we can compete in size as an emerging equities market. In this aspect, several factors dictate the amount of trading activity and the number of capital raising exercises. Among these factors are economic conditions, interest rates, and global geopolitical concerns. Fortunately for the Philippines, the domestic economy remained robust, with 2017 GDP growth at 6.7 percent. This marks six straight years of economic growth of more than six percent. Local developments also tempered any potential effect by geopolitical tensions overseas. The passage of the tax reform bill in both houses of Congress was eagerly welcomed while interest rates generally remained intact.

New stock market record

All the positive news outweighed the negative ones and this brought the PSE index to unprecedented levels. The PSEi climbing to a fresh-intraday high at 8,640.04 points and closing the year at a record 8,558.42 points were supported by foreign funds. Net foreign buying surged to Php56.20 billion in 2017, from a mere Php2.80 billion in 2016. Total market capitalization also reached an all-time high during the year at Php17.58 trillion.

Capital raising at the PSE

While market sentiment was positive for most of the year, this did not translate to as many initial public offerings (IPO) as targeted. There were four IPOs during the year, matching the count in 2016. Two of the four companies that debuted in the market were based in the southern part of the country – one in Cebu, another in Davao. I hope that their example will encourage other companies based in major cities outside of Metro Manila to also consider tapping the stock market for their capital requirements.

Last year, we paved the way for the listing and trading of Dollar Denominated Securities. We were hopeful that we will see developments in Public-Private Partnership (PPP) project listings. However, the administration's preference for Official Development Assistance in funding infrastructure projects has stalled any potential PPP listing applicant. We are still hopeful, however, that this product will eventually be utilized for capital raising in the near future.

New Leadership

Outside of the product and technology sphere, the most notable change in the Company was the election of a new PSE President and CEO. Ramon S. Monzon was a colleague in the Board for two years before he assumed his latest role in May. I have introduced him as our numbers guy and he has truly lived up to this, always looking at how the Company can maximize every peso spent and at the same time reducing costs. I have always been fascinated with his pragmatic way of dealing with situations and concerns. I know that our Management Team will learn much from his leadership style and work attitude.

Corporate governance stance

The PSE as a regulator has had to make tough decisions over the years. Some stakeholders do not look kindly on the stance taken by the Exchange but the PSE, as a self-regulatory organization, is duty-bound to uphold its listing and disclosure requirements to maintain a fair and orderly market. In as much as we want to have more listed companies in our registry, it is inevitable that firms which repeatedly fail to comply with the Exchange's rules and regulations will have to be penalized. Thus, there have been cases where we were compelled to delist companies.

The PSE also embarked on a compliance plan to finally reduce broker ownership to the statutory levels.

In both instances, PSE accorded the listed company and the inactive trading participants due process as prescribed in its procedures.

New era in PSE history

The new headquarters of the PSE will bear witness to many more milestones in the Exchange's history. Foremost among these was the unification of the Ayala and Tektite trading floors into one. It is but fitting that the move to one trading floor has happened as the Exchange commemorates the 25th anniversary of the unification of the Manila and Makati Stock Exchanges.

I am optimistic that the move to PSE Tower in BGC will be a harbinger of prosperity and progress to the PSE.

So many good things transpired in 2017, and I can only be hopeful that even greater things await us in 2018.

My gratitude goes to you, our shareholders, for your continued faith in the PSE Board of Directors, Management and Staff to uphold our commitment of making the PSE a world-class exchange. I hope that you will continue to support us as we also work towards the advancement of the Philippine capital markets.

Mabuhay!


Jose T. Pardo
Chairman

“I have had the privilege of engaging and dialoguing with our various stakeholders and I look forward to more of these as we all work together to bring about a more competitive and world-class stock exchange.”

attracted the biggest attendees ever in PSE road show history, an indication of the interest that our kababayans have in learning how to invest in the stock market. In addition, we will continue to conduct our regular investment literacy platforms like webinars, which allow us to connect with those in the provinces as well as overseas Filipinos, and stock market 101 seminars at our head office. We recently added a Saturday session in our monthly schedule to accommodate working individuals who cannot attend our weekday seminars.

In line with our mission to promote good governance among listed companies and trading participants, we made enhancements to the PSE Bell Awards for Excellence in Corporate Governance. We introduced the “category awards” to give recognition to listed companies and trading participants that did exceptionally well in specific areas related to corporate governance. This enabled us to see that we have several listed companies that have made impressive headways in their sustainability, investor relations and compliance and ethics programs.

Company Financial Performance

Trading-related income increased by 10.6 percent this year to Php335.34 million. This was due to an improvement in trading activity and an increase in subscription fees and market data sales. Listing-related income, on the other hand, was down by 11.4 percent to Php494.95 million. Total operating revenues was slightly lower by 3.0 percent to Php1.23 billion.

In preparation for its migration to its new headquarters in BGC, PSE sold its Tektite property in 2017, realizing a pre-tax profit of Php205.70 million from the transaction. This doubled the Company's other income to Php405.93 million.

Management's efforts to control expenditures resulted in the Company showing a negligible increase in total expenses for the year. Continuing with our expense rationalization campaign should yield a further reduction in our operating expenses for 2018.

For 2017, PSE's net income rose 18.0 percent to Php828.09 million from Php701.54 million last year.

Your Board approved the declaration of Php9.00 in cash dividends, consisting of Php5.24 in regular dividend and Php3.76 in special dividend. This is equivalent to a payout ratio of 79.8 percent, substantially higher than the 50 percent dividend policy of the company.

To cap the year, PSE was recognized as the “2017 Best Stock Exchange in Southeast Asia” by institutional investment magazine Alpha Southeast Asia. This recognition by third party institutions is a testament to the collaborative endeavour of everyone towards the development of our capital markets. This award will inspire and motivate us to do even better next year.

The PSE has long envisioned itself to be a premier Exchange operating in accordance with world-class standards. Through the years, this vision has served and continues to serve as Management's inspiration and driving force as it pursued projects and activities for the development of the Philippine capital market. With all we accomplished in 2017, we believe that we made significant strides towards this aspiration.

I personally want to thank everyone who supported me from day one, especially the Board of Directors and the PSE management and staff. Being at the helm of PSE is a pretty complex job, one that is marked by new and recurring daily challenges. Overcoming said challenges is not a one-man job but requires teamwork from above and below. I have had the privilege of engaging and dialoguing with our various stakeholders and I look forward to more of these as we all work together to bring about a more competitive and world-class stock exchange.

Finally, we invite you to visit us at our new offices at PSE Tower along 5th Avenue corner 28th Street in BGC in Taguig City. We look forward to seeing you in our new headquarters.



Ramon S. Monzon
President and CEO

MESSAGE FROM THE PRESIDENT

Dear Shareholders,

When I joined the Board of the Philippine Stock Exchange (PSE) in May 2015 as an Independent Director and Chairman of the Audit Committee, little did I imagine that two years later I would be appointed as the President and CEO of this august institution. The stock exchange is the beating heart of a country's economy and the responsibilities that go with its leadership are quite demanding and challenging, to say the least. Because of the many pressing issues confronting PSE when I took over, I didn't have the luxury of going through a learning curve and had to hit the ground running. Immediate attention and action needed to be taken on the long festering issue of PSE's compliance with the Securities Regulation Code's prescribed ownership limit of trading participants in the Exchange. We had to conduct a series of discussions and consultations with the involved stakeholders to be able to craft a doable and acceptable compliance plan.

The PSE is the second oldest stock exchange in the ASEAN region tracing its roots to 1927 when the Manila Stock Exchange was established (Indonesia started their stock exchange in 1912). Unfortunately, notwithstanding PSE's substantial head start, it presently finds itself being the smallest stock exchange in ASEAN in terms of some important metrics: product offerings, trading volume and number of listed companies. The present PSE leadership recognizes the need to focus and improve on these metrics and embraces the challenge to create and launch initiatives that would enable PSE to catch up and be at par with its peers in the next five years.

Two new products were introduced by the PSE at the start of 2017: 1) the Dollar Denominated Securities (DDS) and 2) the Public Private Partnership (PPP) securities listing. Soon after all the necessary regulatory and operational imperatives to trade

DDS were set in place, the first DDS offering took place in March followed by two more in December. These three DDS offerings raised a total of US\$367 million. We look forward to seeing more DDS issuances by listed companies that require funding in U.S. dollars.

PSE has submitted to the Securities and Exchange Commission (SEC) in December its proposed short-selling rules and guidelines and we hope to get SEC's approval in time for its planned launch in the second half of 2018. We are also awaiting SEC's approval of the proposed rules and guidelines for the introduction and trading of structured warrants that have been pending for some time now. Finally, we are awaiting SEC's approval of the guidelines we submitted in January 2018 for our NOCD (name on central depository) initiative which would greatly increase the trust and confidence investors will have in the market as they will now be able to receive directly from the stock depository regular reports on their stock transactions and positions.

In addition to these new product initiatives, Management is looking forward to the trading of REITS by the fourth quarter of 2018 now that the tax issue that discouraged its implementation since 2009 has been favourably resolved. It has also engaged an executive search firm to help recruit an experienced marketing professional who can champion and head PSE's project to identify and attract more companies for listing, both in the Main and SME boards. Management has also tapped and invited different capital market experts to comprise a task force that will study and formulate the policies and guidelines for the trading of derivatives in our market.

Finally, Management embarked on an initiative to establish a close working relationship with the Shenzhen Stock Exchange (SZSE). SZSE is the third biggest stock exchange in the world

in terms of trading volume (NYSE and NASDAQ being first and second) and the biggest in terms of new IPO's every year. A delegation from SZSE headed by its Chairman and other top executives visited PSE in December resulting in the reactivation of an old existing Memorandum of Understanding between PSE and SZSE and updating and expanding the areas of cooperation covered therein.

The DDS offerings mentioned above, together with other fund raising activities of listed companies, brought the total capital raised in the market to Php164.76 billion for 2017. Amidst the uncertainties and risks that gripped the financial markets in 2017, market participants, including issuers and investors, remained steadfast in their confidence in the resilience of our markets. In fact, we closed 2017 with the second best performing benchmark index in the ASEAN region with the PSEi generating a return of 25.1 percent.

Average daily turnover for our market in 2017 increased by 3.2 percent to Php8.06 billion from Php7.81 billion the previous year. Total trades for the year were at about the same levels for foreign investors (50.3 percent) and local investors (49.7 percent). What's noteworthy though is that for this year, foreign investors were in a net buying position of Php56.20 billion compared to just Php2.80 billion in 2016. Nevertheless, we are also pleased to see that more Filipinos are now invested in the market. Our preliminary data for 2017 show the number of retail accounts to be 841,306, a 12.7 percent increase from last year's 746,595. A big chunk of this increase was accounted for by the increase of online accounts this year to 406,117 from 302,516 or an increase of 34.2 percent.

We will continue with our thrust to educate more Filipinos about the importance of saving and investing. The road shows we held in Iloilo and Davao in 2017 were quite successful and

THE PHILIPPINE STOCK EXCHANGE, INC.

ABOUT US

The Philippine Stock Exchange, Inc. (PSE) is one of the fastest growing market in the region. Among the pioneer exchanges in Asia, it traces its origins from the country's two former stock exchanges, the Manila Stock Exchange (MSE), which was established in 1927, and the Makati Stock Exchange (MkSE), which was established on May 27, 1963.

Although both the MSE and the MkSE traded the same stocks of the same companies, the bourses were separate stock exchanges for nearly 30 years until December 23, 1992, when both exchanges were unified to become the present-day Philippine Stock Exchange.

In June 1998, the Securities and Exchange Commission (SEC) granted the PSE a "Self-Regulatory Organization" (SRO) status, which meant that the bourse can implement its own rules and impose penalties on erring trading participants (TPs) and listed companies.

In 2001, one year after the enactment of the Securities Regulation Code, the PSE was transformed from a non-profit, non-stock, member-governed organization into a shareholder-based, revenue-earning corporation headed by a President and Board of Directors. The PSE eventually listed its own shares on the Exchange (traded under the ticker symbol "PSE") by way of introduction on December 15, 2003.

From having two trading floors, one at the PSE Centre (TekTite), Ortigas Center in Pasig City, and one at its former principal office at the Ayala Tower One & Exchange Plaza in Makati City's Central Business District, PSE now has a new headquarters and trading floor in PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City, Taguig City.

As of end December 2017, products traded at the PSE include shares of 267 listed companies and an exchange traded fund.

The PSE is a member of the World Federation of Exchanges and the Asian and Oceanian Stock Exchanges Federation.



Best Stock Exchange in Southeast Asia

Excellence is embedded in the mission and values of the PSE. As such, the Company always strives to deliver exceptional work and service. A testament to PSE's outstanding performance in 2017 is the Best Stock Exchange in Southeast Asia award conferred by institutional investment magazine, Alpha Southeast Asia.

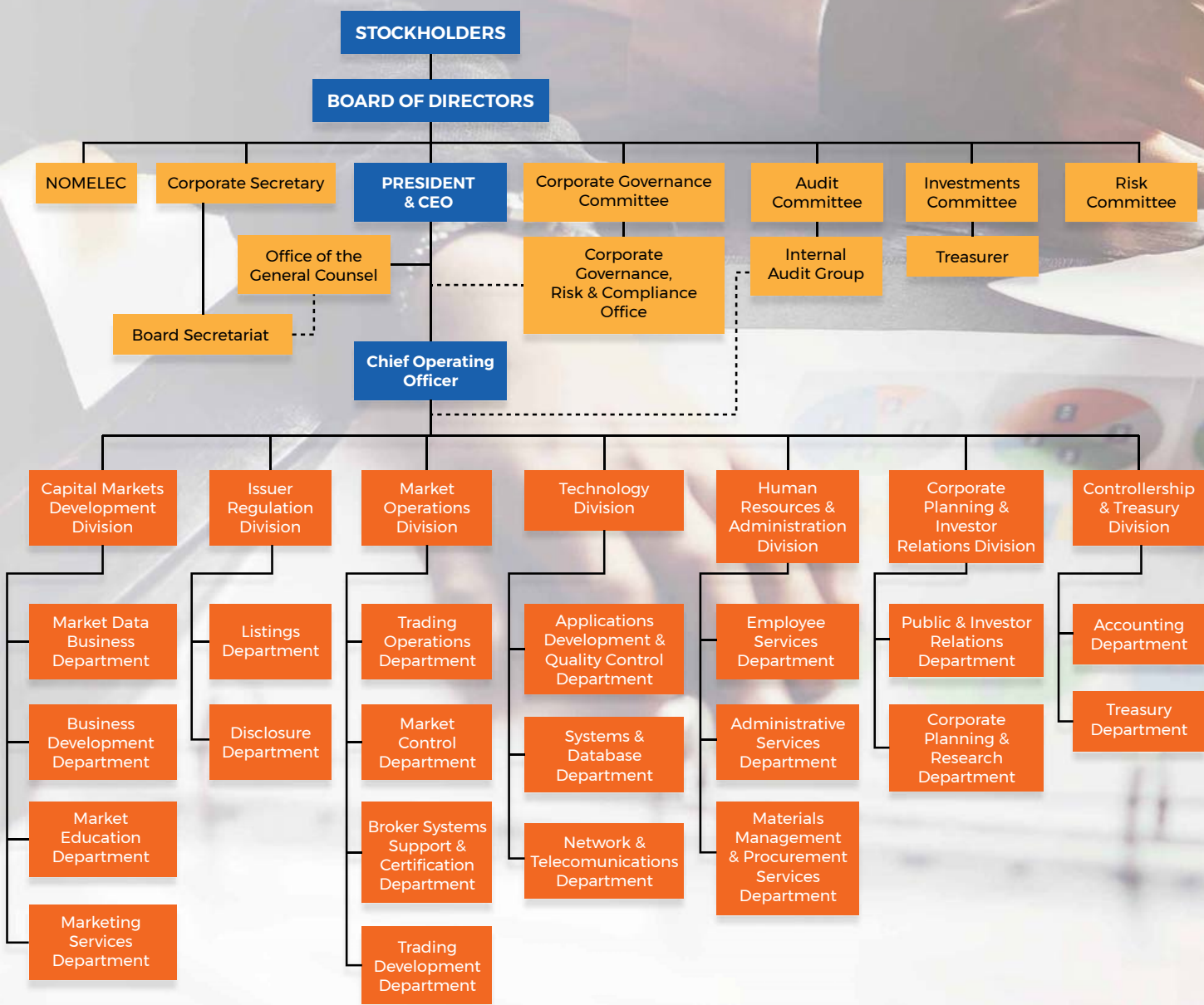
The award-giving body cited the technology developments, product launches, and investment literacy initiatives of the PSE. It noted, "The Philippine Stock Exchange stands apart given its continuing investments in its internal systems to facilitate the upside potential the country now represents after years in the shadows of its neighbors."

The PSE bagged the same award in 2013, 2015 and 2016.



ORGANIZATIONAL STRUCTURE

FIGURE 01



CORPORATE GOVERNANCE AT THE PSE

BOARD OF DIRECTORS



JOSE T. PARDO
CHAIRMAN-INDEPENDENT DIRECTOR

Mr. Pardo became an Independent Director of the PSE on January 26, 2011, and has been its Chairman since May 2011. He is the Chairman of the Corporate Governance Committee of the Exchange. He is also the Chairman of the Securities Clearing Corporation of the Philippines. He is Independent Director and Chairman of the Philippine Savings Bank*, Bank of Commerce, and Philippine Seven Corporation*, and Independent Director of JG Summit Holdings, Inc.* He is likewise a Director of the National Grid Corporation of the Philippines, ZNN Radio Veritas, Araneta Hotels, Inc., Monte Oro Grid Resources Corporation and League One Finance and Leasing Corporation. Mr. Pardo held various positions in government including Secretary of the Department of Finance and Secretary of the Department of Trade and Industry. Mr. Pardo is Chairman of the Council of Business Leaders of Employers Confederation of the Philippines, Philippine Chamber of Commerce, Inc., and Philippine Business Center, Inc. Mr. Pardo obtained his Bachelor of Science in Commerce and his Master's degree in Business Administration at the De La Salle University in Manila. In February 2018, he was conferred an Honorary Doctorate in Finance by the De La Salle University.



RAMON S. MONZON
PRESIDENT AND CEO

Mr. Monzon started serving as PSE President and Chief Executive Officer (CEO) in May 2017. He is the concurrent President and Director of the Securities Clearing Corporation of the Philippines. He is the Chairman of The Philippine Stock Exchange Foundation, Inc. and member of the Board of Trustees of the Securities Investors Protection Fund, Inc. He was an Independent Director of the Exchange from 2015 to 2017 and served as Chairman of the Audit Committee and member of the Risk Oversight and Nominations and Elections Committees. Mr. Monzon is the Vice Chairman of the Board of Directors of Philippine Dealing System Holdings Corporation (PDSHC). He is also a Director and Member of the Executive, Risk, Audit, Nomination and Remuneration and IT Steering Committees of PDSHC, Philippine Dealing & Exchange Corporation, Philippine Depository & Trust Corporation and Philippine Securities Settlement Corporation. He also serves as CEO of PDSHC. He is currently a Director of PCD Nominee Corporation and the Chairman and President of PH GSA, Inc., Xpert Air Services, Inc., Karilagan Int'l Travel & Tours Corp., and Carousel Productions, Inc. From October 1995 to March 2012, he was the Vice Chairman and Chief Operating Officer of Citadel Holdings, Inc. and served as President and CEO of Citadel's subsidiaries which included companies in aviation services, airline passenger and cargo general sales agency. He was the President and CEO of Pacific Rim Export & Holdings Corp. from 1988 to 1995 and was the EVP and Chief Operating Officer of Radio Philippines Network, Intercontinental Broadcasting Corp., Banahaw Broadcasting Corp. and Sining Makulay, Inc. from 1984 to 1986. He was also a Partner at SyCip Gorres Velayo & Company from 1982 to 1984. Mr. Monzon holds a Master of Business Administration degree from the Chicago Booth School of Business, a Bachelor of Arts degree major in Political Science from the Ateneo de Manila University, and a Bachelor of Science degree major in Accounting from the Manuel L. Quezon University. He is a Certified Public Accountant and a Fellow of the Institute of Corporate Directors.



EMMANUEL O. BAUTISTA
DIRECTOR

Mr. Bautista has been a Director of the PSE since May 2011 and a member of the Exchange's Risk Management and Investments Committees. He also serves as Director of the Securities Clearing Corporation of the Philippines and the Philippine Depository and Trust Corporation. He is an independent Director of AIG Philippines Insurance, Inc. He is currently the Chairman and Chief Executive Officer of Deutsche Regis Partners, Inc., an affiliate of Deutsche Bank AG, where he has worked since 1994. From 1986 to 1994, he was connected with Pepsi Co., Inc. both in New York and in Manila. He was Director of Strategic Planning and member of the Executive Committee of PepsiCo Philippines. Mr. Bautista trained as an analyst at Philippine American Investment Corporation and Bank of America in Los Angeles. He graduated from the Ateneo de Manila University with a Bachelor of Science degree in Management Engineering. He holds a Master's degree in Business Administration from Georgetown University, USA.



ANABELLE L. CHUA
DIRECTOR

Ms. Chua first became a Director of the PSE in 2004 until May 2010 and has been a Director since May 2011. She is a member of the Exchange's Audit Committee. She has been the Chief Financial Officer of the PLDT, Inc.* Group since May 2015, and was previously the Chief Financial Officer of Smart Communications, Inc., and Treasurer of PLDT, Inc.* She is currently a director of Manila Electric Company* and a member of its Audit, Risk and Finance Committees. Her prior professional experience includes holding various positions at Citibank N.A. and the Solid Pacific Finance Ltd. in Hong Kong. Ms. Chua graduated magna cum laude from the University of the Philippines with a degree in Business Administration and Accountancy and was a consistent university scholar for 10 semesters. She topped the Certified Public Accountant Licensure Examination in October 1982.



FRANCIS CHUA
DIRECTOR

Ambassador Chua was a Director of the PSE in 2002 and has been re-elected as Director from 2010 up to the present. Under his watch as Chairman of the Demutualization Committee, PSE's demutualization was unanimously approved by all its members. He was appointed as Member of the APEC Business Advisory Council (ABAC). He is the Founding Chairman of BA Securities and the Chairman Emeritus of the Philippine Chamber of Commerce and Industry Inc. (PCCI) as well as an Honorary President of the Federation of Filipino-Chinese Chambers of Commerce and Industry Inc. (FFCCII). He is also the Founding Chairman of the International Chamber of Commerce, Philippines (ICCP) and Founding Chairman of the Philippine Silkroad International Chamber of Commerce. He is currently the Chairman of both the Foundation for Crime Prevention and the Philippine Business Center. He served as President of three of the most influential business organizations in the country - PCCI (2010 to 2011), Chamber of Commerce of the Philippine Islands Inc., (2005 to 2007) and FFCCII (2005 to 2007). Amb. Chua is also the Consul General (ad honorem) of the Honorary Consulate General of Peru in Manila since 2006. In 2007, he was appointed Special Envoy for Trade and Investments by the Office of the President. He is the Chairman of the Board of DongFeng Automotive Philippines, and the Green Army Foundation. He is the Vice Chairman of the Board of 2GO Group, Inc.* and Negros Navigation, Vice Chairman and Executive Committee Chair of Bank of Commerce and Vice Chairman of Basic Energy Corporation*. He has served as Director of various companies and academic institutions and has been conferred several awards by different organizations.

BOARD OF DIRECTORS



DAKILA B. FONACIER
INDEPENDENT DIRECTOR

Mr. Fonacier has been a PSE Director since May 2011. He is a member of the Company's Audit, Risk Management, and the Nominations and Elections Committees. He is also the Chairman of Capital Markets Integrity Corporation and Director of the Securities Clearing Corporation of the Philippines. He is a Director of McManus Ventures, Inc. and Country Builders Bank. Mr. Fonacier held various positions in government including Commissioner of the Bureau of Internal Revenue, Undersecretary of the Finance Department, and Undersecretary of the Trade and Industry Department. He earned his Master's degree in Marketing and Finance from J.L. Kellogg Graduate School of Management Northwestern University in Chicago, Illinois and obtained his Bachelor's degree in Accounting, cum laude, from the University of the Philippines. He ranked fifth in the Certified Public Accountant Licensure Examination in 1968.



EDDIE T. GOBING
DIRECTOR

Mr. Gobing has been a PSE Director since 2001 and has held various positions in the Exchange since 1998. He is the Chairman of the Exchange's Risk Management Committee. He has also been a Director of the Securities Clearing Corporation of the Philippines since 2008. Mr. Gobing is a Trustee of the PSE Foundation. He is the Treasurer of the Manila Stock Exchange Foundation. Mr. Gobing is the President of Lucky Securities Inc. and E.G. & Sons Insurance Agency Inc.; Chairman of Jacqui Foods Corp., G.G. Food Chain Corp., and J.G. Food Corp.; and President of Teishoku Dining Concepts, Inc. Mr. Gobing graduated with a Bachelor of Science degree in Management from the University of Santo Tomas.



AMOR C. ILISCUPIDEZ
DIRECTOR

Ms. Iliscupidez has been a Director of PSE since April 2006. She is a member of the Audit, Corporate Governance, Risk Management and Investments Committees of the Company. She has been a Director of the Securities Clearing Corporation of the Philippines and a member of its Audit and Fails Management Committees since January 2011. She was a Director of Capital Management Integrated Corporation from July to September 2013. She is also a Director of the Bank of Commerce since April 2008 and is a member of its Executive, Trust Investment and Nomination and Compensation Committees. She is a member of the Board of Trustees of San Miguel Corporation Retirement Plan and other subsidiaries. She was the General Manager of San Miguel Corporation Retirement Funds Office since February 2006 up to June 30, 2017. She was also the General Manager at Anchor Insurance Brokerage Corporation from 2003 to 2005 and was Assistant Vice President and Manager of the SMC Group Financial Services from 2001 to 2003. Ms. Iliscupidez was also Finance Manager of several subsidiaries and business units of San Miguel Corporation*. She graduated cum laude with a Bachelor of Science Degree in Business Administration, major in Accountancy, from the University of the East. She is a Certified Public Accountant.



EDGARDO G. LACSON
DIRECTOR

Mr. Lacson has been a PSE Director since May 2011 and is a member of the Corporate Governance Committee and the Chairman of the PSE Bell Awards Committee. He is the President of MIS Maritime Corporation, Safe Seas Shipping Agency, Marine Industrial Supply Corporation, and EML Realty. He is the Chairman of Metrostore Corporation and a Trustee of De La Salle University, Philippine Petroleum Sea Transport Association, and the Management Association of the Philippines. In addition, he is the Chairman of the Employers Confederation of the Philippines, Honorary Chairman of the Philippine Chamber of Commerce and Industry and Independent Director of Puregold Price Club, Inc.* and Global Ferronickel Holdings, Inc.* He finished his Bachelor of Science in Commerce degree major in Accounting from De La Salle College.



VICENTE L. PANLILIO
INDEPENDENT DIRECTOR

Mr. Panlilio is presently an Independent Director of PSE for 2017 and is a member of the Exchange's Corporate Governance Committee. He also served as PSE Independent Director partially in 2009. He was formerly Director of Far East Bank and Trust Company, Philippine National Bank*, Equitable-PCI Bank and Bank of Commerce. He also served as a director of Manila Electric Company* and is an incumbent director of San Fernando Electric Light and Power Company. Mr. Panlilio graduated from the University of the Philippines and also attended the Asian Institute of Management for the Advanced Bank Management Program.



WILSON L. SY
DIRECTOR

Mr. Sy is a stock market veteran with over four decades of professional experience. He is the Chairman of Wealth Securities Inc. Mr. Sy served as the Chairman of the Manila Stock Exchange from 1994 to 1999 and the Philippine Stock Exchange from 1996 to 1998. He is currently the Chairman of the Manila Stock Exchange Foundation. Mr. Sy is also the fund manager of Philequity Fund, one of the most successful and longest running mutual funds in the country. At present, Mr. Sy is a Director of various companies such as Philequity Management, Vantage Equities Inc.*, Asian Alliance Holdings, East West Banking Corporation*, Leisure & Resorts World Corporation*, Xcell Property Ventures and Monte Oro Resources & Energy. Mr. Sy is a columnist for the business section of The Philippine Star and is the author of the book "Opportunity of a Lifetime."

BOARD OF DIRECTORS



EUSEBIO H. TANCO
DIRECTOR

Mr. Tanco has been a Director of the PSE since 2007 and is also a member of the Company's Audit and Corporate Governance Committees. He is the Chairman of STI Education Systems Holdings, Inc.*, STI-West Negros University, Delos Santos-STI College, Inc., Philhealth Educators, Inc., Mactan Electric Company, Philippines First Insurance Co., GROW Vite, Eximious Holdings, Inc., Venture Securities, Inc. and Prudent Resources, Inc. He is the Vice Chairman and President of port operator Asian Terminals Inc.*, President of Bloom with Looms Logistics, Inc., Total Consolidated Asset Management Inc., Prime Power Holdings, Inc., Tantiy Holdings, Inc., Biolim Holdings and Management Corp., EujoPhils., Inc., First Optima Realty Corporation and a member the board of iACADEMY, PhilhealthCare, Inc., Maestro Holdings, Inc., Philippine Life Financial Assurance Corporation, Philplans First, Inc., United Coconut Chemicals, Inc., Philippine Racing Club* and Leisure & Resorts World Corporation*. He is also the Executive Committee Chairman of STI Education Services Group, Inc. and Founding President of Global Resource for Outsourced Workers. His extensive corporate experience covers financial services, manufacturing, transportation and logistics, energy, property development, ICT-enabled education and services. His professional associations include the Philippines-UAE Business Council, Thailand-Philippines Business Council, Inc., and Philippine Chamber of Commerce and Industry. Mr. Tanco holds a Master of Science degree in Economics from the London School of Economics and Political Science. He finished his undergraduate studies at the Ateneo de Manila University.



ALEJANDRO T. YU
DIRECTOR

Mr. Yu served as Director of the Exchange in 1997 and 1998 and resumed his term in 2004. Since then, he has been a member of the Audit and Risk Management Committees of the PSE and Securities Clearing Corporation of the Philippines. Mr. Yu is the President and CEO of R.S. Lim & Company, Inc., one of the oldest brokerage houses in the Philippines, dating back to the Makati Stock Exchange era and a four-time awardee of the PSE Bell Awards for excellence in corporate governance. He is a Trustee of the Securities Investors Protection Fund. He has been Chairman of the Annual PSE Golf Invitational Cup. Mr. Yu was the Treasurer of the PSE and SCCP from 2005 to 2008 and was a Trustee of the PSE Foundation. He participated actively in various working committees of the Exchange including Trading and Arbitration, Computer, and Membership. A product of Xavier High School and De La Salle University, Mr. Yu graduated with a degree in Industrial Management Engineering, minor in Mechanical Engineering.



MA. VIVIAN YUCHENGCO
DIRECTOR

Ms. Yuchengco has been a Director of the PSE from 1993-1994, 1996, 1998, 2000-2001 and 2004 up to the present. She is a member of the Corporate Governance Committee of the PSE. She served as PSE Chairman from 2002 to 2003. In 1989, Ms. Yuchengco became the first woman to be elected as President of the Makati Stock Exchange. In 2000, serving as one of the Board of Trustees of the Securities Investors Protection Fund, she co-chaired the committee that worked towards the demutualization of the PSE. She is currently the Chairperson of The Philippine Association of Securities Brokers and Dealers, Inc. Ms. Yuchengco studied Economics in Newton College of Sacred Heart in Boston, Massachusetts. She has her own brokerage firm, The First Resources Management and Securities Corporation, which she manages and has been in operation for almost 38 years.



FRANCISCO T. DUQUE III, M.D.
DIRECTOR

Dr. Duque served as PSE Director from May to October 2017, when he was Chairman of the Government Service Insurance System (GSIS). He held several government posts prior to his GSIS appointment. Dr. Duque served as Chairman of the Civil Service Commission from 2010 to 2015. He was Secretary of the Department of Health from 2005 to 2010. He was also President and Chief Executive Officer of the Philippine Health Insurance Corporation from 2001 to 2005. He is also the Chairman of the Institute of Solidarity in Asia, a public governance reform institute. Dr. Duque is a recipient of the 2014 People Manager of the Year in Public Sector from the People Management Association of the Philippines, the first government official to receive the recognition. Dr. Duque finished his Doctor of Medicine degree at the University of Santo Tomas in 1982. He earned his Master of Science degree from Georgetown University in Washington, D.C. in 1987. He also took a postgraduate course under the Executive Education Program at the Harvard University of Public Health in 1992.



OMELITA J. TIANGCO
TREASURER

Ms. Tiangco has been the Treasurer of the Exchange since May 2011. She was a Director of the Company from August 2006 to May 2011, and was a member of the Exchange's Corporate Governance and Audit Committees. She served as Executive Vice President & Chief Finance Officer of the Government Service Insurance System (GSIS) from September 2004 to February 2010. Prior to that, she held various positions in GSIS such as Senior Vice President-Fund Management Group, Senior Vice President- Internal Audit Group and Vice President & Controller. She likewise served as President of the GSIS Mutual Fund Inc., Director and Treasurer of GSIS Family Bank and Controller of GSIS Properties, Inc. Ms. Tiangco holds a Master's degree in Business Administration from the De La Salle University and a Bachelor of Science in Commerce degree from Arellano University. She is a Certified Public Accountant and is a fellow of the Institute of Corporate Directors.



AISSA V. ENCARNACION
CORPORATE SECRETARY

Atty. Encarnacion has been the Corporate Secretary of the Exchange and SCCP since February 2004 and a non-voting member of the Nominations and Elections Committee. She is a Partner of the Zamora Poblador Vasquez & Bretaña Law Offices. She is a professorial lecturer at the University of the Philippines, Cesar Virata School of Business. Before she assumed her present PSE post, she was the Assistant Corporate Secretary of the Exchange from 2000 to 2003 and Acting Corporate Secretary from 2003 to February 2004. She is a member of the Board of Directors of various private companies, a member of the Trustees of Empowering Brilliant Minds Foundation, Inc. and acts as Corporate Secretary for various companies. Prior to joining her present law firm, she was a Senior Associate of the Bengzon Narciso Cudala Jimenez & Liwanag Law Offices. She received her Bachelor of Laws and Bachelor of Science in Business Administration degrees from the University of the Philippines.

BOARD OF DIRECTORS

COMPOSITION OF THE BOARD OF DIRECTORS

The Board of Directors is composed of 15 members who shall be elected by the stockholders of the Exchange. (PSE Articles of Incorporation)

Broker-directors shall not be more than 49 percent of the Board and shall proportionately represent the Exchange membership in terms of volume/value of trade and paid up capital. (Sec. 33.2(f), SRC)

At least 51 percent of the members must be non-brokers: at least three independent directors, at least one director representing Issuers, at least one director representing Investors and at least one director representing other market participants. (Sec. 33.2(g), SRC)

GENERAL QUALIFICATIONS OF NON-BROKER AND BROKER DIRECTORS:

- He shall hold at least a college degree or have sufficient experience in managing a business to substitute for such formal education;
- He shall possess competency and understanding of financial markets;
- He shall be at least 21 years old;
- He shall possess integrity and probity;
- He shall be assiduous;
- He must be a resident of the Philippines; and
- An independent director shall have at least one share of stock of the corporation in his name.

BOARD COMMITTEES	
Audit Committee 1. Dakila B. Fonacier – Chairman, Independent Director 2. Anabelle L. Chua – Member 3. Amor C. Iliscupidez – Member 4. Alejandro T. Yu – Member 5. Eusebio H. Tanco – Member	Investments Committee 1. Omelita J. Tiangco – Chairman 2. Amor C. Iliscupidez – Member 3. Alejandro T. Yu – Member 4. Edgardo Lacson – Member 5. Emmanuel O. Bautista – Member 6. Wilson L. Sy – Member
Corporate Governance Committee 1. Jose T. Pardo – Chairman 2. Edgardo G. Lacson – Member 3. Ma. Vivian Yuchengco – Member 4. Amor C. Iliscupidez – Member 5. Eusebio H. Tanco – Member 6. Francisco T. Duque III – Member 7. Vicente L. Panlilio – Member 8. Wilson L. Sy – Member	Capital Markets Development Committee 1. Ramon S. Monzon – Chairman 2. Jose T. Pardo – Member 3. Anabelle L. Chua – Member 4. Francisco T. Duque III – Member 5. Emmanuel O. Bautista – Member 6. Ma. Vivian Yuchengco – Member 7. Wilson L. Sy – Member 8. Eusebio H. Tanco – Member
Nominations and Elections Committee 1. Dakila B. Fonacier – Chairman, Independent Director 2. Cornelio T. Peralta – Independent Member 3. William Ang – Member 4. Shirley Bangayan – Member 5. Remy Tigulo – Independent Member 6. Aissa V. Encarnacion – Non-voting Member	Risk Management Committee 1. Eddie T. Gobing – Chairman 2. Emmanuel O. Bautista – Member 3. Dakila B. Fonacier – Member 4. Amor C. Iliscupidez – Member 5. Alejandro T. Yu – Member

PSE BOARD OF DIRECTORS ATTENDANCE 2017			
Name of Director	BOARD MEETING ATTENDANCE		Total Number of Board Meetings Attended
	January 11, 2017 to April 29, 2017	May 6, 2017 to December 13, 2017	
Jose T. Pardo – Chairman	8	16	24/24
Ramon S. Monzon – President and CEO*	8	16	24/24
Emmanuel O. Bautista	7	13	20/24
Anabelle L. Chua	6	16	22/24
Francis Chua	7	14	21/24
Francisco T. Duque III (May to October 2017)**	-	12	12/13
Dakila B. Fonacier	7	10	17/24
Eddie T. Gobing	8	16	24/24
Amor C. Iliscupidez	8	15	23/24
Edgardo G. Lacson	8	16	24/24
Vicente L. Panlilio (May to December 2017)	-	12	12/16
Hans B. Sicat (January to April 2017)	7	-	7/8
Wilson L. Sy	7	15	22/24
Eusebio H. Tanco	6	16	22/24
Alejandro T. Yu	8	16	24/24
Ma. Vivian Yuchengco	7	13	20/24

* Elected as President and CEO effective May 6, 2017.
** Elected as Director effective May 6, 2017 until October 2017. The Board accepted his resignation due to his appointment as the secretary of the Department of Health effective November 2017.

COMPENSATION OF THE BOARD

The Chairman receives a per diem of P310,000 a month, while all the other directors receive a per diem of P50,000 for each board meeting attended. The Corporate Secretary receives a per diem of P10,000 for each meeting attended.

The Chairman of the Board and the Corporate Secretary are not entitled to receive any salary or other annual compensation from the Company. The President, being a full time employee, receives a fixed monthly salary.

In 2017, the directors as a group received a total aggregate per diem of P20,415,785.78.

In 2016, the directors as a group received a total aggregate per diem of P21,435,621.10.

COMPENSATION OF EXECUTIVE OFFICERS

SUMMARY OF ANNUAL COMPENSATION FOR 2017

Name and Position	Salary	Bonus	Other Compensation (Per Diem)
CEO and four most highly compensated officers	Php 25,389,353.94	Php 10,022,841.61	Php 0.00
Aggregate for all other officers	Php 12,388,011.25	Php 5,076,333.50	Php 0.00
All other officers and directors as a group unnamed	N/A	N/A	N/A
Total	Php 37,777,365.19	Php 15,099,175.11	Php 0.00

CORPORATE GOVERNANCE POLICIES

Honest and Ethical Conduct

The PSE expects all employees to act with the highest standards of honesty and ethical conduct while working on Exchange premises, at offsite locations where Exchange business is being conducted, at Exchange-sponsored business and social events, or at any other place where the employees are representing the Exchange.

Compliance with Laws, Rules and Regulations

As a publicly-listed company, the Exchange is subject to numerous laws and regulations, including its own Listing and Disclosure Rules. Obeying the law, both in letter and in spirit, is the foundation on which the Exchange's ethical standards are built. All employees and officers must respect, obey and comply with the laws, rules and regulations applicable to the PSE's business.

Bribes and Kickbacks

Exchange employees are prohibited from offering, giving, soliciting or accepting bribes or kickbacks. A bribe is defined as a thing of value given to someone with the intent of obtaining favorable treatment from the recipient. Kickbacks consist of payment in cash or in kind, including goods, services, the use of another company's property, or forgiving any sort of obligation provided to a customer or supplier for the purpose of improperly obtaining or rewarding favorable treatment in connection with a transaction. Bribes and kickbacks may not be offered either directly or through a third party in order to obligate the recipient to return the favor.

Fair and Free Markets

The Exchange is committed to promoting free and competitive markets. The Exchange will not tolerate any attempt by any of its employees or representatives to manipulate or tamper with the markets or the prices of securities or other financial instruments. The Exchange's goal is to ensure candor and honesty in all its dealings, including those with business partners, regulators, other stakeholders and the public.

Conflict of Interest

A conflict of interest exists when an employee's personal interest interferes or even appears to interfere in any way with the interests of the Exchange. It arises when the actions or interests of an employee or officer affect their ability to act in the Exchange's best interests objectively and effectively.

The PSE has an obligation to the marketplace and to its shareholders to make sound business decisions that are not influenced by the personal interests of its employees. This means that PSE employees are expected to act in the interest of the Exchange, without favor or preference based on possible direct or indirect personal gain. Employees must avoid and, if needed, remove themselves from relationships and activities that may lead to a conflict of interest or the appearance of a conflict of interest.

It must be noted that a conflict of interest may: (1) have already materialized (an actual conflict), (2) happen in the future (a potential conflict), or (3) appear to others as a situation in which a conflict exists (a perceived conflict). The provisions in the Code of Ethics and Business Conduct describe five key areas in which conflicts can arise: (1) Personal Trading and Insider Information, (2) Gift, Meal and Entertainment, (3) Corporate Opportunities, (4) Outside Employment and Directorships, and (5) Related-Party Business Dealings.

Personal Trading and Insider Information

Employees of the Exchange are prohibited from buying or selling securities listed on the Exchange, whether for their own account or for the account of another. An exception is trading PSE shares under an approved Employee Stock Purchase Plan and subject to the proper disclosure to the Securities and Exchange Commission. Subscribing to initial public offerings from listed companies or underwriters is likewise prohibited. These prohibitions, besides being imposed by Exchange rules, are to avoid actual, potential or perceived conflicts of interest arising from the possession by Exchange employees of insider information resulting from their work in the Exchange.

Employees may at some time have access to information related to the Exchange or to other publicly-listed companies that is not known to the general public. All non-public information about the Exchange or other publicly-listed companies should be considered confidential information and should not be disclosed to third parties (including family members) or used for any direct or indirect personal benefit unless or until such information is disclosed to the public.

Employees and officers who have access to confidential information about the Exchange or any other entity are not permitted to use or share that information for trading purposes in the Exchange's or the other entity's securities or for any other purpose except the conduct of the Exchange's business. To use non-public information for personal financial benefit or to "tip" others who might make an investment decision on the basis of this information is not only unethical but also illegal and may be sanctioned under the relevant laws, rules and regulation such as the Securities Regulation Code.

Gift, Meal and Entertainment Policy

The purpose of gifts and business entertainment in a commercial setting is to create goodwill and sound working relationships, not to give or gain unfair advantage to or from third parties. These third parties may include but not limited to existing or potential vendors, suppliers, service providers and business partners, regulators, as well as the Exchange's regulated entities such as listed companies, trading participants and listing applicants.

Employees or any of their family members up to the second degree of consanguinity and first degree of affinity have an obligation not to solicit, accept, offer or provide any entertainment, meals or gifts that are not appropriate or could be perceived as an improper attempt to influence business. They may only accept gifts which can be considered token gifts or corporate giveaways and other related circumstances.

Corporate Opportunities

Employees and officers are prohibited from taking for themselves opportunities that arise or are discovered in the course of their employment at the Exchange or through the use of corporate property, information or position without the consent of the President and CEO. No employee or officer may use corporate property, information, or position for personal gain, and no employee or officer may compete with the Company directly or indirectly. Employees and officers owe a duty to the Company to advance its legitimate interests when the opportunity to do so arises.

A non-cash gift given in consideration of an employee's lecture, speaking engagement, participation in a forum and the like sponsored or arranged by an outside organization shall be governed by the Exchange's gift policy.

This policy on honoraria and fees does not apply to an employee's private or personal speaking engagements not endorsed by the Exchange provided that such activities do not conflict with the interests of the Exchange.

Outside Employment and Directorships

An employee may not accept outside employment or directly or indirectly conduct outside business that interferes with the proper performance of his or her job at the Exchange, is conducted during his or her normal working hours, utilizes confidential information and other assets of the Exchange (including proprietary assets) or specialized skills and knowledge gained as an employee of the Exchange, competes with the Exchange or otherwise conflicts with the interests of the Exchange. This includes becoming a contractor, consultant or supplier to the Exchange while being employed at the Exchange. Outside consultancies are prohibited outright.

All officers and employees of the Exchange must disclose any and all outside employment or business activity to the Compliance Officer, for which approval should be obtained. Outside employment or business activity may be disapproved anytime if it is determined that it would conflict with the interests of the Exchange.

Related-Party Business Dealings

An employee must disclose to the Compliance Officer any business relationship or proposed business transaction that the Exchange may have with any company in which he or she or a related party (spouse, children, siblings, parents) has a direct or indirect interest (employment, directorship, controlling ownership) or from which he or a related party may derive a benefit, if such a relationship or transaction might give rise to a conflict of interest or the appearance of a conflict of interest (for example, if the employee or a family member owns or controls property of significant value that the Exchange is either purchasing or leasing).

Further guidance may be sought by the employee from the Corporate Governance Office.

The Exchange developed guidelines and forms for the Conflict of Interest section of the Code of Ethics and Business Conduct to:

- Facilitate the monitoring of the employees' compliance with the provisions on the Conflict of Interest section of the Code of Ethics and Business Conduct;
- Set out the procedures, sanctions for non-compliance and employee responsibilities, among others; and
- Properly document and resolve the disclosed conflict of interest.

Anti-Fraud Policy

Employees have a responsibility to identify and ensure that situations involving fraud do not occur. Fraud is the intentional misrepresentation or concealment of a material fact for the purpose of procuring an unjust or unlawful benefit. Fraud encompasses all forms of theft, including intellectual property, identity theft and manipulation or misuse of Exchange information or assets. Employees are encouraged to report suspected fraud through the proper channels. Retaliation for reporting, in good faith, a violation is prohibited and will itself result in disciplinary action.

Raising Ethical Issues

If an employee encounters an unethical situation or faces an issue where he or she has concerns or is not sure what to do, he or she must think the situation through and ask the following questions until the employee is confident that he or she is doing the appropriate thing:

- What specifically am I being asked to do?
- Is it consistent with our Code, applicable policies and laws?
- Does it feel like the right thing to do, or does it look or feel unethical or improper?
- What might be the consequences of my action or inaction?

Further guidance may be sought by the employee from any Division Head or the Corporate Governance Office.

The Exchange likewise developed guidelines and forms for raising ethical concerns to:

- Institute employee responsibilities, procedures and sanctions for non-compliance, among others;
- Protect whistle-blowers; and
- Properly document and resolve ethical issues.

EXECUTIVE OFFICERS

01 RAMON S. MONZON

President and Chief Executive Officer

Refer to profile in Page 10.

02 ROEL A. REFRAN

Chief Operating Officer

Atty. Refran, 44, is Senior Vice President and Chief Operating Officer of the Exchange since 2012. He started as General Counsel of the Exchange in 2005 and was appointed to concurrently head the Issuer Regulation Division in 2010. He was also the Compliance Officer of the Exchange and the Securities Clearing Corporation of the Philippines from 2005 to 2010. He was an associate at SyCip Salazar Hernandez & Gatmaitan Law Offices from 1999 to 2001. Prior to joining the Exchange in 2004, he was an associate at Angara Abello Concepcion Regala & Cruz Law Offices. He was chief of staff of Senator Ralph G. Recto from 2001 to 2004. Atty. Refran serves as Chairman of the Philippine Chamber of Commerce and Industry's Capital Markets Development Committee. He is the Chairman and President of Philippine Fulbright Scholars Association. Atty. Refran earned his degree in Bachelor of Science in Business Administration and Accountancy (BSBAA), magna cum laude, from the University of the Philippines and obtained his Juris Doctor (JD) degree, Second Honors, from Ateneo de Manila University School of Law. He ranked in the top 20 of the May 1995 CPA licensure exams. Atty. Refran is also a bar topper having placed fourth highest in the 1999 bar examinations. He obtained his MBA degree, with specialization in capital markets and finance, from Emory University (USA) under a Fulbright Scholarship. He is a member of Philippine Institute of Certified Public Accountants and Integrated Bar of the Philippines. Atty. Refran has been inducted lifetime member of the Beta Gamma Sigma (international honor society in business), and Pi Gamma Mu (international honor society in social sciences). He was recognized as the 2014 Distinguished Alumni Awardee by the University of the Philippines Virata School of Business.

03 J. ARCEL G. ASTUDILLO

Vice President for Governance, Risk and Compliance and Head of the Corporate Governance Office

Mr. Astudillo, 59, is the Vice President for Governance, Risk and Compliance. As such, he is the head of the Corporate Governance Office and serves as the Compliance Officer and Chief Risk Officer of the Exchange. Mr. Astudillo is also the Compliance Officer of PSE subsidiaries Securities Clearing Corporation of the Philippines and the Capital Markets Integrity Corporation. He has lectured on corporate governance and code of conduct in the PSE Certified Securities Specialist Course in various partner schools. Mr. Astudillo joined the Exchange in December 2010. Prior to working in the PSE, Mr. Astudillo was a Risk Management Consultant of the Board of Trustees of the Government Service Insurance System from August 2008 to June 2010. He was also a Citibanker for 22 years, holding various senior roles in internal audit, risk management, financial market operations and compliance with Citibank Philippines. His last post in Citibank was Retail Branch Banking Compliance and Control Head from February 2005 to August 2007. He started his banking career as a corporate finance analyst at a major development finance and merchant banking institution in the Philippines. Mr. Astudillo earned his Bachelor of Science degree in Business Administration from the University of the Philippines and his Master of Business Administration from Case Western Reserve University in the United States.

04 MARSHA M. RESURRECCION

Assistant Vice President and Head of the Issuer Regulation Division

Ms. Resurreccion, 42, is Assistant Vice President and Head of the Issuer Regulation Division since April 2011. She was hired as a Listings Specialist in July 2002. She was promoted to Sr. Listings Specialist with the rank of Supervisor in September 2004. By March 2006, she was made Assistant Manager and a year later she became a full-fledged Manager. In July 2008, Ms. Resurreccion was promoted to Senior Manager and Head of the Listings Department. Prior to joining the Exchange, Ms. Resurreccion was an Officer Development Program Trainee at Solidbank Corporation where she also held the position of Regional Marketing Officer for Mindanao and Account Assistant of its Branch Lending Division. She was also Marketing Consultant and Compliance Officer/Branch Cashier at South Bank, Inc. in Cagayan de Oro City. She has been with the Exchange for 15 years. Ms. Resurreccion has a Bachelor of Science in Business Management degree from the Ateneo de Manila University.

05 ATTY. VERONICA VICEDO-DEL ROSARIO

General Counsel

Atty. Del Rosario, 36, is Assistant Vice President and General Counsel effective May 2016. She joined the Exchange in September 2010 as Legal Officer and later on appointed as the OIC of the Office of the General Counsel in 2015. Prior to joining the Exchange, she was the Head of the Legal Department and the Division Manager of the Administrative & General Services Department at the Aurora Special Economic Zone Authority. She served as Associate at Jones & Associates, New York. She also held positions such as Associate Lawyer at Mendoza Orozco & Bueno Law Offices in Olongapo City and as Junior Associate Lawyer at Ocampo & Manalo Law Firm in Makati City. Atty. Del Rosario earned her Bachelor of Laws and Bachelor of Science in Business Economics degrees at the University of the Philippines. She is a member of the Philippine Bar and New York Bar.

06 RACHELLE C. BLANCH

Vice President and Head of Market Operations Division

Ms. Blanch, 42, is Vice President and Head of the Market Operations Division of the Company since July 2008. She was promoted to the rank of Assistant Vice President in 2008 and to Vice President in April 2011. She was the Head of the Applications Development Department of the former Information Technology Division before the Market Operations Division was created in 2008. She has been with the Exchange for 20 years. Prior to joining PSE, Ms. Blanch was Project Implementor at the Computer Information System. She earned her ITIL 2011 Foundation Certificate in IT Service Management in 2015, ITIL Intermediate Certificate in IT Operational Support and Analysis in 2017 and Prince2® Foundation Certificate in Project Management in 2017. Ms. Blanch finished her Master's degree in Business Administration at the Graduate School of Business, De La Salle University. She graduated from the University of the Philippines with a Bachelor of Science degree in Mathematics.

07 ELISA L. BENAVIDEZ

Officer-in-Charge, Controllorship & Treasury Division and Concurrent Head, Budget & Treasury Department

Ms. Benavidez, 56, a Certified Public Accountant, has been with the Exchange for 14 years. Before joining the PSE in January 2003 as Treasury Department Head, she was the Vice President for Resource Management Group and Controllorship Group of Small Business Guarantee and Finance Corporation. She also worked at the Guarantee Fund for Small and Medium Enterprises as Manager of the Controllorship Department. Ms. Benavidez graduated from the University of the East with a Bachelor of Science degree in Business Administration.

08 JINKY A. ALORA

Assistant Vice President and Head of Internal Audit Group

Ms. Alora, 49, has been Head of the Internal Audit Group since May 2012. Prior to this appointment, she was Head of the Trading Participants Regulation Department and was designated as the Officer-In-Charge of the Market Regulation Division from October 2009 until the creation of CMIC in 2012. Before she joined the Exchange in 1995, Ms. Alora was the Accounting Manager of USA Laboratories and was a Senior Auditor at Joaquin Cunanan Price Waterhouse Coopers. She has been with the Exchange for more than 20 years. She graduated magna cum laude with a Bachelor of Science Degree in Commerce Major in Accounting from the University of Perpetual Help of Laguna. Ms. Alora is a Certified Public Accountant and earned her Master's degree in Business Administration from the Pamantasan ng Lungsod ng Maynila.

09 PHILIP A. DRIZ

Assistant Vice President and Head of Technology Division

Mr. Driz, 49, is Assistant Vice President and Head of PSE's Technology Division. He has more than two decades of experience in project management, application development, infrastructure management, information security, IT risk management, IT helpdesk, data center operation and vendor management. Before joining PSE in October 2015, Mr. Driz was a Senior Manager at Accenture where he held various positions including Technology Service Delivery Head for Asia Pacific. He also served as Assistant Vice President of the Information Management Division at RCBC Savings Bank. He held various executive positions such as Chief Information Technology Officer at Fiji National Provident Fund, and Senior Assistant Vice President- Infrastructure Management Group at Philippine National Bank, among others. He graduated from the Manuel L. Quezon University with a Bachelor of Science degree in Computer Science.

10 MARY CATHERINE LYDET SOLIMAN-RADAZA

Assistant Vice President and Head of Human Resources and Administration Division

Ms. Soliman-Radaza, 40, is Assistant Vice President and Head of PSE's Human Resources and Administration Division. She joined the Exchange in October 2014 as Senior Manager and Trading Participant Relations Section Head under the Corporate Governance Office. Ms. Soliman-Radaza's professional experience in governance (public and private), program management and human resources spans 20 years in Philippines and Australia. Prior to joining the Exchange, she worked in Australia handling corporate governance, corporate services and human resources for an Australian Company with offices in New South Wales, Queensland and Western Australia. She obtained Australian qualifications on HR Management and Corporate Governance in Sydney and was an affiliate of the Australian Human Resources Institute. Ms. Radaza is a Certified Sustainability Reporting Specialist (GRI Standards) and completed a Master's degree in Management major in Development Management from the University of the Philippines Los Baños where she also earned her Bachelor of Science degree in Economics.

11 JOHN BENETTE B. MAMAÑGUN

Assistant Vice President and Head of Corporate Planning and Investor Relations Division and Officer-in-Charge of Capital Markets Development Division

– Resigned on February 28, 2018

DEPARTMENT HEADS



01
ZALDY RONIE P. ROCERO
Head, Network & Telecommunications Department

02
MARK FREDERICK V. VISDA
Head, Corporate Planning & Research Department and Officer-in-Charge, Business Development Department

03
SHERYL V. PERILLO
Head, Trading Development Department

04
JOSIELYN S. ARELLANO
Head, Materials Management & Procurement Services Department

05
ADONIS H. GILDOR
Head, Systems & Database Department

06
ELIZA S. RODRIGUEZ
Head, Accounting Department

01
JOSE VALERIANO B. ZUÑO III
Officer-in-Charge, Disclosure Department

02
JESSIELYN A. ESCOBAL
Head, Market Data Business Department

03
SHERYL J. LOPEZ
Head, Broker Systems Support & Certification Department

04
ROEL M. VILLANUEVA
Head, Market Control Department

05
MARTHA H. VINZONS
Head, Public & Investor Relations Department

01
MARVIN M. REFUERZO
Head, Trading Operations Department

02
LIANNE MARIE G. DE LA PAZ
Deputy General Counsel, Office of the General Counsel

03
JOSE ANTONIO S. VILAR
Head, Marketing Services Department and Officer-in-Charge, Market Education Department

04
JANET A. ENCARNACION
Officer-in-Charge, Listings Department

05
JO ANN G. BAUTISTA
Head, Administrative Services Department



2017 STOCK MARKET PERFORMANCE

The local stock barometer capped off the year at an all-time high, brushing aside the temperamental investor sentiment far and wide across the globe. The stock market's remarkable rally was driven by upbeat developments in both domestic and global landscapes, from continuity in domestic monetary policy to sustained high economic growth and noteworthy economic reforms. This positive string of events helped absorb the adverse effects of market uncertainties which continued to challenge the local economy.

Diverse global and local developments rattle markets

While the stock markets were generally on an uptrend in 2017, volatility made its presence felt and caused bumps to an otherwise smooth path. Foremost on this list was investors' wariness over US President Donald Trump's protectionist "America First" advocacy, which many believed will have more harmful consequences than perceived advantages. The United Kingdom's decision to trigger Article 50 of the Lisbon Treaty to formalize its intention to withdraw from the European Union likewise added fuel to the fire.

In Asia, North Korea's aggressive pronouncements over its nuclear weapons development caused comparable jitters among local and foreign investors as it puts the region's stability in distress. Mounting debt levels in China also raised concerns on a potential financial crisis in the near future.

Domestically, the Department of Environment and Natural Resources' move to close and suspend several mining operations and also cancel mineral production sharing agreements was the lone catalyst that induced cautiousness not only in the stock market but also in the business environment.

The performance of the local currency also varied. At the foreign exchange market, the peso struggled to weather volatility as it fell to an 11-year low. The local currency plummeted to its year-low on October 30 at Php51.80 per US dollar based on the PDEx closing exchange rate. The Philippine peso, however, managed to close the year-on-year gap to a 0.4 percent loss at Php49.93 per US dollar from the previous year's close of Php49.72 per US dollar.

Buoyant local economy provides cushion

The Philippine economy, with fundamentals as intact as ever, helped investors remain steadfast amidst the anxiety stemming from the confluence of aforementioned factors. Notwithstanding the headwinds, the PSEi remained resilient as it reached the 8,000-mark by the end of the first half of 2017. The rise of central bank veteran Nestor A. Espenilla Jr. as the new chief of the Bangko Sentral ng Pilipinas signaled continuity in monetary policy with the promise of achieving inclusive growth through market-oriented policies.

A number of opportune events also occurred in the US which reinforced investor confidence and boosted capital market activity. In September, US President Trump favored Democrats in a bipartisan deal to raise the federal debt ceiling for three months and approved US\$15.25 billion worth of aid for areas affected by hurricanes Harvey and Irma. US indices likewise closed at record levels in 2017 with the Dow Jones Industrial Average reaching as high as 24,837.51 points on December 28. US stocks soared partly due to the passage of the US tax reform plan which, among others, reduced income tax rates.

Meanwhile, the Philippine government also undertook favorable actions which cheered investors in the local market. First, the Securities and Exchange Commission issued a circular on November 28 to increase the minimum public ownership requirement on initial public offerings to 20 percent from the previous 10 percent. A month after, the much-awaited Tax Reform for Acceleration and Inclusion (TRAIN) Law of the Duterte administration was finally ratified by both houses of the Philippine Congress. The TRAIN Law increased the personal income tax exemption of up to Php250,000 annually from Php50,000 under the previous system.

Monetary policy settings remained steady, as inflation expectations continue to be firmly anchored to the target over the policy horizon. Key policy rates were thus maintained at 3.5 percent for overnight lending or repurchase rate and 3.0 percent for the overnight borrowing or reverse repurchase rate. The rates for special deposit accounts and reserve requirement ratios were likewise left unchanged.

All in all, the positive outlook on the Philippine economy was further reinforced by international credit rating agencies which affirmed the country's investment grade status during the year. Standard and Poor's, Moody's Investors Service, Japan Credit Rating Agency, Ltd. and Fitch Ratings all maintained their stable outlook on the country's credit rating.

Stock market closes on a stellar note

The PSEi snapped its losing streak for the past two consecutive years as it ended 2017 at 8,558.42 points, up by 25.1 percent or 1,717.78 points from the 6,840.64 point-finish in 2016. During the year, the local stock barometer posted a total of 14 record-high instances. The benchmark index was also among the top performers in the region as it came in fifth place, following Vietnam's VN Index, Hong Kong's Hang Seng Index and India's NSE Nifty and BSE Sensex indices.

Five out of six sector indices posted year-on-year advances, four of which registered double-digit growths. The Financials sector index recorded the highest gains at 34.7 percent followed by the Property, Services,

PSEi VS. SELECT ASIAN INDICES, 2017 VS. 2016

RANK	COUNTRY	INDEX	END-2016	END-2017	YTD CHANGE
1	VIETNAM	VN INDEX	664.87	984.24	▲ 48.0%
2	HONG KONG	HANG SENG INDEX	22,000.56	29,919.15	▲ 36.0%
3	INDIA	NSE NIFTY	8,185.80	10,530.70	▲ 28.6%
4	INDIA	BSE SENSEX	26,626.46	34,056.83	▲ 27.9%
5	PHILIPPINES	PSEi	6,840.64	8,558.42	▲ 25.1%
6	SOUTH KOREA	KOSPI INDEX	2,026.46	2,467.49	▲ 21.8%
7	INDONESIA	JAKARTA COMPOSITE INDEX	5,296.71	6,355.65	▲ 20.0%
8	JAPAN	TOPIX INDEX	1,518.61	1,817.56	▲ 19.7%
9	JAPAN	NIKKEI 225	19,114.37	22,764.94	▲ 19.1%
10	SINGAPORE	STRAITS TIMES INDEX	2,880.76	3,402.92	▲ 18.1%
11	TAIWAN	TAIEX INDEX	9,253.50	10,642.86	▲ 15.0%
12	THAILAND	SET INDEX	1,542.94	1,753.71	▲ 13.7%
13	MALAYSIA	KUALA LUMPUR COMPOSITE INDEX	1,641.73	1,796.81	▲ 9.4%
14	CHINA	SHANGHAI COMPOSITE INDEX	3,103.64	3,307.17	▲ 6.6%
15	CHINA	SHENZHEN COMPOSITE INDEX	1,969.11	1,899.34	▼ -3.5%

Holding Firms and Industrial sector indices which grew by 29.7 percent, 24.3 percent, 23.2 percent and 5.5 percent, respectively. On the contrary, the Mining and Oil sector index declined by 3.0 percent from the previous year. Joining the uptrend is the broader All Shares index, which increased by 20.1 percent or 833.90 points to 4,989.97 points from 4,156.07 points in end-2016.

The aggregate value of shares listed on the Exchange as of end-2017 stood at Php17.58 trillion, up by 21.8 percent from the Php14.44 trillion total market capitalization (MCAP) at the close of 2016. Domestic MCAP also reflected a year-on-year increase of 22.0 percent to Php14.49 trillion from the Php11.87 trillion value of domestic shares the prior year. Market activity for the year was also higher as total value of shares traded in the Exchange rose by 1.5 percent to Php1.96 trillion from Php1.93 trillion in 2016. Average daily value turnover likewise posted an increase of 3.2 percent to an average of Php8.06 billion from the Php7.81 billion average daily value turnover the year earlier.

Foreign transactions in the market also enjoyed a positive finish in 2017 as net trades remained in buying

territory in the amount of Php56.20 billion, 20 times the Php2.80 billion net buying figure recorded the prior year. Foreign transactions cornered 50.3 percent of total market trades in 2017, lower than the 51.3 percent share it cornered the previous year.

Nineteen (19) companies took the ride on an upbeat market to offer new shares in the stock exchange, raising a total of Php164.76 billion in fresh capital, 6.8 percent lower from Php176.80 billion the previous year. Accounting for 47.4 percent of total funds raised, stock rights offerings boosted the Exchange's capital raising coffers with an aggregate amount of Php78.16 billion. Bulk of these funds was from BDO Unibank, Inc., which offered stock rights worth Php60 billion in January. Private placement and follow-on offerings amounted to Php40.60 billion and Php23.48 billion, respectively. Meanwhile, capital raised from initial public offerings declined by 22.1 percent to Php22.53 billion from Php28.92 billion a year earlier. Four new firms joined the roster of listed companies in the Exchange, namely: Wilcon Depot, Inc., Eagle Cement Corporation, Cebu Landmasters, Inc., and Chelsea Logistics Holdings Corp.

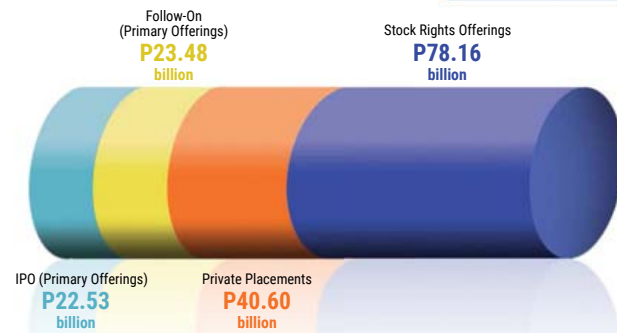


SUMMARY OF 2017 CAPITAL RAISING ACTIVITIES

TABLE 04

	IN BILLION PHP	% SHARE
Stock Rights Offerings	78.16	47.4%
Private Placements	40.60	24.6%
Follow-On (Primary Offerings)	23.48	14.2%
IPO (Primary Offerings)	22.53	13.7%
Total	164.76	

FIGURE 02



INITIAL PUBLIC OFFERINGS IN 2017

TABLE 05

	CODE	TYPE OF OFFERING	OFFERED SHARES	LISTING DATE	OFFER PRICE (IN PHP)	NO. OF SHARES OFFERED	OFFER PROCEEDS (IN PHP)	BOARD UPON LISTING
Wilcon Depot, Inc.	WLCON	IPO	Primary	31-Mar-17	5.05	1,393,906,200	7,039,226,310.00	Main Board
Eagle Cement Corporation	EAGLE	IPO	Primary	29-May-17	15.00	500,000,000	7,500,000,000.00	Main Board
		IPO	Secondary ¹	29-May-17	15.00	75,000,000	1,125,000,000.00	Main Board
Cebu Landmasters, Inc.	CLI	IPO	Primary	02-Jun-17	5.00	430,000,000	2,150,000,000.00	Main Board
		IPO	Secondary	02-Jun-17	5.00	75,000,000	375,000,000.00	Main Board
		IPO	Secondary ¹	02-Jun-17	5.00	75,000,000	375,000,000.00	Main Board
Chelsea Logistics Holdings Corp.	CLC	IPO	Primary	08-Aug-17	10.68	546,593,000	5,837,613,240.00	Main Board

TOTAL INITIAL PUBLIC OFFERING PROCEEDS (Primary Shares) 22,526,839,550.00

TOTAL INITIAL PUBLIC OFFERING PROCEEDS (Secondary Shares) 1,875,000,000.00

¹over-allotment



ANNUAL GROWTH OF INDICES

+25.1%
PSEi

+20.1%
ALL SHARES

INDEX	2016	2017
PSEi	6,840.64	8,558.42
ALL SHARES	4,156.07	4,989.97
FINANCIALS	1,655.54	2,230.17
INDUSTRIAL	10,650.20	11,231.30
HOLDING FIRMS	6,992.09	8,616.51
PROPERTY	3,066.46	3,978.19
SERVICES	1,302.86	1,619.84
MINING AND OIL	11,857.76	11,502.58

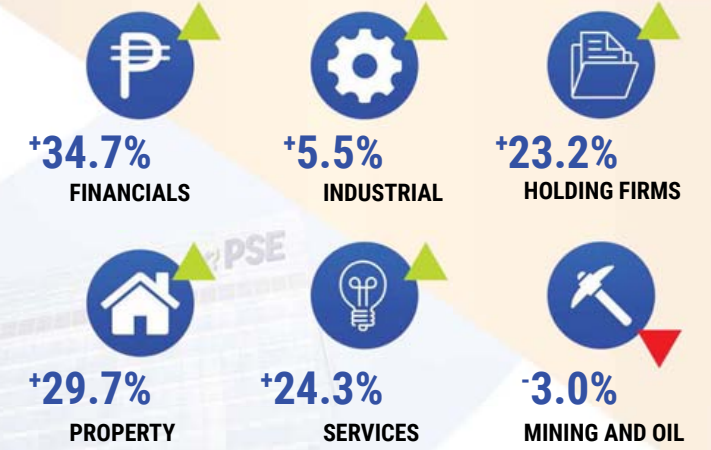


FIGURE 03

SELECT PSE MARKET INDICATORS

TABLE 06

	2013	2014	2015	2016	2017	2017 VS 2016 % CHANGE
PSE Index (PSEi), year-end close	5,889.83	7,230.57	6,952.08	6,840.64	8,558.42	25.1%
Total value traded (in billion Php)	2,546.18	2,130.12	2,151.41	1,929.50	1,958.36	1.5%
Average daily value traded (in billion Php)	10.52	8.80	8.96	7.81	8.06	3.2%
Foreign buying (in billion Php)	1,308.51	1,073.53	1,001.56	990.59	1,013.22	2.3%
Foreign selling (in billion Php)	1,292.93	1,018.09	1,061.32	987.78	957.02	-3.1%
Net foreign buying/(selling) (in billion Php)	15.59	55.45	(59.76)	2.80	56.20	1,905.3%
Total foreign (in billion Php)	2,601.44	2,091.62	2,062.89	1,978.37	1,970.23	-0.4%
Share of Foreign Trading to Total Trading	0.51	0.49	0.48	0.51	0.50	-1.9%
Capital Raised (in billion Php)	175.07	153.08	184.60	176.80	164.76	-6.8%
Initial Public Offerings (in billion Php)	60.98	11.41	5.20	28.92	22.53	-22.1%
Additional Listings (in billion Php)	114.08	141.67	179.40	147.87	142.23	-3.8%
Market capitalization, year-end (in billion Php)	11,931.29	14,251.72	13,465.15	14,438.77	17,583.12	21.8%
Domestic firms (in billion Php)	9,645.22	11,712.79	11,187.81	11,873.22	14,490.83	22.0%
Foreign firms (in billion Php)	2,286.08	2,538.93	2,277.34	2,565.56	3,092.29	20.5%
No. of Listed Companies, year-end	257	263	265	265	267	0.8%
Domestic	254	260	262	262	264	0.8%
Foreign	3	3	3	3	3	0.0%
No. of Listed Issues, year-end	294	305	311	318	323	1.6%
Domestic	291	302	308	315	318	1.0%
Foreign	3	3	3	3	5	66.7%
Total Market						
Dividend Yield	2.36	2.08	2.28	2.16	1.88	-13.0%
Price-Earnings Ratio	17.69	18.06	17.86	16.28	17.95	10.2%

DOMESTIC MARKET CAPITALIZATION & VALUE TRADED
(INCLUDES COMMON AND PREFERRED SHARES)

TABLE 07

SECTOR/SUBSECTOR (FIGURES IN BILLION PHP)	DOMESTIC MARKET CAPITALIZATION						VALUE TRADED					
	2014	2015	2016	2017	% change	% share	2014	2015	2016	2017	% change	% share
Financials Sector	1,645.14	1,564.86	1,691.91	2,298.26	35.8%	15.9%	278.29	273.52	275.53	293.85	6.6%	15.0%
Banks	1,594.32	1,518.20	1,646.02	2,251.13	36.8%	15.5%	272.71	270.11	271.59	288.36	6.2%	14.7%
Other Financial Institutions	50.82	46.67	45.88	47.13	2.7%	0.3%	5.58	3.41	3.94	5.48	39.1%	0.3%
Industrial Sector	2,621.99	2,512.57	2,518.11	2,704.12	7.4%	18.7%	428.17	530.93	401.98	487.11	21.2%	24.9%
Electricity, Energy, Power & Water	1,155.39	1,111.90	1,190.25	1,232.57	3.6%	8.5%	201.44	198.64	124.78	228.87	83.4%	11.7%
Food, Beverage & Tobacco	1,188.53	1,142.58	1,029.66	1,112.84	8.1%	7.7%	190.79	235.85	212.61	167.54	-21.2%	8.6%
Construction, Infrastructure & Allied Services	217.84	197.59	227.32	242.73	6.8%	1.7%	23.37	77.33	43.37	59.30	36.7%	3.0%
Chemicals	16.36	16.72	23.06	26.64	15.5%	0.2%	6.65	4.50	1.61	3.49	117.1%	0.2%
Electrical Components & Equipment	40.79	40.37	45.91	87.43	90.5%	0.6%	5.70	14.28	18.82	27.91	48.3%	1.4%
Other Industrials	3.07	3.42	1.91	1.91	0.0%	0.01%	0.23	0.33	0.80	-	-100.0%	0.0%
Holding Firms Sector	3,156.54	3,263.68	3,708.89	4,525.64	22.0%	31.2%	499.99	538.92	491.27	427.94	-12.9%	21.9%
Property Sector	1,611.00	1,783.75	1,965.02	2,526.83	28.6%	17.4%	360.39	361.17	347.68	318.02	-8.5%	16.2%
Services Sector	2,208.89	1,715.56	1,614.85	2,050.85	27.0%	14.2%	461.55	358.74	330.14	349.97	6.0%	17.9%
Media	64.38	89.71	67.32	57.69	-14.3%	0.4%	7.72	5.64	5.08	4.92	-3.0%	0.3%
Telecommunications	871.43	708.05	507.08	583.82	15.1%	4.0%	218.32	154.96	133.74	88.62	-33.7%	4.5%
Information Technology	24.97	41.38	32.10	34.11	6.3%	0.2%	9.35	10.08	21.98	12.37	-43.7%	0.6%
Transportation Services	456.49	367.11	414.00	560.95	35.5%	3.9%	49.80	54.47	48.61	82.58	69.9%	4.2%
Hotel & Leisure	5.06	3.80	4.39	5.98	36.3%	0.04%	2.34	0.71	2.11	5.96	182.1%	0.3%
Education	37.23	31.92	38.29	44.92	17.3%	0.3%	1.26	1.08	1.99	5.42	173.2%	0.3%
Casinos & Gaming	454.58	201.10	224.42	310.05	38.2%	2.1%	99.93	60.31	38.80	61.82	59.3%	3.2%
Retail	284.15	255.32	295.82	416.29	40.7%	2.9%	68.65	65.94	72.17	84.62	17.3%	4.3%
Other Services	10.59	17.16	31.42	37.04	17.9%	0.3%	4.20	5.54	5.66	3.63	-35.8%	0.2%
Mining & Oil Sector	434.77	318.87	357.43	364.47	2.0%	2.5%	89.92	75.72	65.18	72.03	10.5%	3.7%
Mining	416.58	309.73	344.84	345.74	0.3%	2.4%	86.14	72.84	57.99	61.01	5.2%	3.1%
Oil	18.19	9.14	12.58	18.74	48.9%	0.1%	3.78	2.88	7.19	11.02	53.4%	0.6%
SME	34.47	28.51	17.03	20.66	21.3%	0.1%	11.07	11.56	17.03	8.95	-47.4%	0.5%
ETF	0.90	1.34	0.86	1.43	65.2%		0.74	0.86	0.69	0.50	-27.3%	0.03%
TOTAL MARKET	11,712.79	11,187.81	11,873.22	14,490.83	22.0%	100.0%	2,130.12	2,151.41	1,929.50	1,958.36	1.5%	100.0%

2017 TOP 25 COMPANIES BYMARKET CAPITALIZATION
(COMMON SHARES)

TABLE 08

Rank	Issue	Code	Market Capitalization (in Php)
1	Manulife Financial Corporation	MFC	1,872,674,156,430.00
2	SM Investments Corporation	SM	1,192,537,038,330.00
3	Sun Life Financial Inc.	SLF	1,179,847,138,730.00
4	SM Prime Holdings, Inc.	SMPH	1,082,971,188,525.00
5	BDO Unibank, Inc.	BDO	716,504,985,596.00
6	Ayala Land, Inc.	ALI	656,732,661,086.80
7	Ayala Corporation	AC	630,508,138,260.00
8	JG Summit Holdings, Inc.	JGS	516,440,883,469.70
9	Bank of the Philippine Islands	BPI	424,734,671,483.30
10	Aboitiz Equity Ventures, Inc.	AEV	416,900,649,218.00
11	Manila Electric Company	MER	370,364,634,463.00
12	Universal Robina Corporation	URC	332,828,442,068.00
13	Metropolitan Bank & Trust Company	MBT	322,469,520,500.40
14	PLDT Inc.	TEL	319,762,547,000.00
15	Aboitiz Power Corporation	AP	305,750,008,955.85
16	Jollibee Foods Corporation	JFC	274,584,248,202.00
17	San Miguel Corporation	SMC	265,443,387,544.80
18	Globe Telecom, Inc.	GLO	252,541,511,500.00
19	GT Capital Holdings, Inc.	GTCAP	248,834,917,020.00
20	Metro Pacific Investments Corporation	MPI	215,847,464,451.20
21	International Container Terminal Services, Inc.	ICT	214,607,621,663.00
22	LT Group, Inc.	LTG	202,792,827,779.86
23	DMCI Holdings, Inc.	DMC	191,195,568,000.00
24	Security Bank Corporation	SECB	189,439,676,191.80
25	Megaworld Corporation	MEG	166,355,540,699.52

2017 TOP 25 PRICE GAINERS
(COMMON ISSUES)

TABLE 09

Rank	Issue	Code	2017 Close (in Php)	2016 Close (in Php)	% change
1	MacroAsia Corporation	MAC	22.85	2.41	848.13
2	Easycall Communications Philippines, Inc.	ECP	18.50	3.06	504.58
3	Integrated Micro-Electronics, Inc.	IMI	18.82	6.08	209.54
4	Century Peak Metals Holdings Corporation	CPM	1.63	0.55	196.36
5	Waterfront Philippines, Inc.	WPI	0.98	0.345	184.06
6	AgriNurture, Inc.	ANI	12.20	4.60	165.22
7	MRC Allied, Inc.	MRC	0.335	0.129	159.69
8	Harbor Star Shipping Services, Inc.	TUGS	4.49	1.77	154.15
9	Manila Jockey Club, Inc.	MJC	5.00	2.00	150.00
10	2GO Group, Inc.	2GO	18.48	7.64	141.88
11	PXP Energy Corporation	PXP	7.96	3.31	140.48
12	Italpinas Development Corporation	IDC	10.20	4.39	132.35
13	Phoenix Petroleum Philippines, Inc.	PNX	13.00	5.64	130.50
14	San Miguel Pure Foods Company, Inc.	PF	529.00	231.00	129.00
15	Arthaland Corporation	ALCO	0.90	0.40	125.00
16	Ginebra San Miguel, Inc.	GSMI	26.85	12.70	111.42
17	Cirtek Holdings Philippines Corporation	TECH	45.95	22.90	100.66
18	Melco Resorts and Entertainment (Philippines) Corporation	MRP	7.43	3.78	96.56
19	EEl Corporation	EEl	12.00	6.12	96.08
20	Anchor Land Holdings, Inc.	ALHI	12.88	6.98	84.53
21	Bloomerry Resorts Corporation	BLOOM	10.90	6.15	77.24
22	East West Banking Corporation	EW	31.95	18.54	72.33
23	Panasonic Manufacturing Philippines Corporation	PMPC	8.68	5.10	70.20
24	Primex Corporation	PRMX	5.72	3.38	69.23
25	STI Education Systems Holdings, Inc.	STI	1.63	0.97	68.04

2017 TOP 25 PRICE LOSERS
(COMMON ISSUES)

TABLE 10

Rank	Issue	Code	2017 Close (in Php)	2016 Close (in Php)	% change
1	Philab Holdings Corp.	DNA	3.74	9.10	(58.90)
2	Cemex Holdings Philippines, Inc.	CHP	4.88	11.10	(56.04)
3	NiHAO Mineral Resources International, Inc.	NI	1.51	2.83	(46.64)
4	Dizon Copper Silver Mines, Inc.	DIZ	7.10	12.38	(42.65)
5	Apex Mining Company, Inc.	APX	1.55	2.62	(40.84)
6	IRC Properties, Inc.	IRC	0.74	1.25	(40.80)
7	Lodestar Investment Holdings Corporation	LIHC	0.69	1.12	(38.39)
8	Mabuhay Holdings Corporation	MHC	0.305	0.480	(36.46)
9	Victorias Milling Company, Inc.	VMC	2.98	4.60	(35.22)
10	Holcim Philippines, Inc.	HLCM	10.78	16.50	(34.67)
11	Pepsi-Cola Products Philippines, Inc.	PIP	2.15	3.24	(33.64)
12	Concrete Aggregates Corporation "A"	CA	60.00	90.00	(33.33)
13	PHINMA Petroleum and Geothermal, Inc.	PPG	2.02	3.00	(32.67)
14	Island Information & Technology, Inc.	IS	0.141	0.206	(31.55)
15	Concrete Aggregates Corporation "B"	CAB	83.00	121.00	(31.40)
16	Abra Mining and Industrial Corporation	AR	0.0022	0.0032	(31.25)
17	Coal Asia Holdings Incorporated	COAL	0.31	0.45	(31.11)
18	Vulcan Industrial & Mining Corporation	VUL	0.78	1.12	(30.36)
19	Xurpas Inc.	X	5.57	7.99	(30.29)
20	Philex Mining Corporation	PX	6.06	8.60	(29.53)
21	Lopez Holdings Corporation	LPZ	5.60	7.80	(28.21)
22	Philweb Corporation	WEB	7.64	10.60	(27.92)
23	Alliance Select Foods International, Inc.	FOOD	0.62	0.85	(27.06)
24	Marcventures Holdings, Inc.	MARC	1.78	2.43	(26.75)
25	PHINMA Energy Corporation	PHEN	1.57	2.13	(26.29)



NEW LOOK, NEW HOME

NEW LOOK, NEW HOME



The new PSE office in Bonifacio Global City, Taguig City features a ticker board on its façade.

New PSE Logo

A company is readily recognized through its logo which serves as its main identifying mark. In the case of PSE, it first introduced its logo in 1992 during the unification of the Manila and Makati Stock Exchanges. It then adopted a new logo that was a more fitting representation of the Company in 2005. After over a decade, the PSE decided to shed its old logo and come up with a new design.

The new PSE logo reflects the present-day characteristics of the Exchange. It speaks of a company that is dynamic and progressive. It also represents the physical unity of two trading floors, which has come together under one roof in the new PSE headquarters.

The two symmetrical curves also represent the key focus for expansion of the PSE - products and services on one hand and listed companies and investors on the other.

The new logo encapsulates the direction and vision of PSE, to become an Exchange with world-class standards.



1992-2004



2005-2016



2017

New PSE Headquarters

In the last 25 years, PSE had its head office in Ortigas Center and then in Ayala Avenue. In that span of time, the Exchange operated trading floors in both business districts. The developments within the Company and the flourishing market necessitated a bigger headquarters for the PSE. It was also the proper time for the Exchange to have a single trading floor that will bring together stockbrokers based at the Ayala and Tektite trading floors.

The new headquarters of the Exchange is called PSE Tower. It is located at 5th Avenue corner 28th Street, Bonifacio Global City, the progressive business district of Taguig City.

The building is easily identifiable because of the external ticker board on its façade, which displays real-time stock prices and market data. At the driveway leading to the lobby, a brass sculpture, dubbed as "Path to Prosperity", by artist Ovvian Castrillo will welcome visitors. The PSE Tower will likewise have a museum which will feature mementos showcasing the rich history of the PSE and its predecessor exchanges.



A brass sculpture called Path to Prosperity greets visitors of the PSE.



The PSE Board of Directors make a toast to mark the first trading day in PSE's new headquarters, which coincided with the Lunar New Year celebration on February 19, 2018.



PRODUCT DEVELOPMENT AND TECHNOLOGY UPGRADES

PRODUCT DEVELOPMENT AND TECHNOLOGY UPGRADES

Dollar Denominated Securities

A few months after receiving regulatory approval to offer Dollar Denominated Securities (DDS), the PSE had its first applicant for DDS offering. In March, Del Monte Pacific Limited offered its Series A-1 Preference Shares to the public. The company was able to raise US\$200 million from the DDS offering. Consequently, the shares were listed on the PSE in April 2017.



There were two other DDS offerings in 2017. In December, Cirtex Holdings Philippines Corporation had a follow-on public offering for Dollar Denominated Preferred B-2 Shares while Del Monte Pacific Limited had a follow-on offering for its Dollar Denominated Series A-2 Preference Shares.

DDS are securities listed, traded and settled in US dollar. By allowing issuers to offer DDS, the Exchange provides listed companies an opportunity to raise capital at the market without incurring foreign exchange risks. On the other hand, foreign investors who trade PSE-listed securities can reduce their currency risk exposure while local investors have an alternative investment option for their USD currency holdings. DDS are classified as a different asset class from the issuer's existing listed shares at the Exchange.

Trading of DDS is restricted to Eligible Brokers. Eligible Brokers are trading participants which complied with the Exchange's requirements to ensure their operational readiness to trade DDS. As of December 2017, there are 16 Eligible Brokers which can trade DDS.

Listing Rules for PPP Firms

After the launch of the PSE Supplemental Listing and Disclosure Rules Applicable to a Public-Private Partnership (PPP) Company (PPP Listing and Disclosure Rules) in December 2016, the PSE inked a memorandum of agreement with the Public-Private Partnership Center of the Philippines on February 21 to formalize its partnership for information sharing to facilitate the processing of PPP listing applications. To commemorate the partnership, the PSE also held a bell ringing ceremony on the same date. The PPP Listing and Disclosure Rules provide PPP firms a viable option to fund their projects through equity instruments, aside from the usual bank debt, bond issuance, and/or internally generated capital.

ELIGIBLE BROKERS AS OF DECEMBER 2017

1. AP Securities Incorporated
2. Armstrong Securities, Inc.
3. Astra Securities Corporation
4. BA Securities, Inc.
5. BDO Securities Corporation
6. BPI Securities Corporation
7. First Metro Securities Brokerage Corporation
8. IGC Securities, Inc.
9. Mandarin Securities Corporation
10. Philippine Equity Partners, Inc.
11. Regina Capital Development Corporation
12. Securities Specialists, Inc.
13. SunSecurities, Inc.
14. The First Resources Management and Securities Corporation
15. Venture Securities, Inc.
16. Wealth Securities, Inc.

Opening up the stock market to PPPs as a potential fund raising venue is seen to support the government's program to sustain economic growth via higher infrastructure investments.

Short Selling

One trading tool that is available in other bourses in the region and around the world is short selling. The PSE deems short selling beneficial to the stock market as it helps facilitate hedging and plays a significant role in developing a robust securities lending environment. In November, PSE released its proposed guidelines for short selling and asked the public, including stock market stakeholders, to give their comments and inputs on the said guidelines. The draft rules were then submitted by the PSE to SEC on December 28.

Structured Warrants

Following the publication of SEC by its draft rules governing the registration and trading of structured warrants, PSE submitted to the Commission its comments on the draft guidelines on February 13. The Exchange also organized a learning session on structured warrants in May. Macquarie delivered the lessons during the session, which was attended by PSE and SEC representatives.

A structured warrant is a securitized derivative product whose value is derived from an underlying asset. It gives holders the right, but not the obligation, to buy or sell the underlying asset at a predetermined price and time. Structured warrants are issued by a third-party, usually a financial institution, as opposed to company warrants which are issued by the company themselves.

The PSE aims to launch structured warrants in 2018.

Market Data Products

Having been a preferred destination for portfolio investments among emerging markets, demand for market data on the Philippine stock market has been steadily growing over the years. In 2017, the Exchange launched two new data products, the Listed Company Stock Feed (LCSF) and Non-Display Usage Policy.

The LCSF allows listed companies to display their stock data on their websites. This particular stock feed, however, allows the listed firms to customize the way they present data to their investors and stakeholders. They may tailor-fit the data layout to suit their corporate image as well.

The introduction of the Non-Display Usage Policy strengthens the Exchange's treatment for users of real-time PSE content for non-display applications. This furthers the protection of PSE's Intellectual Property rights for market data.

The PSE aims to continuously develop new data products and services, as well as enhance existing ones, to improve the service it provides to clients and at the same time broaden its data subscriber base.

Front-End System

In preparation for the introduction of new products at the Exchange, PSE adopted a new front-end system. The Company engaged FlexTrade Systems to provide the front-end technology for broker terminals. The new system is web-based and is equipped to do multi-asset and multi-currency trading. It also has advanced trading tools and risk management features.

The new front-end trading system was deployed in December. Aside from the technical preparations, licensed traders also had to undergo training and certification to be able to use the system. Close to 550 licensed traders migrated their trading accounts to the new system.

Similarly, TPs who developed their own Front-End Order Management System (FEOMS) need to pass a system certification. In 2017, 19 FEOMS were certified, a 90 percent increase from the number of FEOMS certified in 2016.

PSETradex

The PSE provides an opportunity for TPs to have their own online trading platform by subscribing to PSETradex. As of 2017, 26 TPs have subscriptions to PSETradex, 15 of which are fully operational or have conducted soft launch.

In October, VC Securities, Inc. launched its online trading facility called VC Trade, which uses the full suite of PSETradex services – the Tradex Explore and Tradex Expert.

For the year, a total of 30,325 online clients used the PSETradex platform, which is more than double the 2016 number of 8,379 clients.

System Availability

The Exchange recorded 100 percent uptime for its trading platform and technology infrastructures that include internet and email system, websites, back office system, IT security, servers and storage device. This means that outside of the scheduled and pre-announced maintenance works, these systems were available all throughout the year.

The PSEtrade XTS also achieved 100 percent system availability in 2017.

Contract Management System

In January, PSE launched the new Contract Management System (CoMaS) developed to institutionalize paperless transactions between the Office of the General Counsel and the different divisions of the Exchange. This initiative enables the general counsel and the legal officers to conduct contract review and legal consultation processes electronically through the system. The enhanced system follows a digital work flow with an email notification system that alerts users of the next step in the process. All reviewed contracts are automatically stored in the system's repository for recordkeeping and efficient retrieval.

PSE Library eBooks

The PSE Library introduced its first eBooks Collection in November. The Exchange acquired eBooks to expand its resources and strengthen the library's collection and provide a more efficient library service to its users. The eBooks, accessed through the EBSCO International Services (EBSCO) online platform, are accessible anytime and anywhere to PSE, CMIC and SCCP employees. EBSCO is an online library services provider of databases, eBooks, journals and magazines to various global academic and professional institutions.



GOVERNANCE STANDARDS ADVANCEMENT

GOVERNANCE STANDARDS ADVANCEMENT

PSE's Compliance Plan

Last May 6, 2017, PSE stockholders authorized the PSE Board of Directors to implement the compliance plan for the acquisition of PDS Holdings Corp. and alignment with the industry ownership limits under the Securities Regulation Code.

Accordingly, on June 2, the PSE issued Memorandum Circular No. 2017-0028 which set out the policy applicable to PSE trading participants and trading right owners that have not been operating since May 24, 2012 or earlier (collectively, "Inactive TPs"). Under the said Circular:

1. Inactive TPs who intend to commence or resume their brokerage operations are given three months from effectivity of the policy to submit to the Exchange a sworn undertaking to commence or resume brokerage operations. Otherwise, the Exchange will initiate proceedings for revocation of their status as PSE trading participants.
2. Inactive TPs who signify their intention to resume or commence brokerage operations are required to increase their unimpaired paid-up capital to Php 100 million within six months from effectivity of the policy. Otherwise, the Exchange will initiate proceedings for revocation of their status as PSE trading participants.
3. Inactive TPs who comply with the above conditions shall have one year from effectivity of the policy to commence or resume brokerage operations. Failure to do so will result in initiation of proceedings for the revocation of their status as PSE trading participants.

The said policy took effect on June 13.

As a result of this exercise, a total of 41 inactive brokers, inclusive of 11 inactive brokers who owned PSE shares, were divested of their trading rights by operation of the explicit provisions of the By-Laws of PSE and the Rules Governing Trading Rights and Trading Participants.

In parallel with the abovementioned efforts to remove inactive trading participants from the ranks of its stockholders, the PSE set in motion the conduct of a stock rights offering to further dilute broker ownership of its outstanding capital stock.

On July 19, the PSE Board approved the issuance of up to 11.5 million common shares ("Rights Shares") out of the unissued portion of the PSE's authorized capital stock to be offered to the public. On August 9, the PSE Board approved the final structure of the stock rights offering. Under the terms and conditions of the offer, the Rights Shares may only be subscribed by eligible shareholders, which excludes (a)

PSE Trading Participants subscribing for their own account, their Related Persons, and such holders who are prohibited or restricted by law or regulation from further subscribing to the Rights Shares or participating in the offer; and (b) PSE shareholders who are located in the United States or in such other jurisdictions outside the Philippines where it is not legal to participate in the offer under the securities laws of such jurisdiction.

Each eligible shareholder was entitled to subscribe to one Rights Share for every 6,384.8 common shares held as of the Record Date of March 1, 2018 (the "Entitlement Shares"). If an applicant fully subscribes to his Entitlement Shares, and subject to the availability of unsubscribed Rights Shares arising from the failure of other eligible shareholders to fully exercise their Rights Shares entitlement, the applicant may simultaneously apply for an additional subscription of the unsubscribed Rights Shares.

On January 25, 2018, the SEC approved the listing of the Rights Shares, and on March 2, 2018, it issued in favor of the PSE a permit to offer the Rights Shares for sale. The stock rights offering was conducted from March 12-16, 2018, and the new shares were listed last March 22, 2018.

2017 PSE Bell Awards for Excellence in Corporate Governance

PSE announced several modifications to the Bell Awards to maintain its relevance as a program that aims to promote excellence in corporate governance and raise corporate governance standards. These changes were adopted and introduced during the 6th PSE Bell Awards for Excellence in Corporate Governance held on November 9 at the Makati Shangri-La Hotel.

Foremost among the changes introduced was having a single Bell Awards winner each for listed companies (LCs) and trading participants (TPs). Previously, five winners were recognized from among 10 finalists.

The 2017 Bell Awards also saw the debut of category awards related to corporate governance. For LCs, the category awards include Best Sustainability Program, Best Investor Relations Program and Best Compliance and Ethics Program while the category awards for TPs were Best Retail Investor Program and Best Compliance Program. A special award for Best Local Small Investors (LSI) Program for issuers conducting an IPO during the covered period was also given.

The Exchange also announced that the frequency of the Bell Awards ceremony will be changed to biennial instead of annual.

The winners of the 2017 PSE Bell Awards were chosen by an independent panel of judges composed of prominent leaders in government, the diplomatic corps and the academe, who were selected for their independence, integrity and commitment to corporate governance. The panel members were:

1. Hon. Teresita J. Herbosa – Chairperson, Securities and Exchange Commission and Chairperson of the 2017 Bell Awards Panel of Judges
2. Atty. Samuel G. Dagpin, Jr. – Chairman, Governance Commission for Government Owned or Controlled Corporations
3. Atty. Danilo L. Concepcion – President, University of the Philippines
4. H.E. John T. Holmes – Canadian Ambassador to the Philippines
5. Atty. Daisy P. Arce – President & CEO, Capital Markets Integrity Corporation

Bell Ringing for Gender Equality

A bell ringing ceremony was held at the PSE Ayala trading floor on March 8 to celebrate International Women's Day 2017. This global celebration, intended to promote gender equality and women's economic empowerment, was organized by the UN Global Compact, the International Finance Corporation, the Sustainable Stock Exchanges Initiative, the UN Entity for Gender Equality, Women in ETFs and the World Federation of Exchanges. For this year's celebration, the PSE joined over 40 stock exchanges worldwide in holding gender equality events.

4th SEC-PSE Corporate Governance Forum

The PSE and SEC, in partnership with USAID, International Finance Corporation, and the Good Governance Advocates and Practitioners of the Philippines, held its fourth CG Forum at the Philippine International Convention Center on November 22. The forum tackled topics on cybersecurity and information technology governance; bank secrecy and transparency; and millennials and the future of corporate governance. Speakers on the aforesaid topics were Joshua T. Farlow from the United States Federal Bureau of Investigation, Head of Enforcement & Cooperation and Senior Advisor for Special Projects of the International Organization of Securities Commissions Isabel Pastor and Professor Benito L. Teehankee of De La Salle University, respectively. Each session was followed by a panel discussion on the topic.

2017 BELL AWARDS FOR EXCELLENCE IN CORPORATE GOVERNANCE WINNERS:

Over-all Excellence in Corporate Governance for Listed Companies –

Aboitiz Power Corporation

Over-all Excellence in Corporate Governance for Trading Participants –

Deutsche Regis Partners, Inc.

The category award winners:

1. Best Investor Relations Program – **SM Prime Holdings, Inc.**
2. Best Compliance & Ethics Program (LCs) – **Aboitiz Equity Ventures, Inc.**
3. Best Sustainability Program – **First Philippine Holdings Corporation**
4. Best Compliance Program (TPs) – **Deutsche Regis Partners, Inc.**
5. Best Retail Investor Program – **BPI Securities Corporation**
6. Best Program for Local Small Investors in an IPO – **Pilipinas Shell Petroleum Corporation**



PSE participates in a global bell ringing event to mark International Women's Day.



Officers of Aboitiz Power Corporation receive the Over-all Excellence in Corporate Governance Award for Listed Companies.



Officers of Deutsche Regis Partners, Inc. receive the Over-all Excellence in Corporate Governance Award for Trading Participants.

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STAKEHOLDER WELFARE PROMOTION

STAKEHOLDER WELFARE PROMOTION

One-Trillion Market Capitalization

PSE recognized two domestic listed companies whose market capitalization broke past the one-trillion peso mark.

On June 9, SM Prime Holdings, Inc. (SMPH) made history as the first domestic listed company in the history of the Philippine stock market to have a market capitalization of over one-trillion pesos.

Two months later, on August 16, its parent company, SM Investments Corporation (SM), also saw its market capitalization cross the one-trillion peso mark.

At the end of 2017, SM and SMPH were the top two largest companies by market capitalization among domestic listed firms. Their market capitalization stood at Php1.19 trillion and Php1.08 trillion, respectively.

Listing Anniversaries

The PSE commemorates listing milestones of companies by hosting a special bell ringing event. The Exchange marks the 10th, 25th, 50th, and in increments of 25 years thereafter, listing anniversaries. The PSE celebrates these listing anniversaries to show appreciation to listed firms that have opted to raise capital through the stock market and continue to uphold the rules and regulations of the Exchange.

For 2017, PSE celebrated the listing anniversaries of eight companies. Manila Electric Company, Cebu Property Ventures and Development Corporation, International Container Services, Inc., and Union Bank of the Philippines celebrated their 25th listing anniversaries while National Reinsurance Corporation of the Philippines, Vista Land & Lifescapes, Inc., Phoenix Petroleum Philippines, Inc. (PNX), and Aboitiz Power Corporation celebrated their 10th listing anniversaries.

The listing anniversary of PNX marked the first visit of President Rodrigo Roa Duterte to the PSE since he was elected to the highest office of the country.



PSE Chairman Jose T. Pardo hands over the plaque of recognition to SM Prime Holdings, Inc. (SMPH) Director Hans T. Sy after SMPH shares breached the Php1 trillion market capitalization mark.



President of the Republic of the Philippines Rodrigo Roa Duterte graces the 10th listing anniversary of Phoenix Petroleum Philippines, Inc.

Philippine Corporate Day

The PSE co-organized the two-day 2017 Philippine Corporate Day in Japan with DBP-Daiwa Capital Markets Philippines, Inc. The non-deal roadshow brings together premier PSE-listed companies and top Japanese fund managers for the opportunity to share investment prospects, opportunities, and insights.

The 2017 Philippine Corporate Day was attended by eight listed companies, namely Ayala Corporation, International Container Terminal Services, Inc., JG Summit Holdings, Inc., Megaworld Corporation, Metro Pacific Investments Corporation, San Miguel Corporation, The Philippine Stock Exchange, Inc., and Universal Robina Corporation.

Local Small Investor Program

The PSE helped companies conducting their IPOs reach more retail investors through the Local Small Investor Program (LSI). The PSE provided kiosks and receiving center locations for LSI application forms through partnerships with different malls.

Over 6,900 retail investors participated in the LSI tranches of the four IPOs in 2017. LSI participation for 2017 increased by 10.0 percent from 2016 and had a total value of more than Php300 million.

Listing Forums

The PSE conducts listing forums to create awareness among privately held companies on alternative fund raising through the equities market and the advantages of going public. Representatives from the PSE and the SEC present the processes and requirements for listing, industry experts talk about the possible encounters during the voyage, and invited listed companies give testimonials.

In March, the PSE conducted a listing forum with the Philippine Economic Zone Authority. The forum, which was held for Laguna Technopark locators, was attended by 13 manufacturing companies. In August, the Exchange partnered with the Philippine Franchise Association (PFA) for a listing forum with PFA-member companies. The forum was attended by 12 companies that either qualify or have the potential to qualify for listing, most of which are popular brands in the consumer and services sector.

Hand-Holding Program for IPO Candidates

The PSE's Hand-Holding Program engages private companies and encourages them to list in the Exchange. Now on its seventh year, the Program guides the company through all aspects of listing by familiarizing them with the listing requirements and the listing process. Follow up meetings are scheduled to determine their level of interest and maintain communications until they embark on their IPO journey.

The PSE conducted a total of 55 meetings with 28 potential issuers in 2017. There are currently 99 companies being monitored under the Hand-Holding Program. The companies are from different industries, most of which are based in the National Capital Region while some are located in emerging cities in the country and a few are foreign firms with a strong presence in the Philippines.

Financial Freedom through Investments Roadshows

The PSE saw its biggest Philippine roadshows in stock market history in 2017. The roadshows held in Iloilo and Davao set the record of having the highest number of attendees, broker participation, and trading accounts opened on the same day.

Over 1,000 Ilonggos warmly welcomed PSE's event on September 30 at The Mansion (formerly Sarabia Manor Hotel) in Iloilo City. Participants coming from the provinces of Iloilo, Capiz, Negros Occidental, Aklan, Antique, and Guimaras took advantage of the free learning sessions which covered the basics of stock market investing, investor protection and safeguards, technical analysis, and Philippine economic outlook. Serving as panelists were industry practitioners from SEC, Capital Markets Integrity Corporation, TPs, and PSE.

Earlier in the year, the PSE organized the same event in Davao City wherein more than 800 participants from Davao Region and nearby provinces of Maguindanao, South Cotabato, CARAGA, and Bukidnon attended the event.

Both roadshows featured a Broker Expo allowing attendees to open trading accounts on the same day, inquire on their online services, and participate in interactive games. TPs who joined PSE's Davao Roadshow were AP Securities, Inc., BDO Nomura Securities, Inc., COL Financial Group, Inc., First Metro Securities Brokerage Corporation, Eagle Equities, Inc., Maybank ATR Kim Eng Securities, Inc., and UPCC Securities, Inc.

Meanwhile, the participating TPs for Iloilo Roadshow were Abacus Securities Corporation, AB Capital Securities, Inc., BDO Nomura Securities, Inc., BPI Securities Corporation, COL Financial Group, Inc., Eagle Equities, Inc., First Metro Securities Brokerage Corporation, and Unicapital Securities, Inc.



Participants of the Davao roadshow listen intently to the speaker.



The PSE Market Education Department facilitates webinars on various stock market topics.

Webinar Sessions

To reach out to a wider audience within the Philippines and overseas, the PSE amped up its webinar sessions in 2017 by conducting 13 online sessions for almost 6,000 participants.

The webinar topics catered to investors with different levels of financial knowledge. The topics include Personal Finance, Stock Market 101, Dollar Denominated Securities, Exchange Traded Funds, Portfolio Management, Technical and Fundamental Analysis, and 10 Habits of Happy Investors.

Individuals who signed up for the webinars were provided access to the live presentation and the recorded version of the webinar. The live webinar participants had the opportunity to ask questions via chat and interact with PSE panelists.

This online learning platform utilized by the Exchange has attracted participants from different parts of the country and overseas Filipinos based in Australia, Bahrain, Hong Kong, Japan, Kuwait, New Zealand, Oman, Qatar, Saudi Arabia, Singapore, Thailand, and United Arab Emirates.

Weekly Seminars

The PSE saw a continued increase in the number of weekly seminar attendees reaching a total of 2,929 participants in 2017, representing a 44.0 percent increase from 2016's 2,035 participants. Meanwhile, the PSE Cebu office almost doubled its year-on-year increase in number of attendees to 732 participants from 375 participants the previous year. The free weekly seminars in both venues feature a presentation by the PSE and complemented by a guest TP.

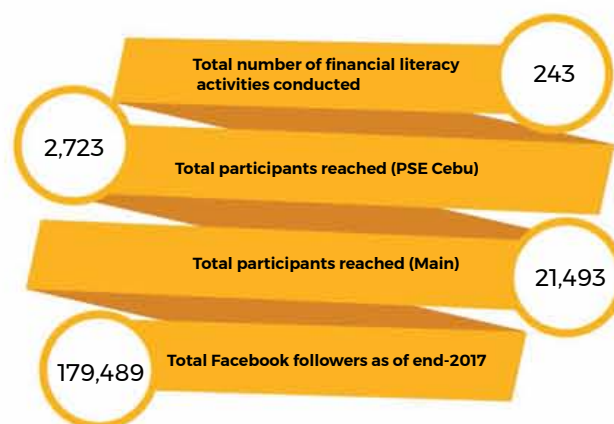


A seminar on stock market basics is held for free every week in both the PSE BGC and Cebu offices.

Active Engagement with Schools and Private Companies

The PSE actively collaborated with various institutions to introduce the concepts of investing and financial independence among students and young professionals. Close to 100 local and foreign schools, companies, and organizations visited the Exchange to gain insight and practical knowledge on how they may start their own journey in stock investing.

Market Education by the Numbers



Online Community

The PSE provided relevant market information, disclosures and stock market investing guide and reminders through its social media platforms. At the end of 2017, PSE's Facebook account had close to 180,000 followers while the Exchange's Twitter account had more than 40,000 followers. Aside from its domestic reach, PSE's online campaigns also engaged netizens located in Australia, Canada, Hong Kong, United Arab Emirates, Saudi Arabia, United States of America, Singapore, Qatar, Japan.

New Certified Securities Specialists

The PSE bestowed the title "Certified Securities Specialist" to 40 successful participants of the PSE Certified Securities Specialist Course, wherein 18 graduates were part of the pilot run with De La Salle-College of Saint Benilde School of Professional and Continuing Education (DLS-CSB SPaCE), while the remaining 22 graduates belonged to the 13th run with the Ateneo Center for Continuing Education (Ateneo CCE).

The DLS-CSB SPaCE is PSE's latest partner in conducting its flagship 124-hour certification program. Meanwhile, Ateneo CCE is one of PSE's longest partner-schools after having collaborated for 13 runs of the CSSC in the past eight years.

Pioneer Graduates of PSE Certified Financial Training Program

Nine (9) employees of US-based State Street HCL Services, Ltd. (SSHCLS) emerged as pioneer graduates of the first PSE Certified Financial Training Program in a closing ceremony held on May 29. The successful participants have undergone a rigorous one-year training program composed of 13 modules which were classified into three clusters—Introductory, Core, and Intermediate—covering capital markets, valuation techniques, fundamental analysis, practical portfolio management, market dynamics, and real-world applications of finance principles.

The program was customized by the PSE for SSHCLS as part of the Memorandum of Agreement between the two organizations.

PSE Bull Run: FIT to INVEST

PSE held the 13th edition of the PSE Bull Run on January 22. Tagged as "FIT TO INVEST", the annual fun running event of the Exchange aims to advocate physical fitness alongside financial fitness.

More than 3,000 runners representing listed and private companies, trading participants, government agencies, entertainment industry, and other stakeholders participated in the running event which featured three categories - 5K, 10K, and 21K.



Thousands participate in the PSE's annual Bull Run event in January.

PSE Foundation

The PSE Foundation supported various investor education initiatives of the Exchange, in line with its mandate to raise awareness about stock market investing. The Foundation funded the following PSE investment literacy projects:

- PSE Bull Run through a donation of Php200,000;
- Davao Roadshow through a contribution of Php100,000; and
- Iloilo Roadshow through a contribution of Php200,000.

The Foundation, likewise, sponsored the PSE-PFA Listing Forum held in April through a Php60,000 funding. It also continued providing support for capital market development to the FINEX-Capital Market Development Council through a Php90,000 donation.

Educational programs of other organizations also received financial support from the Foundation. In June, the PSE Foundation gave Php1 million to Caritas Manila, Inc. to support the launch of an endowment fund that aims to send the disadvantaged youth from the country's depressed areas and provinces to college. A donation of Php29,000 was also given to The Ready for School 2017" project of Philippine Business for Social Progress, under the Brigada Eskwela program of the Department of Education.

The PSE Foundation donated Php250,000 to Kabang Kalikasan ng Pilipinas Foundation, Inc. in support of "Climate Change Adaptation Program for Cagayancillo and Tubbataha" and "Marine Protected Areas for Improved Fisheries in Palawan". The Foundation also gave the same amount to Asia Conservation Foundation, Inc. for the publication of the book "Voices from the Islands: How the Asian Conservation Company made El Nido Resorts a showcase of sustainable tourism". The Philippine Map Collectors Society also received a Php250,000 financial support from the Foundation as it supported the exhibition entitled "Mapping the Philippine Seas" held at the Metropolitan Museum of Manila from March 14 to April 29. It featured maps and charts that explain the historical importance of the Philippine location at the center of East and Southeast Asian trade routes, the discovery and use of those maritime trade routes by European explorers, colonists and traders, the search for new, faster and safer sea passages around and through the Philippine archipelago, and the use of scientific hydrography to improve the charts and thereby the safety of seafarers.

The PSE and PSE Foundation distributed a total of Php2 million SM gift cards to soldiers who fought in Marawi. These soldiers were wounded during the Marawi siege and were confined at the AFP Medical Center in Quezon City and Army General Hospital in Taguig City.



The PSE Foundation donates Php250,000 to Kabang Kalikasan ng Pilipinas Foundation, Inc. in support of its programs for climate change and marine protected areas in Palawan.



SUSTAINABILITY REPORT

SUSTAINABILITY REPORT

PROFIT

As a stock market operator and regulator, the PSE must be financially viable to continuously offer new products and adopt leading technology for its trading system.

The Company's profitability also supports its operational efficiency, people management program, and other initiatives that aim to advance the capital markets. And ultimately, profitability creates shareholder value.

MANAGEMENT APPROACH

EVALUATION OF THE MANAGEMENT APPROACH

The PSE Management developed a sustainability strategy to ensure the realization of the eight goals it identified. The strategy aims to promote efficiencies, drive growth for business, human resource, and information technology, enhance stakeholder collaboration, and manage key risks. These strategies will be reviewed by Management annually.

PRODUCTS

A. Listing

The PSE generates revenues from various listing fees. If a company wants to be included among the securities traded in the PSE, it has to apply for listing. The processing and reviewing of listing applications, the due diligence conducted on companies that have applied for listing, and the actual listing of a company require time and resource allocation such that appropriate fees are charged by PSE. The listing fees charged to companies that go public, through an initial public offering or listing by way of introduction, depends on the value of shares being offered. The PSE charges an annual listing maintenance fee on all listed securities in the Exchange's registry for the daily services provided by PSE in the functional areas of listing services and disclosure. The amount is contingent on the listing board, Main Board or SME Board, where the company is listed. There are also fees for additional listing of shares by existing listed companies for corporate actions like stock dividend, stock rights offering, private placement, and preferred share offering, among others.

B. Trading

The trading-related revenues primarily pertain to the systems and support services provided by the Exchange to TPs who utilize the trading platform and front-end systems of PSE. The trading fees also cover the processing of market orders, maintenance of the trading system, subscription to trading terminals and PSETradex, the Exchange's online trading platform. TPs pay their subscription to trading terminals depending on the number of licensed traders they employ. Meanwhile, the PSETradex fees vary depending on the type of application software they avail.

C. Market Data

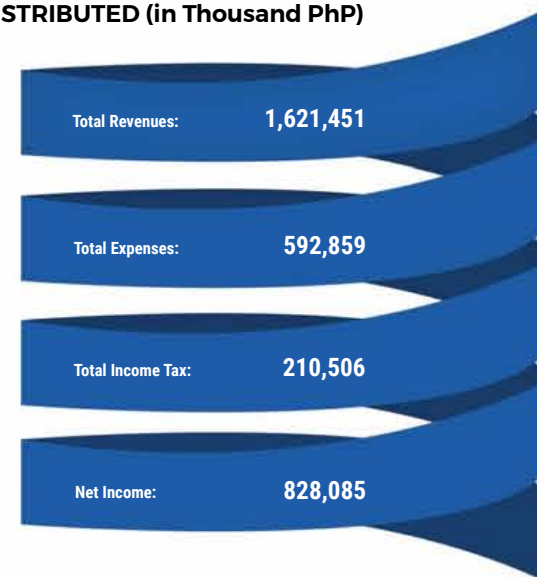
Market data relates to the Exchange's distribution of market data products regarding PSE's stock market information for the benefit of end users such as TPs, listed companies, and local and foreign data vendors. Examples of such market data for a fee include market order book, stock prices, end-of-day statistics, monthly foreign ownership level, and corporate announcements. These data can be distributed as an electronic feed, which end users can receive either on a real-time or delayed basis, or electronic file formats (i.e. CSV, TXT, PDF, etc.).

D. SCCP Service Fee

This service fee is charged by the SCCP, which is a wholly-owned subsidiary of PSE, for the use of the clearing and settlement-services provided by the SCCP for all trades executed through the facilities of the PSE.

ECONOMIC PERFORMANCE

DIRECT ECONOMIC VALUE GENERATED AND DISTRIBUTED (in Thousand Php)



FINANCIAL ASSISTANCE RECEIVED FROM THE GOVERNMENT

The PSE does not receive any financial assistance from the Philippine government.

SIGNIFICANT INDIRECT ECONOMIC IMPACTS

PSE functions as a market operator and at the same time, performs regulator functions to ensure a fair and orderly market.

As a venue for capital raising, PSE helps listed companies raise the funds they need for acquisition, research and development, expansion, debt payment, and other strategic or operational initiatives. These corporate activities have helped boost economic activity and generate jobs. For 2017, listed companies were able to raise a total of Php165 billion through the stock market.

ANTI-CORRUPTION OPERATIONS ASSESSED FOR RISKS RELATED TO CORRUPTION

PSE's operation is regularly assessed for key risks through its risk register. The risk register is a tool that helps the Company track issues and address any potential problem. PSE's risk assessment identified fraud as an operational risk related to corruption.

For the year, the register identified fraud as a significant risk in the procurement process and administration services. PSE has institutionalized mitigating measures to manage the risk and will continue to evaluate its policies, procedures and programs in terms of effectiveness and efficiency in addressing this risk.

COMMUNICATION AND TRAINING ABOUT ANTI-CORRUPTION POLICIES AND PROCEDURES

The Exchange will include anti-corruption related topics in its 2018 training programs.

CONFIRMED INCIDENTS OF CORRUPTION AND ACTION TAKEN

There has been no incident of corruption reported for the year.

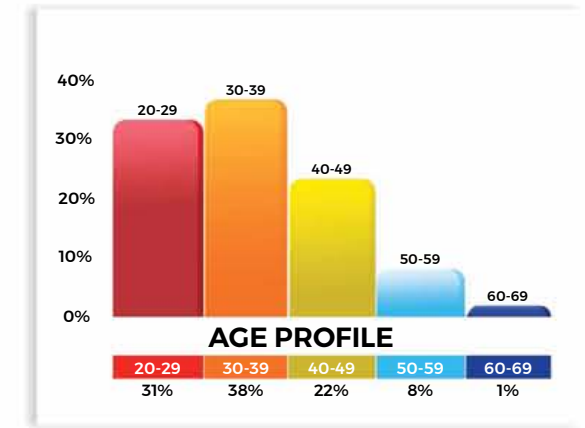
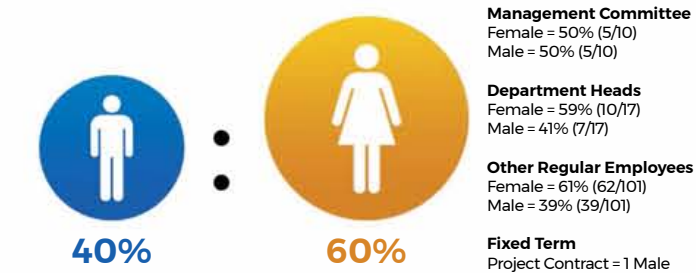
PEOPLE

A highly motivated and engaged organization is a fundamental factor in the success of any organization. The PSE promotes a culture of teamwork and collaboration to maintain and drive operational excellence. At the same time, it provides employees career advancement opportunities and activities to ensure their holistic development. All these tools are employed to emphasize the value of human resource and as a tool for talent acquisition and retention.

Regular Employees (128)

HUMAN RESOURCE ANALYTICS

As of December 31, 2017



PARENTAL LEAVE

PSE provides both maternity and paternity leave benefits to its employees in compliance with laws and regulations. Close to 70 parents were entitled to such leave but only a fraction of that number availed of the leave benefit.

PARENTAL LEAVE	MALE	FEMALE
TOTAL NUMBER OF EMPLOYEES ENTITLED TO PARENTAL LEAVE	29	37
TOTAL NUMBER OF EMPLOYEES THAT TOOK PARENTAL LEAVE	1	2
TOTAL NUMBER OF EMPLOYEES THAT RETURNED TO WORK IN THE REPORTING PERIOD AFTER PARENTAL LEAVE ENDED	1	2
TOTAL NUMBER OF EMPLOYEES THAT RETURNED TO WORK IN THE REPORTING PERIOD AFTER PARENTAL LEAVE ENDED THAT WAS STILL EMPLOYED 12 MONTHS AFTER THEIR RETURN TO WORK	1	2
RETURN TO WORK AND RETENTION RATES OF EMPLOYEES THAT TOOK PARENTAL LEAVE	1	2

PEOPLE IMPROVEMENT

For the second year in a row, employee participation in the learning and development programs increased. In 2017, 125 employees attended at least one learning or training session compared with 110 employees and 62 employees for 2016 and 2015, respectively. This translates to a total of 806 training hours or an average of 6.3 hours per employee.

As part of the upskilling of employees, this year's in-house training included Advanced Excel Training, Corporate Image, Effective Business Writing, Performance Coaching, and Professional Training for Executive Assistants. The Management Committee likewise attended the Scaling Up Workshop with Verne Harnish that was organized by the Young Presidents Organization. During the workshop, modern leadership styles and techniques were discussed including methodologies on how to lead as an individual leader and as a management team. The Management Committee adopted some of the leadership techniques introduced in the workshop. The Exchange is preparing to conduct human rights related topics in its future information sessions.

In support of employee development, the annual performance review was likewise conducted, which covered all employees.

EMPLOYEE ENGAGEMENT

The PSE continued to beef up its employee engagement program to ensure that its workforce remains dedicated to their work, loyal to the company and committed to the Exchange's mission and values.

The Company's Employee Services Department (ESD) initiated #PSEpulse, which aims to get the sentiments of employees and get their feedback on specific activities and initiatives through a survey. For the year, ESD conducted seven surveys. The Department, likewise, started the #PSEInspires program through its Monday Motivation activity. A total of 44 Monday motivational quotes were released in 2017.

The ESD likewise organized an onsite ID capturing of PAG-IBIG Loyalty Card and Philhealth ID.

The PSE also organized various events throughout the year to foster camaraderie among employees. The significant holidays and events commemorated with fun activities for employees include Valentine's day, Mothers' day, Fathers' day, Halloween, and Christmas. Other activities held were the summer outing and movie night for employees.



Employees dress up for the arcade-themed Halloween party.

WELLNESS ACTIVITIES

Integral to the holistic development of its employees is health and wellness. As such, the PSE had several lunch and learn series covering topics such as the importance of exercise, stress management, skin care, and dental care. The Company also had a flu vaccine program which covered not just the employees but their immediate family as well. To ensure fitness among its workforce, the PSE organized basketball, bowling, and badminton tournaments. These sporting events also saw the participation of TPs. A total of 49 Zumba classes were also held throughout the year.



Employees strike a pose before the start of the PSE Bowling Tournament.

POLICY INFORMATION SESSIONS

The Exchange conducts information sessions for employees as part of its awareness campaign on Company rules and policies. The regularity of these information sessions is a testament to PSE's commitment to corporate governance and sustainability. For the year, a review of the Company's corporate governance manual, drug-free workplace policy, operational risks, and employee benefits were tackled. A special session on integrity was also conducted.

#PSEHelps

The PSE has always been conscious of its role to the bigger community. It has responded to the needs of fellow Filipinos who have been hit by calamities. While it usually answers the call to help our countrymen who are victims of typhoons and earthquakes, PSE stepped up its assistance and support to various stakeholders and our Filipino brothers and sisters in 2017. PSE provided assistance to those affected by the armed conflict in Marawi City by conducting a donation drive for the benefit of the people of Marawi. The Exchange also extended assistance to the valiant soldiers who fought to free Marawi from the terrorists and other armed groups. In December, the PSE and PSE Foundation officers and friends of PSE personally handed gifts to the Marawi siege heroes who were wounded and are being rehabilitated at the V. Luna General Hospital and the Army General Hospital. Good friends of the PSE also helped the Exchange reach out to families of soldiers who passed away due to the siege. The gifts were delivered to their respective provinces, duly named after their next of kin.

The PSE also had a #PSEHelps donation drive to help victims of the flash flood in Cagayan de Oro.



PSE Officers extend a helping hand to soldiers who were wounded during the Marawi siege.



PSE President and CEO Ramon S. Monzon gives PSE's gift to soldiers.

PLANET

The preservation of our planet is a collective effort of all sectors in society. The PSE aims to contribute to this endeavor by managing its carbon footprint, adopting waste management mechanisms and using energy efficient devices.

ELECTRIC CONSUMPTION



WATER CONSUMPTION

RECYCLING AND WASTE MANAGEMENT

PSE conducted a study to aid in the development of a suitable waste management strategy. The amount of waste collected daily and the services offered by recycling and waste management companies were taken into consideration.

As part of PSE's sustainability efforts through responsible disposal system, the Exchange rolled-out a recycling program. The program aims to identify authorized recycling companies for the collection of paper, plastic and other solid recyclable waste on a daily basis without cost.

Proper Disposal of Hazardous Wastes

The PSE ensured the proper disposal of hazardous wastes by tapping disposal companies accredited by the Department of Environment and Natural Resources (DENR). This is in line with DENR's Administrative Order No. 2013-22: Revised Procedures and Standards for the Management of Hazardous Wastes.



REPORT OF SUBSIDIARIES



SECURITIES CLEARING CORPORATION OF THE PHILIPPINES

The Securities Clearing Corporation of the Philippines (SCCP) is a wholly-owned subsidiary of PSE and is under the regulatory supervision of SEC. It was established primarily as the clearing and settlement agency for equities trades transacted through the facilities of the Exchange, and acts as a Central Counterparty to trades executed through the Exchange. SCCP is authorized by the SEC to charge fees and impose fines and penalties and other sanctions as approved by the SCCP Board of Directors to ensure compliance of its Clearing Members with its Rules.

Financial Performance

SCCP ended the year with a net income of Php254.56 million, slightly higher than the net income of Php253.56 million in 2016. With the Corporation's positive performance, the SCCP Board of Directors approved the declaration of cash dividends totaling Php200 million to PSE during its special meeting held on December 13 and paid same on February 7, 2018.

Clearing and Settlement Operations

Clearing Members continued to adhere to the T+3 12:00 noon settlement deadline, achieving a compliance rate of 99.98 percent and 99.97 percent for the delivery of their securities and cash obligations, respectively during the year.

On the average, SCCP was able to release the Due Broker entitlements during the year at 12:31 p.m. This enabled the Clearing Members to release the cash and securities entitlements to their investor clients at a reasonably early time.

Return of Contributions to the Clearing and Trade Guaranty Fund

Most of the clearinghouses around the globe allow the return of Clearing Members' contributions to the Clearing Fund upon cessation of business operations. On March 15, the SCCP Board approved the return of contributions of Clearing Members to the Clearing and Trade Guaranty Fund (CTGF) upon cessation of their business operations and/or upon the termination of their membership with SCCP, subject to certain conditions. On February 21, 2018, the SCCP Board required Clearing Members to classify as trade-related assets their CTGF contributions refunded to them upon cessation of their business operations.

SCCP submitted its proposed amendment to the Rules and Operating Procedures governing the refundability of the CTGF to the SEC for approval.

Update on the Acquisition of a New Clearing & Settlement System

SCCP is in the process of acquiring a new clearing and settlement (C&S) system to replace its existing C&S system. The new system is intended to support the initiatives of the Exchange to launch new products and services and will incorporate global best practices in clearing and settlement services using advanced, if not the latest, technology available in the market.

The Project Team conducted a thorough due diligence on the short-listed vendors for the C&S system. This undertaking included a full review from existing C&S clients of the vendors to obtain feedback from them regarding ease of implementation of their system, ease of use by users including the brokers, integration with other systems such as the trading system, promptness and facility in maintenance and troubleshooting, and several other important criteria. In October, the vendors were asked to demonstrate their actual systems to showcase the required features and unique functionalities of their C&S systems. SCCP plans to launch its new clearing and settlement system in 2019.

New Settlement Bank

China Banking Corporation was accredited by the SCCP Board as its 10th settlement bank during its regular meeting held on October 18 and the bank started operating as one on November 2. China Banking Corporation's accreditation came after they passed the user acceptance testing with SCCP and integration testing with the existing settlement banks. The nine other settlement banks of SCCP are Asia United Bank, BDO Unibank, Inc., Citibank, N.A., Deutsche Bank, Hong Kong and Shanghai Banking Corporation, Maybank Philippines Inc., Metropolitan Bank and Trust Company, Rizal Commercial Banking Corporation and Union Bank of the Philippines.

New Clearing Members

The SCCP Board approved the admission of VC Securities, Inc. and China Bank Securities Corporation as Clearing Members during its regular meetings held last August and October, respectively.

Name On Central Depository

The PSE, PDTC and SCCP embarked on a project to promote PDTC's Name on Central Depository (NoCD) service where clients' holdings are segregated under the sub-accounts of the Broker bearing the investors' names.

Under the NoCD account structure, investors will have direct access to their shareholdings and will be able to readily identify their security position at regular intervals.

Annual Credit Review of Settlement Banks

For the 2017 annual credit review, SCCP's settlement banks have proven their creditworthiness, stability, liquidity, profitability and operating capability as shown by their performance indicators, along with improved business strategies, while implementing strict risk management.

Regular Testing of the Business Continuity and Disaster Recovery Plans

SCCP, supported by the PSE Technology Division, conducted quarterly testing of its Business Continuity and Disaster Recovery plans. In 2017, the testing took place on March 17, June 23, September 8 and December 8. All tests yielded successful results.

SECURITIES CLEARING CORPORATION OF THE PHILIPPINES BOARD OF DIRECTORS & OFFICERS



JOSE T. PARDO
CHAIRMAN AND
INDEPENDENT DIRECTOR



RAMON S. MONZON
PRESIDENT AND CHIEF EXECUTIVE
OFFICER, DIRECTOR



WILLIAM L. ANG
DIRECTOR



EMMANUEL O. BAUTISTA
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ANABELLE L. CHUA
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FRANCIS CHUA
DIRECTOR



DAKILA B. FONACIER
INDEPENDENT DIRECTOR



WINSTON F. GARCIA
DIRECTOR



EDDIE T. GOBING
DIRECTOR



AMOR C. ILISCUPIDEZ
DIRECTOR



ALEJANDRO T. YU
DIRECTOR



OMELITA J. TIANGCO
TREASURER



AISSA V. ENCARNACION
CORPORATE SECRETARY



RENEE D. RUBIO
CHIEF OPERATING OFFICER



CAPITAL MARKETS INTEGRITY CORPORATION

The Capital Markets Integrity Corporation (CMIC) is a wholly-owned subsidiary of PSE. As a self-regulatory organization (SRO), it conducts independent audit of the pertinent books and records of PSE trading participants (TPs), monitors trading activities, and enforces compliance with the securities laws by the TPs.

Essentially, the CMIC carries out the enforcement role of an SRO in pursuance of the securities laws. It has jurisdiction to investigate and resolve violations of securities laws as well as trading-related irregularities and unusual trading activities of PSE TPs.

The CMIC has three departments: Surveillance Department (SD); Audit and Compliance Department (ACD); and Investigation and Enforcement Department (IED).

Surveillance

The SD monitors daily market activities, identifies irregularities in the market, and investigates unfair trading practices. For the year, they evaluated a total of 149 surveillance cases, 43 of which were referred to the IED for further investigation.

Audit and Compliance

The ACD conducts regular and spot audits of TPs. ACD's Regular Examination Unit concluded its regular audit of TPs. Of the 132 TPs, 90 percent were found to be compliant with the securities laws. ACD's Risk Management Unit also conducted spot audits of 21 TPs to check compliance with Risk Based Capital Adequacy Ratio and Reserve Requirements. Results showed that 90 percent of those audited had no material violations.

Investigation and Enforcement

The IED, which conducts investigations and inquiries to determine possible violations of pertinent securities laws, issued its resolutions on four investor complaints, and 41 cases involving purported trading-related irregularities and unusual trading activities, among other violations of the securities laws.

The CMIC endorsed 26 cases involving possible violations by certain beneficial owners of the securities laws to the SEC. It also forwarded 12 matters concerning apparent violations of the PSE Disclosure Rules to the PSE for further evaluation and appropriate actions.

I. Ackerman & Co., Inc.

The CMIC continued to implement SEC's order to settle the liabilities of I. Ackerman & Co., Inc. (IACI) to its customers. CMIC is guided by the allocation and liquidation plan and the relevant securities laws in this undertaking.

In 2014, the CMIC suspended the operations of IACI for various violations of the pertinent securities laws. In 2015, the SEC issued an Order directing the CMIC to, among other actions, take over IACI's operations and settle IACI's liabilities to its customers through the sale of its trade-related assets. Thereafter, the CMIC submitted to the SEC its plan for the allocation and liquidation of the trade-related assets of IACI.

DW Capital, Inc.

On August 7, several clients of DW Capital, Inc. (DWCI) filed complaints with the CMIC alleging possible trading-related irregularities committed by the TP on their accounts. The clients provided supporting documents to CMIC.

After an initial evaluation of the records and pursuant to its rules, CMIC suspended on August 10 the trading by DWCI of all listed securities. On August 18, the CMIC, on the basis of its findings regarding the complaints, filed an urgent petition with the SEC for the issuance of a take-over order.

However, the CMIC was constrained to lift the suspension order against DWCI to trade all securities listed in the PSE on December 5, pursuant to a writ of preliminary injunction issued by the Regional Trial Court of Makati, Branch 145, in the case entitled DW Capital, Inc. vs. Derwin Ngo Wong, Capital Markets Integrity Corporation, et al. (Case No.R-MKT-17-02778-CV). On the same date, the SEC issued an order relevant to the petition filed by the CMIC and directed the PSE to take over the operations of DWCI.

Reportorial Matters

The CMIC regularly submitted the following reports to the SEC throughout the year: Report on Resolved and Appealed Cases, and Dockets of Examinations and Investigations Being Conducted by the CMIC; Monthly Report on Started and Completed Audits; Risk Management Unit Reports; and Report on the Results of the Monitoring of Trading of Listed Companies and Examinations Being Conducted by the CMIC.

CAPITAL MARKETS INTEGRITY CORPORATION BOARD OF DIRECTORS & OFFICERS



LISTED COMPANIES AND ISSUES

AS OF DECEMBER 31, 2017

ISSUE/SECURITY	CODE	FREE FLOAT (IN %, AS DISCLOSED)	MARKET CAPITALIZATION (IN PHP)
FINANCIALS SECTOR			5,350,726,903,101.17

BANKS

Asia United Bank Corporation	AUB	33.90	29,021,570,172.40
BDO Unibank, Inc.	BDO	44.96	716,504,985,596.00
Bank of the Philippine Islands	BPI	48.82	424,734,671,483.30
China Banking Corporation	CHIB	58.26	89,402,898,142.80
Citystate Savings Bank, Inc.	CSB	18.11	727,649,980.00
Export and Industry Bank, Inc. "A"	EIBA	28.08 ¹	715,844,676.56
Export and Industry Bank, Inc. "B"	EIBB	28.08 ¹	4,207,985,965.04
East West Banking Corporation	EW	21.02	47,924,476,339.50
Metropolitan Bank & Trust Company	MBT	48.98	322,469,520,500.40
NextGenesis Corporation	NXGEN	32.39	728,092,575.00
Philippine Business Bank	PBB	32.75	7,712,126,126.12
Philippine Bank of Communications	PBC	24.67	11,535,483,912.00
Philippine National Bank	PNB	21.03	70,826,219,742.60
Philippine Savings Bank	PSB	15.66	20,938,004,590.65
Philippine Trust Company	PTC	13.26	145,000,000,000.00
Rizal Commercial Banking Corporation	RCB	24.37	77,485,370,747.40
Security Bank Corporation	SECB	59.68	189,439,676,191.80
Union Bank of the Philippines	UBP	30.58	91,705,501,447.85

OTHER FINANCIAL INSTITUTIONS

AG Finance, Incorporated ²	AGF	28.61	890,201,606.80
Bright Kindle Resources & Investments Inc.	BKR	17.19	3,011,093,780.00
BDO Leasing and Finance, Inc.	BLFI	11.45	8,260,655,691.84
COL Financial Group, Inc.	COL	27.18	7,378,000,000.00
First Abacus Financial Holdings Corporation	FAF	81.05	859,104,000.00
Filipino Fund, Inc.	FFI	28.86	384,783,934.99
I-Remit, Inc.	I	23.08	1,064,252,072.28
Medco Holdings, Inc.	MED	53.95	420,000,000.00
Manulife Financial Corporation	MFC	0.15 ³	1,872,674,156,430.00
National Reinsurance Corporation of the Philippines	NRCP	47.56	2,038,661,376.00
The Philippine Stock Exchange, Inc.	PSE	62.36	17,611,295,280.00
Sun Life Financial Inc.	SLF	0.61 ³	1,179,847,138,730.00
Vantage Equities, Inc.	V	33.63	5,207,482,009.84

INDUSTRIAL SECTOR

ELECTRICITY, ENERGY, POWER & WATER

Alsons Consolidated Resources, Inc.	ACR	20.02	8,493,525,000.00
Aboitiz Power Corporation	AP	18.94	305,750,008,955.85
Basic Energy Corporation	BSC	87.56	579,193,301.57
Energy Development Corporation	EDC	10.88	107,550,437,400.00
First Gen Corporation	FGEN	32.56	62,236,040,469.00
First Philippine Holdings Corporation	FPH	48.54	34,360,807,278.00
Philippine H2O Ventures Corp.	H2O	34.70	1,493,502,834.56
Manila Electric Company	MER	20.94	370,364,634,463.00
Manila Water Company, Inc.	MWC	55.64	57,613,182,046.20
Petron Corporation	PCOR	23.84	85,969,708,237.49
PetroEnergy Resources Corporation	PERC	42.33	2,505,491,613.00

ISSUE/SECURITY	CODE	FREE FLOAT (IN %, AS DISCLOSED)	MARKET CAPITALIZATION (IN PHP)
PHINMA Energy Corporation	PHEN	44.26	7,676,946,627.54
Phoenix Petroleum Philippines, Inc.	PNX	15.18	18,609,997,016.00
Pilipinas Shell Petroleum Corporation	SHLPH	23.78	98,420,096,322.00
SPC Power Corporation	SPC	13.14	8,081,379,736.20
Vivant Corporation	VVT	12.63	25,484,071,780.20

FOOD, BEVERAGE & TOBACCO

AgriNurture, Inc.	ANI	24.54	8,149,643,749.20
Bogo-Medellin Milling Company, Inc.	BMM	42.70	720,600,000.00
Central Azucarera de Tarlac, Inc.	CAT	12.18	5,749,663,766.00
Century Pacific Food, Inc.	CNPF	23.82	57,313,744,067.10
Del Monte Pacific Limited	DMPL ⁴	31.96	21,228,043,462.08
D&L Industries, Inc.	DNL	30.80	79,000,009,369.40
Emperador Inc.	EMP	16.27	119,052,246,633.60
Alliance Select Foods International, Inc.	FOOD	31.77	1,549,821,727.06
Ginebra San Miguel, Inc.	GSMI	20.57	7,537,337,960.70
Jollibee Foods Corporation	JFC	43.40	274,584,248,202.00
Liberty Flour Mills, Inc.	LFM	49.72	8,782,500,000.00
Macay Holdings, Inc.	MACAY	10.24	22,436,257,683.00
Max's Group, Inc.	MAXS	34.12	20,219,725,646.40
Millennium Global Holdings, Inc.	MG	45.22	510,000,000.00
San Miguel Pure Foods Company, Inc. ⁵	PF	14.61	88,166,893,784.00
Pepsi-Cola Products Philippines, Inc.	PIP	36.11	7,941,610,399.85
Shakey's Pizza Asia Ventures, Inc.	PIZZA	28.93	20,611,581,373.38
Roxas and Company, Inc.	RCI	39.93	5,039,265,007.80
RFM Corporation	RFM	48.65	17,383,534,538.02
Roxas Holdings, Inc.	ROX	16.42	6,280,640,003.96
Swift Foods, Inc.	SFI	99.71	243,132,745.38
Universal Robina Corporation	URC	44.08	332,828,442,068.00
Vitarich Corporation	VITA	28.31	5,461,535,885.96
Victorias Milling Company, Inc.	VMC	17.25	8,171,310,680.72

CONSTRUCTION, INFRASTRUCTURE & ALLIED SERVICES

Asiabest Group International Inc.	ABG	33.97	5,208,000,000.00
Concrete Aggregates Corporation "A"	CA	23.49	1,324,666,260.00
Concrete Aggregates Corporation "B"	CAB	23.49	447,260,274.00
Cemex Holdings Philippines, Inc.	CHP	45.00	25,353,529,815.52
Da Vinci Capital Holdings, Inc.	DAVIN	15.00	6,063,749,832.91
Eagle Cement Corporation	EAGLE	11.49	73,900,000,000.00
EEl Corporation	EEl	45.31	12,435,377,820.00
Holcim Philippines, Inc.	HLCM	14.26	69,553,628,772.32
Megawide Construction Corporation	MWIDE	36.48	38,494,394,946.00
Phinma Corporation	PHN	40.71	2,392,960,626.00
Philippine National Construction Corporation	PNC	13.12	854,779,319.10
Supercity Realty Development Corporation	SRDC	48.89	88,000,000.00
TKC Metals Corporation	T	29.04	1,109,200,000.00
Vulcan Industrial & Mining Corporation	VUL	30.86	1,131,000,000.00

CHEMICALS

Chemical Industries of the Philippines, Inc.	CIP	29.83	1,935,760,988.00
Crown Asia Chemicals Corporation	CROWN	42.35	1,198,520,000.00
Euro-Med Laboratories Phil., Inc.	EURO	12.58	6,826,153,296.40
LMG Chemicals Corporation	LMG	34.08	793,531,121.60
Mabuhay Vinyl Corporation	MVC	11.99	2,116,190,073.60
Pryce Corporation	PPC	71.68	13,766,600,000.00

26,636,755,479.60

ISSUE/SECURITY	CODE	FREE FLOAT (IN %, AS DISCLOSED)	MARKET CAPITALIZATION (IN PHP)
ELECTRICAL COMPONENTS & EQUIPMENT			87,431,307,929.22
Concepcion Industrial Corporation	CIC	29.60	25,651,602,791.20
Greenery Holdings Incorporated	GREEN	69.26	666,288,071.64
Integrated Micro-Electronics, Inc.	IMI	20.70	34,946,856,513.22
Ionics, Inc.	ION	34.88	1,866,802,112.16
Panasonic Manufacturing Philippines Corporation	PMPC	14.91	735,399,389.76
SFA Semicon Philippines Corporation	SSP	14.99	4,308,397,980.89
Cirtek Holdings Philippines Corporation	TECH	33.00	19,255,961,070.35

OTHER INDUSTRIALS			1,911,343,956.08
Filsyn Corporation "A"	FYN	32.27	371,243,121.00
Filsyn Corporation "B"	FYNB	32.27	412,492,370.00
Picop Resources, Inc.	PCP	49.84 ⁶	867,608,465.08
Steniel Manufacturing Corporation	STN	15.53	260,000,000.00

HOLDING FIRMS SECTOR			4,373,099,444,994.81
Asia Amalgamated Holdings Corporation	AAA	10.12	1,287,999,969.41
AbaCore Capital Holdings, Inc.	ABA	49.07	987,639,548.99
Ayala Corporation	AC	41.50	630,508,138,260.00
Aboitiz Equity Ventures, Inc.	AEV	44.60	416,900,649,218.00
Alliance Global Group, Inc.	AGI	31.49	163,727,879,664.00
A. Soriano Corporation	ANS	18.42	17,625,000,000.00
Anglo Philippine Holdings Corporation	APO	16.62	3,003,302,538.00
ATN Holdings, Inc. "A"	ATN	38.38	1,517,000,000.00
ATN Holdings, Inc. "B"	ATNB	38.38	368,000,000.00
BHI Holdings, Inc.	BH	10.02	742,980,682.00
Cosco Capital, Inc.	COSCO	26.56	56,682,866,732.80
DMCI Holdings, Inc.	DMC	27.61	191,195,568,000.00
Filinvest Development Corporation	FDC	10.89	72,210,423,399.25
F & J Prince Holdings Corporation "A"	FJP	26.00	1,293,336,721.56
F & J Prince Holdings Corporation "B"	FJPB	26.00	1,059,618,196.00
Forum Pacific, Inc.	FPI	52.45	334,687,670.77
GT Capital Holdings, Inc.	GTCAP	43.80	248,834,917,020.00
House of Investments, Inc.	HI	51.71	4,533,731,399.04
JG Summit Holdings, Inc.	JGS	40.99	516,440,883,469.70
Jolliville Holdings Corporation	JOH	34.24	1,689,000,000.00
Keppel Philippines Holdings, Inc. "A"	KPH	17.95	195,301,638.00
Keppel Philippines Holdings, Inc. "B"	KPHB	17.95	123,327,759.30
Lodestar Investment Holdings Corporation	LIHC	24.67	2,070,000,000.00
Lopez Holdings Corporation	LPZ	44.75	25,920,566,621.60
LT Group, Inc.	LTG	25.64	202,792,827,779.86
Metro Global Holdings Corporation	MGH	11.92	2,000,000,000.00
Mabuhay Holdings Corporation	MHC	35.85	366,000,000.00
MJC Investments Corporation	MJIC	13.45	10,792,979,791.40
Metro Pacific Investments Corporation	MPI	42.26	215,847,464,451.20
Pacifica, Inc.	PA	35.83	1,800,000,000.00
Prime Orion Philippines, Inc.	POPI	36.69	10,037,733,125.15
Prime Media Holdings, Inc.	PRIM	14.93	805,343,408.40
Republic Glass Holdings Corporation	REG	24.64	1,773,370,643.20
Solid Group, Inc.	SGI	21.24	2,859,820,940.00
Synergy Grid & Development Phils., Inc.	SGP	12.49	8,903,880,000.00
SM Investments Corporation	SM	44.30	1,192,537,038,330.00
San Miguel Corporation	SMC	15.26	265,443,387,544.80
SOCResources, Inc.	SOC	23.63	730,555,660.08

ISSUE/SECURITY	CODE	FREE FLOAT (IN %, AS DISCLOSED)	MARKET CAPITALIZATION (IN PHP)
Seafront Resources Corporation	SPM	80.91	435,210,000.00
Top Frontier Investment Holdings, Inc.	TFHI	11.89	95,205,443,762.00
Unioil Resources & Holdings Company, Inc.	UNI	40.65	349,703,194.94
Wellex Industries, Inc.	WIN	43.20	602,036,625.12
Zeus Holdings, Inc.	ZHI	56.14	563,831,230.24

PROPERTY SECTOR			2,508,994,592,286.03
Arthaland Corporation	ALCO	25.86	4,786,285,679.10
Anchor Land Holdings, Inc.	ALHI	14.33	13,395,212,880.00
Ayala Land, Inc.	ALI	52.04	656,732,661,086.80
Araneta Properties, Inc.	ARA	24.43	4,449,163,659.60
Belle Corporation	BEL	43.45	40,734,877,845.16
A Brown Company, Inc.	BRN	44.69	2,477,667,911.00
Cityland Development Corporation	CDC	26.37	4,607,534,530.17
Crown Equities, Inc.	CEI	62.90	3,114,399,990.84
Cebu Holdings, Inc.	CHI	28.03	11,040,423,332.25
Cebu Landmasters, Inc.	CLI	32.99	8,364,320,000.00
Century Properties Group Inc.	CPG	37.50	5,683,804,338.10
Cebu Property Ventures and Development Corporation "A"	CPV	15.94	3,498,102,000.00
Cebu Property Ventures and Development Corporation "B"	CPVB	15.94	2,332,068,000.00
Cyber Bay Corporation	CYBR	36.35	3,097,129,878.12
DoubleDragon Properties Corp.	DD	25.62	88,520,281,000.00
Empire East Land Holdings, Inc.	ELI	16.98	9,539,529,458.55
Ever-Gotesco Resources and Holdings, Inc.	EVER	37.12	740,000,000.00
Filinvest Land, Inc.	FLI	38.81	45,589,547,871.28
Global-Estate Resorts, Inc.	GERI	17.65	15,709,980,000.00
8990 Holdings, Inc.	HOUSE	25.15	37,136,077,545.60
IRC Properties, Inc.	IRC	32.61	982,064,333.36
Keppel Philippines Properties, Inc.	KEP	19.96	1,184,130,467.00
City & Land Developers, Incorporated	LAND	15.69	1,428,539,354.00
Megaworld Corporation	MEG	33.67	166,355,540,699.52
MRC Allied, Inc.	MRC	48.09	2,851,740,756.63
Philippine Estates Corporation	PHES	52.57	513,170,189.65
Primetown Property Group, Inc.	PMT	20.76	320,354,880.00
Primex Corporation	PRMX	30.25	9,504,733,323.80
Robinsons Land Corporation	RLC	38.59	87,198,593,590.50
Philippine Realty and Holdings Corporation	RLT	54.98	3,051,841,442.34
Rockwell Land Corporation	ROCK	13.01	12,967,535,859.76
Shang Properties, Inc.	SHNG	34.55	14,911,496,178.31
Sta. Lucia Land, Inc.	SLI	16.69	9,035,914,500.00
SM Prime Holdings, Inc.	SMPH	31.58	1,082,971,188,525.00
Starmalls, Inc.	STR	10.30	74,232,893,984.36
Suntrust Home Developers, Inc.	SUN	38.52	1,912,500,000.00
PTFC Redevelopment Corporation	TFC	55.41	1,190,000,000.00
Vista Land & Lifescapes, Inc.	VLL	28.63	76,833,287,195.24

SERVICES SECTOR			2,037,880,921,390.35
MEDIA			57,686,200,488.64
ABS-CBN Corporation	ABS	43.21	29,437,717,402.60
GMA Network, Inc.	GMA7	23.85	19,628,514,480.00
Manila Bulletin Publishing Corporation	MB	22.01	1,975,699,271.04
Manila Broadcasting Company	MBC	10.22	6,644,269,335.00

ISSUE/SECURITY	CODE	FREE FLOAT (IN %, AS DISCLOSED)	MARKET CAPITALIZATION (IN PHP)
TELECOMMUNICATIONS			
Globe Telecom, Inc.	GLO	21.68	252,541,511,500.00
Philippine Telegraph and Telephone Corporation	PTT	29.97	263,999,580.24
PLDT Inc.	TEL	53.80	319,762,547,000.00
34,108,955,093.10			
INFORMATION TECHNOLOGY			
Apollo Global Capital, Inc.	APL	10.10	11,558,235,003.84
DFNN, Inc.	DFNN	62.73	2,275,586,256.08
Imperial Resources, Inc.	IMP	15.68	1,722,600,000.00
Island Information & Technology, Inc.	IS	81.39	688,890,564.59
ISM Communications Corporation	ISM	62.72	1,504,053,927.60
Jackstones, Inc.	JAS	17.57	514,406,427.79
Now Corporation	NOW	19.35	4,278,724,947.00
Transpacific Broadband Group International, Inc.	TBGI	69.29	598,270,131.00
Philweb Corporation	WEB	25.50	10,968,187,835.20
560,950,735,287.47			
TRANSPORTATION SERVICES			
2GO Group, Inc.	2GO	11.66	45,204,600,672.00
Asian Terminals, Inc.	ATI	65.45	23,640,000,000.00
Cebu Air, Inc.	CEB	32.76	60,595,333,000.00
Chelsea Logistics Holdings Corp.	CLC	29.88	15,996,963,459.70
International Container Terminal Services, Inc.	ICT	51.04	214,607,621,663.00
LBC Express Holdings, Inc.	LBC	15.41	24,239,713,007.00
Lorenzo Shipping Corporation	LSC	10.57	671,117,123.71
MacroAsia Corporation	MAC	26.41	28,040,478,040.00
Metro Alliance Holdings & Equities Corporation "A"	MAH	24.07	128,571,429.00
Metro Alliance Holdings & Equities Corporation "B"	MAHB	24.07	102,857,142.36
PAL Holdings, Inc.	PAL	10.22	127,908,037,294.40
Globalport 900, Inc.	PORT	10.82	15,739,160,620.00
Harbor Star Shipping Services, Inc.	TUGS	32.13	4,076,281,836.30
5,983,559,398.74			
HOTEL & LEISURE			
Acesite (Phils.) Hotel Corporation	ACE	44.29	479,199,052.80
Boulevard Holdings, Inc.	BHI	56.36	852,000,000.00
Discovery World Corporation	DWC	25.52	1,558,740,000.00
Grand Plaza Hotel Corporation	GPH	13.65	644,608,428.00
Waterfront Philippines, Inc.	WPI	53.17	2,449,011,917.94
44,916,569,655.12			
EDUCATION			
Centro Escolar University	CEU	26.73	3,217,660,416.00
Far Eastern University, Inc.	FEU	33.44	15,817,942,080.00
iPeople, inc.	IPO	20.44	9,736,131,873.00
STI Education Systems Holdings, Inc.	STI	36.02	16,144,835,286.12
308,336,323,267.86			
CASINOS & GAMING			
Berjaya Philippines, Inc.	BCOR	11.74	21,142,037,763.85
Bloomerry Resorts Corporation	BLOOM	33.93	119,918,715,572.50
IP E-Game Ventures, Inc.	EG	91.00 ⁷	282,000,000.00
Pacific Online Systems Corporation	LOTO	36.69	4,813,771,265.70
Leisure & Resorts World Corporation	LR	64.40	4,775,412,997.76
Manila Jockey Club, Inc.	MJC	78.65	4,980,806,430.00
Melco Resorts and Entertainment (Philippines) Corporation	MRP	27.02	42,104,059,544.01
Premium Leisure Corp.	PLC	21.13	42,696,868,500.00
Philippine Racing Club, Inc.	PRC	61.46	4,914,269,291.04
Travellers International Hotel Group, Inc.	RWM	10.03	62,708,381,903.00

ISSUE/SECURITY	CODE	FREE FLOAT (IN %, AS DISCLOSED)	MARKET CAPITALIZATION (IN PHP)
RETAIL			
Metro Retail Stores Group, Inc.	MRSGI	26.16	13,374,562,500.00
Puregold Price Club, Inc.	PGOLD	32.61	138,269,070,300.00
Robinsons Retail Holdings, Inc.	RRHI	37.55	133,237,000,000.00
Philippine Seven Corporation	SEVN	33.16	86,534,251,575.20
SSI Group, Inc.	SSI	29.54	10,931,957,619.00
Wilcon Depot, Inc.	WLCON	34.00	33,945,715,680.48
37,037,962,444.51			
OTHER SERVICES			
APC Group, Inc.	APC	51.12	3,602,017,918.56
Easycall Communications Philippines, Inc.	ECP	10.06	2,775,000,000.00
Golden Haven, Inc. ⁸	HVN	15.57	10,870,588,278.00
IPM Holdings, Inc.	IPM	31.57	5,761,500,000.00
Paxys, Inc.	PAX	14.96	3,227,382,973.46
Premiere Horizon Alliance Corporation	PHA	81.69	726,525,524.49
Philcomsat Holdings Corporation	PHC	10.00	1,394,947,755.60
SBS Philippines Corporation	SBS	25.32	8,679,999,994.40
364,471,828,143.98			
MINING & OIL SECTOR			
MINING			
Atok-Big Wedge Co., Inc.	AB	10.25	38,175,000,000.00
Apex Mining Co., Inc.	APX	29.32	9,653,225,611.05
Abra Mining and Industrial Corporation	AR	68.54	438,448,085.24
Atlas Consolidated Mining and Development Corporation	AT	19.86	17,797,663,870.00
Benguet Corporation "A"	BC	44.80	641,380,132.53
Benguet Corporation "B"	BCB	44.80	428,804,638.50
Coal Asia Holdings Incorporated	COAL	19.99	1,240,000,001.24
Century Peak Metals Holdings Corporation	CPM	42.00	4,597,138,633.50
Dizon Copper-Silver Mines, Inc.	DIZ	76.65	561,521,157.70
Global Ferronickel Holdings, Inc.	FNI	25.22	14,342,540,359.37
GEOGRACE Resources Philippines, Inc.	GEO	85.37	735,000,000.00
Lepanto Consolidated Mining Company "A"	LC	84.64	6,015,383,925.79
Lepanto Consolidated Mining Company "B"	LCB	84.64	4,063,366,778.40
Manila Mining Corporation "A"	MA	77.83	1,464,483,211.90
Manila Mining Corporation "B"	MAB	77.83	1,037,907,023.31
Marcventures Holdings, Inc.	MARC	41.69	3,282,477,706.22
NiHAO Mineral Resources International, Inc.	NI	37.71	1,525,100,000.00
Nickel Asia Corporation	NIKL	18.55	48,126,540,278.82
Omico Corporation	OM	85.87	472,707,752.85
Oriental Peninsula Resources Group, Inc.	ORE	44.28	2,734,575,004.75
Philex Mining Corporation	PX	33.51	29,938,818,352.08
Semirara Mining and Power Corporation	SCC	26.43	156,709,510,816.00
United Paragon Mining Corporation	UPM	21.16	1,750,809,140.44
18,739,425,664.30			
Oriental Petroleum and Minerals Corporation "A"	OPM	60.95	1,440,000,000.00
Oriental Petroleum and Minerals Corporation "B"	OPMB	60.95	960,000,000.00
The Philodrill Corporation	OV	47.74	2,302,425,664.30
PHINMA Petroleum and Geothermal, Inc.	PPG	21.91	505,000,000.00
PXP Energy Corporation	PXP	33.71	13,532,000,000.00

ISSUE/SECURITY	CODE	FREE FLOAT (IN %, AS DISCLOSED)	MARKET CAPITALIZATION (IN PHP)
PREFERRED			240,260,070,833.56
8990 Holdings, Inc. Series A Perpetual Preferred Shares	8990P	1.51	5,010,000,000.00
Allied Banking Corporation - 15% Cumulative Convertible Preferred A	ABC		50,000,000.00
Ayala Corporation Preferred Class "A" Shares	ACPA		500.00
Ayala Corporation Class "B" Series 1 Preferred Shares	ACPB1		10,560,000,000.00
Ayala Corporation Class "B" Series 2 Preferred Shares	ACPB2		14,202,000,000.00
Arthaland Corporation Series "B" Perpetual Preferred Shares	ALCPB		2,160,000,000.00
Benguet Corporation - 8% Cumulative Convertible Preferred A	BCP		2,609,073.22
DoubleDragon Properties Corporation Preferred Shares	DDPR		10,670,000,000.00
DMCI Holdings, Inc. - Cumulative Convertible Preferred	DMCP		5,292,000.00
First Gen Corporation Series "F" Preferred Shares	FGENF		7,268,248,400.00
First Gen Corporation Series "G" Preferred Shares	FGENG		14,842,095,840.00
First Philippine Holdings Corporation - Preferred	FPHP		101.40
First Philippine Holdings Corporation Series "C" Preferred Shares	FPHPC		1,825,200,000.00
Globe Telecom, Inc. Series A Voting Perpetual Preferred Shares	GLOPA		792,575,105.00
Globe Telecom, Inc. Series A Non-Voting Perpetual Preferred Shares	GLOPP		10,460,000,000.00
GT Capital Holdings, Inc. Non-Voting Perpetual Preferred Shares Series "A"	GTPPA		4,984,417,200.00
GT Capital Holdings, Inc. Non-Voting Perpetual Preferred Shares Series "B"	GTPPB		7,361,261,280.00
Leisure & Resorts World Corporation Preferred	LRP		1,716,000,000.00
Megawide Construction Corporation Perpetual Preferred Shares	MWP		4,376,000,000.00
San Miguel Pure Foods Company, Inc. - Preferred ⁹	PFP		1,011.00
San Miguel Pure Foods Company, Inc. Perpetual Preferred Shares Series "2" ¹⁰	PFP2		15,000,000,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "3A" Preferred Shares	PNX3A		1,296,250,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual - Series "3B" Preferred Shares	PNX3B		817,500,000.00
Phoenix Petroleum Philippines, Inc. Non-Voting Perpetual Preferred Shares	PNXP		500,000,000.00
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2A"	PRF2A		7,549,659,200.00
Petron Corporation Perpetual Preferred Shares Series "2" -Subseries "2B"	PRF2B		3,280,555,200.00
Swift Foods, Inc. Convertible Preferred	SFIP		103,954,225.44
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-A"	SMC2A		74.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-B"	SMC2B		6,917,757,300.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-C"	SMC2C		20,444,752,000.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-D"	SMC2D		6,758,071,710.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-E"	SMC2E		10,251,007,650.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-F"	SMC2F		18,302,180,325.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-G"	SMC2G		5,106,661,560.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-H"	SMC2H		13,038,000,000.00
San Miguel Corporation Series "2" Preferred Shares - Subseries "2-I"	SMC2I		13,512,805,320.00
San Miguel Corporation - Preferred Series "1"	SMCP1		21,095,203,358.50
PLDT Conv Series II	TLII		3,700.00
PLDT Conv Series JJ	TLJJ		8,700.00

DOLLAR DENOMINATED SECURITIES	371,000,000.00 ¹¹
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Del Monte Pacific Limited U.S. Dollar-Denominated Series A-1 Preference Shares	DMPA1		202,000,000.00 ¹¹
Del Monte Pacific Limited U.S. Dollar-Denominated Series A-2 Preference Shares	DMPA2		102,000,000.00 ¹¹
Cirtek Holdings Philippines Corporation US Dollar-Denominated Preferred B-2 Shares	TECB2		67,000,000.00 ¹¹

PHILIPPINE DEPOSITARY RECEIPTS	15,717,584,842.00
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ABS-CBN Holdings Corporation - Philippine Deposit Receipts	ABSP	43.21	11,231,368,050.00
GMA Holdings, Inc. - Philippine Deposit Receipts	GMAP	23.85	4,486,216,792.00

ISSUE/SECURITY	CODE	FREE FLOAT (IN %, AS DISCLOSED)	MARKET CAPITALIZATION (IN PHP)
WARRANTS			203,775,000.00

Leisure & Resorts World Corporation Warrants	LRW		203,775,000.00
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SMALL, MEDIUM & EMERGING BOARD	20,656,504,869.53
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Philab Holdings Corp.	DNA	14.18	7,712,912,464.40
Italpinas Development Corporation	IDC	27.56	2,260,511,760.00
Makati Finance Corporation	MFIN	35.60	636,725,057.85
Xurpas Inc.	X	29.05	10,046,355,587.28

ETF SECTOR	1,427,931,000.00
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ETF EQUITY				1,427,931,000.00
First Metro Philippine Equity Exchange Traded Fund, Inc.	FMETF	69.17		1,427,931,000.00

¹ As of end-Jun 2012

² Changed corporate name to Ferronoux Holdings, Inc. (FERRO) on February 19, 2018

³ Philippine-lodged Shares

⁴ Changed stock code to DELM on April 13, 2018

⁵ Changed corporate name to San Miguel Food and Beverage, Inc. (FB) on April 5, 2018

⁶ As of end-Jun 2015

⁷ As of end-Mar 2015

⁸ Changed corporate name to Golden Bria Holdings, Inc. on March 14, 2018

⁹ Changed security name to San Miguel Food and Beverage, Inc. - Preferred (FBP) on April 5, 2018

¹⁰ Changed security name to San Miguel Food and Beverage, Inc. Perpetual Preferred Shares Series "2" (FBP2) on April 5, 2018

¹¹ In USD

**STATEMENT OF MANAGEMENT'S RESPONSIBILITY
FOR FINANCIAL STATEMENTS**

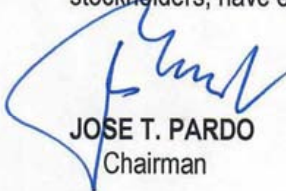
The management of The Philippine Stock Exchange, Inc. and Subsidiaries (PSE Group) is responsible for the preparation and fair presentation of the financial statements including the schedules attached herein, for the years 2017 and 2016 ended December 31, in accordance with the prescribed financial reporting framework indicated therein, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

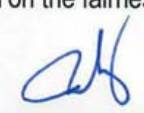
In preparing the financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the (PSE Group) or to cease operations, or has no realistic alternative to do so.

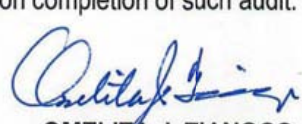
The Board of Directors is responsible for overseeing the (PSE Group)'s financial reporting process.

The Board of Directors reviews and approves the financial statements including the schedules attached therein, and submits the same to the stockholders.

SyCip Gorres Velayo & Co. (SGV & Co.), the independent auditors appointed by the stockholders, have audited the financial statements of the (PSE Group) in accordance with Philippine Standards on Auditing and in its report to the stockholders, have expressed their opinion on the fairness of presentation upon completion of such audit.


JOSE T. PARDO
Chairman


RAMON S. MONZON
President & Chief Executive
Officer


OMELITA J. TIANGCO
Treasurer

REPUBLIC OF THE PHILIPPINES
CITY OF **MAKATI CITY**

APR 12 2018

MAKATI CITY

SUBSCRIBED AND SWORN to before me this ___ day of _____ 2018 at _____ affiants presented to me the following competent evidence of their identity:

NAME	GOVERNMENT ISSUED ID	DATE AND PLACE OF ISSUANCE
JOSE T. PARDO	Passport No. P1032165A	28 November 2021 / Manila
RAMON S. MONZON	Passport No. EC2279511	01 October 2019 / Manila
OMELITA J. TIANGCO	Passport No. EC1454294	19 June 2019/ Manila

Doc. No. 94
Page No. 19
Book No. 1
Series of 2018.


ERWIN C. DEL MUNDO
Notary Public

Until December 31, 2018

PTR # 6615183 : 01-04-2018 ; Makati City
IBP Life Roll No. 016593 : 18-05-2017 ; Makati City
ROLL OF ATTORNEYS NO. 69033

PSE Tower, 5th Avenue corner 28th Street, Bonifacio Global City, Taguig City 1634
Tel. No.: +632 876 4888 Website: <http://www.pse.com.ph>

5F MONTEPINO

LEGASPI VALLEY, MAKATI CITY

**The Philippine Stock Exchange, Inc.
and Subsidiaries**

Consolidated Financial Statements
December 31, 2017 and 2016 and
Years Ended December 31, 2017, 2016 and 2015

and

Independent Auditor's Report

COVER SHEET
for
AUDITED FINANCIAL STATEMENTS

SEC Registration Number
A N 0 9 2 0 0 2 5 5 7

COMPANY NAME
THE PHILIPPINE STOCK EXCHANGE,
INC. AND SUBSIDIARIES

PRINCIPAL OFFICE (No. / Street / Barangay / City / Town / Province)
6th Floor, PSE Tower,
5th Avenue Corner 28th Street,
Bonifacio Global City, Taguig
City

Form Type: A C F S
Department requiring the report: C F D
Secondary License Type, If Applicable: N / A

COMPANY INFORMATION
Company's Email Address: www.pse.com.ph
Company's Telephone Number: (02) 876-4888
Mobile Number: -
No. of Stockholders: 281
Annual Meeting (Month / Day): 5/05
Fiscal Year (Month / Day): 12/31

CONTACT PERSON INFORMATION
The designated contact person MUST be an Officer of the Corporation
Name of Contact Person: Ms. Elisa L. Benavidez
Email Address: elbenavidez@pse.com.ph
Telephone Number/s: (02) 876-4830
Mobile Number: 0998-9675923

CONTACT PERSON'S ADDRESS
2nd Floor, PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City

NOTE 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.
2: All Boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

SGVFS022002



SyCip Gorres Velayo & Co.
6760 Ayala Avenue
1226 Makati City
Philippines

Tel: (632) 891 0307
Fax: (632) 819 0872
ey.com/ph

BOA/PRC Reg. No. 0001,
December 14, 2015, valid until December 31, 2018
SEC Accreditation No. 0012-FR-4 (Group A),
November 10, 2015, valid until November 9, 2018

INDEPENDENT AUDITOR'S REPORT

The Stockholders and Board of Directors
The Philippine Stock Exchange, Inc. and Subsidiaries

Opinion

We have audited the consolidated financial statements of The Philippine Stock Exchange, Inc. and Subsidiaries (the Group), which comprise the consolidated statements of financial position as at December 31, 2017 and 2016, and the consolidated statements of comprehensive income, consolidated statements of changes in equity and consolidated statements of cash flows for each of the three years in the period ended December 31, 2017, and notes to the consolidated financial statements, including a summary of significant accounting policies.

In our opinion, the accompanying consolidated financial statements present fairly, in all material respects, the consolidated financial position of the Group as at December 31, 2017 and 2016, and its consolidated financial performance and its consolidated cash flows for each of the three years in the period ended December 31, 2017 in accordance with Philippine Financial Reporting Standards (PFRSS).

Basis for Opinion

We conducted our audits in accordance with Philippine Standards on Auditing (PSAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are independent of the Group in accordance with the Code of Ethics for Professional Accountants in the Philippines (Code of Ethics) together with the ethical requirements that are relevant to our audit of the consolidated financial statements in the Philippines, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matter

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters. For the matter below, our description of how our audit addressed the matter is provided in that context.

We have fulfilled the responsibilities described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report, including in relation to these matters. Accordingly, our audit included the performance of procedures designed to respond to our assessment of the risks of material misstatement of the consolidated financial statements. The results of our audit procedures, including the procedures performed to address the matter below, provide the basis for our audit opinion on the accompanying consolidated financial statements.

Information Technology Environment Supporting the Trading-related Revenue Process

The Exchange is highly dependent on the reliability and continuity of its information technology (IT) environment to support the automated data processing of its trading and market-related businesses. The Exchange continuously makes investments to further improve its IT applications and supporting IT infrastructure and IT processes. This IT environment is key to the Exchange's revenue generation and is relied upon for many aspects of its revenue reporting process. We therefore considered the testing of the IT controls over the IT processes as a key audit matter.

Audit Response

We have involved our internal specialist in obtaining an understanding of the Exchange's IT environment, which covers the IT applications and supporting IT infrastructure, IT processes and IT personnel. We obtained an understanding of the IT controls over program changes to the IT applications, user access management to the IT applications and databases as well as controls over management of IT operations. To the extent applicable, we performed testing of the operation of the IT controls of the applications supporting the trading-related revenue process. We also performed walkthrough and testing of the trading-related revenue process transaction level controls. We evaluated and considered the results of the testing of controls in the design and extent of our substantive audit procedures.

Other Information

Management is responsible for the other information. The other information comprises the information included in the SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2017, but does not include the consolidated financial statements and our auditor's report thereon. The SEC Form 20-IS (Definitive Information Statement), SEC Form 17-A and Annual Report for the year ended December 31, 2017 are expected to be made available to us after the date of this auditor's report.

Our opinion on the consolidated financial statements does not cover the other information and we will not express any form of assurance conclusion thereon.

In connection with our audits of the consolidated financial statements, our responsibility is to read the other information identified above when it becomes available and, in doing so, consider whether the other information is materially inconsistent with the consolidated financial statements or our knowledge obtained in the audits, or otherwise appears to be materially misstated.

Responsibilities of Management and Those Charged with Governance for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with PFRSs, and for such internal control as management determines is necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Group or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Group's financial reporting process.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with PSAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements.

As part of an audit in accordance with PSAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the consolidated financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the consolidated financial statements. We are responsible for the direction, supervision and performance of the audit. We remain solely responsible for our audit opinion.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

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We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

The engagement partner on the audit resulting in this independent auditor's report is Ms. Mariecris N. Barbaso.

SYCIP GORRES VELAYO & CO.



Mariecris N. Barbaso
Partner
CPA Certificate No. 97101
SEC Accreditation No. 1513-A (Group A),
October 6, 2015, valid until October 5, 2018
Tax Identification No. 202-065-716
BIR Accreditation No. 08-001998-108-2018,
February 14, 2018, valid until February 13, 2021
PTR No. 6621229, January 9, 2018, Makati City

February 28, 2018

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF FINANCIAL POSITION

	December 31	
	2017	2016
ASSETS		
Current Assets		
Cash and cash equivalents (Notes 5, 6 and 7)	₱811,661,201	₱833,795,068
Financial assets at fair value through profit or loss (Notes 5, 6 and 8)	319,000,934	230,899,656
Available-for-sale investments (Notes 5, 6 and 9)	5,046,882	25,313,718
Receivables (Notes 5, 6 and 10)	70,654,715	93,898,622
Other current assets (Note 11)	82,327,803	38,152,470
Total Current Assets	1,288,691,535	1,222,059,534
Noncurrent Assets		
Long-term available-for-sale investments (Notes 5, 6 and 9)	508,869,494	524,753,293
Property and equipment (Note 12)	1,454,334,016	1,200,316,134
Investment in an associate (Note 13)	359,204,275	376,168,913
Deferred tax assets - net (Note 26)	10,672,688	10,541,589
Pension asset (Note 27)	29,377,931	30,859,416
Other noncurrent assets (Notes 5 and 14)	50,123,840	64,127,192
Total Noncurrent Assets	2,412,582,244	2,206,766,537
	₱3,701,273,779	₱3,428,826,071
LIABILITIES AND EQUITY		
Current Liabilities		
Accounts payable and other current liabilities (Notes 5, 6 and 15)	₱313,852,909	₱205,996,820
Provision (Notes 3, 4 and 31)	-	39,860,000
Income tax payable	21,353,943	57,957,468
Deferred fees and others (Note 16)	20,653,267	96,478,476
Total Current Liabilities	355,860,119	400,292,764
Noncurrent Liability		
Pension liability (Note 27)	13,642,250	12,714,982
Total Liabilities	369,502,369	413,007,746
EQUITY		
Capital stock (Notes 1 and 18)	73,480,413	73,480,413
Additional paid-in capital (Notes 1, 18 and 32)	1,072,514,796	1,072,120,935
Subscribed capital stock - net (Notes 18 and 32)	5,374,731	2,532,662
Treasury stock (Note 18)	(68,000,005)	(68,000,023)
Retained earnings:		
Unappropriated (Note 18)	1,546,046,556	1,231,878,470
Appropriated (Note 18)	121,000,000	121,000,000
Donated capital (Note 17)	586,829,985	586,829,985
Unrealized loss on available-for-sale investments (Note 9)	(18,567,910)	(8,968,499)
Remeasurement gains on pension benefits and others - net (Notes 13 and 27)	13,092,844	4,944,382
Total Equity	3,331,771,410	3,015,818,325
	₱3,701,273,779	₱3,428,826,071

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

	Years Ended December 31		
	2017	2016	2015
REVENUES (Note 19)	₱1,225,518,524	₱1,263,286,439	₱1,214,206,000
COST AND EXPENSES			
Cost of services (Note 21)	246,511,522	245,267,535	250,650,118
General and administrative (Note 22)	346,347,254	347,329,345	351,255,247
	592,858,776	592,596,880	601,905,365
OPERATING INCOME	632,659,748	670,689,559	612,300,635
OTHER INCOME (EXPENSES)			
Gain on sale of investment property (Note 14)	252,627,252	-	-
Mark-to-market gain (loss) on financial assets at fair value through profit or loss (Note 8)	59,762,708	31,748,890	(14,223,658)
Equity in net income of an associate (Note 13)	53,604,469	49,166,134	38,118,221
Interest income (Note 20)	37,166,329	32,346,353	43,571,399
Dividend income (Note 8)	4,670,140	7,811,185	8,601,172
Write-off of nonfinancial assets (Notes 11 and 12)	(1,928,081)	(14,137,479)	-
Provision for decline in value of equity securities (Note 9)	(100,000)	-	-
Gain (loss) on sale of property and equipment (Note 12)	(107,416)	-	1,015,010
Income from donation (Note 17)	-	96,180,831	115,417,000
Gain on sale of other investments (Note 17)	-	-	41,634,724
Others - net	236,118	1,640,396	1,560,544
	405,931,519	204,756,310	235,694,412
INCOME BEFORE INCOME TAX	1,038,591,267	875,445,869	847,995,047
PROVISIONS FOR INCOME TAX (Note 26)	210,505,777	173,904,471	165,186,164
NET INCOME	828,085,490	701,541,398	682,808,883
OTHER COMPREHENSIVE (LOSS) INCOME			
Item to be reclassified to profit or loss in subsequent periods - Change in the fair value of available-for-sale investments - net of tax (Note 9)	(9,599,411)	1,585,263	(18,942,563)
Items not to be reclassified to profit or loss in subsequent periods:			
Remeasurement gains on pension benefits - net (Note 27)	5,276,984	14,917,425	15,162,296
Share in remeasurement gain (loss) on pension benefits of an associate (Note 13)	2,871,478	(19,926)	(4,456,569)
	8,148,462	14,897,499	10,705,727
	(1,450,949)	16,482,762	(8,236,836)
TOTAL COMPREHENSIVE INCOME	₱826,634,541	₱718,024,160	₱674,572,047
Basic Earnings Per Share (Note 28)	₱11.28	₱9.56	₱9.31
Diluted Earnings Per Share (Note 28)	₱11.26	₱9.55	₱9.31

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY

	Capital Stock (Notes 1 and 18)	Paid-in Capital (Notes 1, 18 and 32)	Additional Capital (Notes 1, 18 and 32)	Subscribed Capital Stock (Notes 18 and 32)	Treasury Stock (Note 18)	Unappropriated (Note 18)	Appropriated (Note 18)	Donated Capital (Note 17)	Investments - net and others - net (Note 9)	for-Sale Available- Gain (Loss) on Net Unrealized	Remeasurement Gains (Losses) on Pension Benefits and others - net (Notes 13 and 27)	Total
Balances as at January 1, 2017	₱73,480,413	₱1,072,120,935	₱1,072,120,935	₱2,532,662	(₱68,000,023)	₱1,231,878,470	₱121,000,000	₱586,829,985	(₱8,968,499)	₱4,944,382	₱3,015,818,325	₱3,015,818,325
Net income	-	-	-	-	-	828,085,490	-	-	-	-	-	828,085,490
Other comprehensive income (loss)	-	-	-	-	-	828,085,490	-	-	(9,599,411)	8,148,462	-	(1,450,949)
Total comprehensive income (loss)	-	-	-	-	-	828,085,490	-	-	(9,599,411)	8,148,462	-	826,634,541
Employee stock purchase plan (Note 32)	-	-	393,861	1,677,865	-	-	-	-	-	-	-	2,071,726
Subscription receivable	-	-	-	1,164,204	-	-	-	-	-	-	-	1,164,204
Cash dividends	-	-	-	-	-	(513,917,404)	-	-	-	-	-	(513,917,404)
Adjustments	-	-	-	-	18	-	-	-	-	-	-	18
Balances as at December 31, 2017	₱73,480,413	₱1,072,514,796	₱1,072,514,796	₱5,374,731	(₱68,000,005)	₱1,546,046,556	₱121,000,000	₱586,829,985	(₱18,567,910)	₱13,092,844	₱3,331,771,410	₱3,331,771,410
Balances as at January 1, 2016	₱73,480,413	₱1,071,644,783	₱1,071,644,783	₱-	(₱68,000,023)	₱1,140,313,920	₱121,000,000	₱490,649,154	(₱10,553,762)	(₱9,953,117)	₱2,808,581,368	₱2,808,581,368
Net income	-	-	-	-	-	605,360,567	-	96,180,831	-	-	-	701,541,398
Other comprehensive income	-	-	-	-	-	-	-	-	1,585,263	14,897,499	-	16,482,762
Total comprehensive income	-	-	-	-	-	605,360,567	-	96,180,831	1,585,263	14,897,499	-	718,024,160
Employee stock purchase plan (Note 32)	-	-	476,152	7,275,854	-	-	-	-	-	-	-	7,752,006
Subscription receivable	-	-	-	(4,743,192)	-	-	-	-	-	-	-	(4,743,192)
Cash dividends	-	-	-	-	-	(513,796,017)	-	-	-	-	-	(513,796,017)
Balances as at December 31, 2016	₱73,480,413	₱1,072,120,935	₱1,072,120,935	₱2,532,662	(₱68,000,023)	₱1,231,878,470	₱121,000,000	₱586,829,985	(₱8,968,499)	₱4,944,382	₱3,015,818,325	₱3,015,818,325
Balances as at January 1, 2015	₱73,480,413	₱1,071,644,783	₱1,071,644,783	₱-	(₱68,000,023)	₱1,270,940,071	₱71,000,000	₱387,637,585	₱8,388,801	(₱20,658,844)	₱2,794,432,786	₱2,794,432,786
Net income	-	-	-	-	-	567,391,883	-	115,417,000	-	-	-	682,808,883
Other comprehensive income (loss)	-	-	-	-	-	-	-	-	(18,942,563)	10,705,727	-	(8,236,836)
Total comprehensive income (loss)	-	-	-	-	-	567,391,883	-	115,417,000	(18,942,563)	10,705,727	-	674,572,047
Reclassification of donated capital (Note 17)	-	-	-	-	-	12,405,431	-	(12,405,431)	-	-	-	-
Appropriation of retained earnings	-	-	-	-	-	(50,000,000)	50,000,000	-	-	-	-	-
Cash dividends	-	-	-	-	-	(660,423,465)	-	-	-	-	-	(660,423,465)
Balances as at December 31, 2015	₱73,480,413	₱1,071,644,783	₱1,071,644,783	₱-	(₱68,000,023)	₱1,140,313,920	₱121,000,000	₱490,649,154	(₱10,553,762)	(₱9,953,117)	₱2,808,581,368	₱2,808,581,368

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
CONSOLIDATED STATEMENTS OF CASH FLOWS

	Years Ended December 31		
	2017	2016	2015
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax	1,038,591,267	₱875,445,869	₱847,995,047
Adjustments for:			
Gain on sale of investment property (Note 14)	(252,627,252)	—	—
Depreciation (Notes 12, 14, 21 and 22)	85,611,871	91,380,849	117,711,716
Mark-to-market loss (gain) on financial assets at fair value through profit or loss (Note 8)	(59,762,708)	(31,748,890)	14,223,658
Equity in net income of an associate (Note 13)	(53,604,469)	(49,166,134)	(38,118,221)
Interest income (Note 20)	(37,166,329)	(32,346,353)	(43,571,399)
Net movements in pension (Note 27)	10,462,602	13,423,145	(5,340,387)
Amortization of computer software (Note 14)	5,086,352	5,074,682	5,313,104
Dividend income (Note 8)	(4,670,140)	(7,811,185)	(8,601,172)
Write-off of nonfinancial asset (Notes 11 and 12)	1,928,081	15,523,220	—
Amortization of debt premium (Note 9)	1,451,224	1,400,610	1,397,893
Share-based payment expense (Note 32)	393,861	476,152	—
Loss (gain) on sale of property and equipment (Note 12)	107,416	—	(1,015,010)
Provision for decline in value of equity securities (Note 9)	100,000	—	—
Unrealized foreign exchange gains - net	(74,251)	(2,139,823)	(119,410)
Impairment (recovery) of receivables (Note 10)	(25,760)	305,576	151,078
Income from donation (Note 17)	—	(96,180,831)	(115,417,000)
Provision (Note 31)	—	39,860,000	—
Others (Note 22)	1,140,000	—	—
Income before working capital changes	736,941,765	823,496,887	774,609,897
Changes in operating assets and liabilities:			
Decrease (increase) in:			
Receivables	23,424,760	1,128,949	(3,248,893)
Other current assets	(44,175,315)	16,754,259	(29,026,226)
Increase (decrease) in:			
Accounts payable and other current liabilities	16,207,575	(48,404,944)	(50,928,527)
Deferred fees and others	(75,825,209)	40,319,910	12,273,495
Cash generated from operations	656,573,576	833,295,061	703,679,746
Income taxes paid	(249,208,789)	(140,970,757)	(159,882,433)
Interest received	37,011,236	32,943,905	44,096,835
Benefits paid out of the Company's funds	(142,985)	—	—
Net cash provided by operating activities	444,233,038	725,268,209	587,894,148
CASH FLOWS FROM INVESTING ACTIVITIES			
Dividends received (Notes 8, 10 and 13)	78,110,724	31,852,485	8,601,172
Acquisitions of/additions to:			
Available-for-sale investments	—	—	(213,811,747)
Property and equipment (Note 12)	(293,965,780)	(389,137,017)	(55,882,703)
Financial assets at fair value through profit or loss	(28,338,570)	—	—
Computer software	—	—	(3,421,107)
Proceeds from maturities/withdrawal/sale of:			
Available-for-sale investments (Note 9)	25,000,000	85,000,000	231,911,000
Financial assets at fair value through profit or loss	—	209,372,188	36,095,221
Investment property	233,691,812	—	—
Property and equipment (Note 12)	2,293,193	—	1,728,468
Decrease (increase) in other noncurrent assets	27,842,800	121,419,774	(419,677,320)
Net cash provided by (used in) investing activities	44,634,179	58,507,430	(414,457,016)
CASH FLOWS FROM FINANCING ACTIVITIES			
Dividend payments (Note 18)	(513,917,404)	(513,796,017)	(660,423,465)
Share-based payment transactions	2,842,069	2,532,662	—
Net cash used in financing activities	(511,075,335)	(511,263,355)	(660,423,465)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS	(22,208,118)	272,512,284	(486,986,333)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS	74,251	2,139,823	654,309
CASH AND CASH EQUIVALENTS AT BEGINNING OF YEAR	833,795,068	559,142,961	1,045,474,985
CASH AND CASH EQUIVALENTS AT END OF YEAR (Note 7)	₱811,661,201	₱833,795,068	₱559,142,961

See accompanying Notes to Consolidated Financial Statements.

THE PHILIPPINE STOCK EXCHANGE, INC. AND SUBSIDIARIES
NOTES TO CONSOLIDATED FINANCIAL STATEMENTS

1. Corporate Information

The Philippine Stock Exchange, Inc. (the Parent Company or the Exchange) was incorporated in the Philippines on July 14, 1992 as a non-stock corporation primarily to provide and maintain a convenient and suitable market for the exchange, purchase and sale of all types of securities and other instruments. The corporate life of the Exchange is fifty (50) years from the date of the incorporation or until 2042.

On August 8, 2001, the Parent Company was converted from a non-stock corporation to a stock corporation (demutualization) with an authorized capital stock of ₱36.8 million divided into 36.8 million shares with a par value of ₱1.00 per share as prescribed by Republic Act (RA) No. 8799 entitled "Securities Regulation Code" (SRC) and pursuant to a conversion plan approved by the Securities and Exchange Commission (SEC).

The salient features of the demutualization plan approved by the SEC on August 3, 2001 include, among others, the following:

- Conversion of the Parent Company into a stock corporation by amending its Articles of Incorporation and by-laws;
- Subscription of each member of 50,000 shares at ₱1.00 per share. The remaining balance of the Membership Contributions account of ₱277.47 million shall be treated as additional paid-in capital;
- Issuance of trading rights to brokers in recognition of the existing seat ownership by the brokers;
- Separation of ownership of shares and right to operate as a trading participant in the Exchange. The trading rights shall be transferable without time limitation; and
- Imposition of a moratorium on the issuance of the new trading rights.

On December 15, 2003, the Parent Company's shares of stock were listed by way of introduction of its outstanding shares to comply with the requirements mandated by the SRC, particularly the conversion of the Parent Company into a stock corporation.

On January 28, 2004, the Parent Company offered 6,077,505 unissued shares to the private sector as part of its on-going effort to comply with SRC's mandate regarding the ownership of the Exchange (see Note 18). Gross proceeds from the private placement offering amounted to ₱726.3 million, inclusive of additional paid-in capital of ₱720.2 million representing premium over the par value of the common stock. Expenses related to the offering amounting to ₱21.1 million were recorded as a reduction of the additional paid-in capital.

On October 25, 2017, the BOD approved the stock rights offering (SRO) to stockholders of up to 11.50 million common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC. The proceeds from the stock rights offering will be used to fund the acquisition of PDSHC and capital requirements of the Exchange (see Note 18).

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange will offer 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period will be from March 12 to 16, 2018 (see Notes 18 and 35).

Securities Clearing Corporation of the Philippines (SCCP), a 100% owned subsidiary of the Exchange, is a domestic corporation organized to carry out and strictly implement the following functions: (1) Delivery-versus-Payment trade settlement; (2) fails management and administration of the Clearing and Trade Guaranty Fund (CTGF); and (3) risk monitoring and management.

To ensure compliance of trading participants, SCCP is authorized by the SEC to impose fines and penalties and other sanctions as approved by SCCP's Board of Directors (BOD).

SCCP was given a temporary license to operate by the SEC and started its commercial operations on January 3, 2000. On January 15, 2002, the SEC approved SCCP's request for a permanent license as a clearing agency subject to its compliance with the requirements of Section 42 of the SRC entitled "Registration of Clearing Agency".

Capital Markets Integrity Corporation (CMIC), a 100% owned subsidiary of the Exchange, is a stock corporation organized on March 14, 2011 to function as the independent audit, surveillance and compliance unit of the Exchange with the authority to adopt, enforce, implement and interpret rules, guidelines and securities laws applicable to the operations and dealings of trading participants and other market participants of the Exchange.

The registered office address of the Parent Company is 2nd Floor, PSE Plaza, Ayala Triangle, Ayala Avenue, Makati City.

The accompanying consolidated financial statements were authorized for issuance by the Parent Company's BOD on February 28, 2018.

2. Basis of Preparation, Statement of Compliance, Basis of Consolidation and Changes in Accounting Policies and Disclosures

Basis of Preparation

The consolidated financial statements of the Group have been prepared on a historical cost basis, except for financial assets at fair value through profit or loss (FVPL) and available-for-sale (AFS) investments, which are measured at fair value. The consolidated financial statements are presented in Philippine peso, which is the Parent Company's functional and presentation currency under PFRS. All values are rounded to the nearest peso, except when otherwise indicated.

The consolidated financial statements provide comparative information in respect of the previous period.

Statement of Compliance

The consolidated financial statements have been prepared in compliance with Philippine Financial Reporting Standards (PFRS).

Basis of Consolidation

The consolidated financial statements comprise the financial statements of the Parent Company and its subsidiaries as at December 31, 2017 and for each of the three years in the period ended December 31, 2017. The financial statements of the subsidiaries are prepared for the same period reporting as the Parent Company, using consistent accounting policies.

Control is achieved when the Parent Company is exposed, or has rights, to variable returns from its involvement with the investee and has the ability to affect those returns through its power over the investee.

Generally, there is a presumption that a majority of voting rights result in control. When the Parent Company has less than a majority of the voting or similar rights of an investee, the Parent Company considers all relevant facts and circumstances in assessing whether it has power over an investee, including:

- The contractual arrangement with the other vote holders of the investee;
- Rights arising from other contractual arrangements; or
- The Parent Company's voting rights and potential voting rights.

The Parent Company re-assesses whether or not it controls an investee if facts and circumstances indicate that there are changes to one or more of the three elements of control. Consolidation of a subsidiary begins when the Parent Company obtains control over the subsidiary and ceases when

the Parent Company loses control of the subsidiary. Assets, liabilities, income and expenses of a subsidiary acquired or disposed of during the year are included in the consolidated financial statements from the date the Parent Company gains control until the date the Parent Company ceases to control the subsidiary.

Profit or loss and each component of other comprehensive income (OCI) are attributed to the equity holders of the Parent Company and to the non-controlling interests, even if this results in the non-controlling interests having a deficit balance. When necessary, adjustments are made to the financial statements of subsidiaries to bring their accounting policies into line with the Parent Company's accounting policies. All intra-group assets and liabilities, equity, income, expenses and cash flows relating to transactions between members of the Group are eliminated in full on consolidation.

A change in the ownership interest of a subsidiary, without a loss of control, is accounted for as an equity transaction. If the Parent Company loses control over a subsidiary, it:

- Derecognizes the assets (including goodwill) and liabilities of the subsidiary;
- Derecognizes the carrying amount of any non-controlling interests;
- Derecognizes the cumulative translation differences recorded in equity;
- Recognizes the fair value of the consideration received;
- Recognizes the fair value of any investment retained;
- Recognizes any gain or loss in profit or loss; and
- Reclassifies the parent's share of components previously recognized in OCI to profit or loss or retained earnings, as appropriate, as would be required if the Group had directly disposed of the related assets or liabilities.

The consolidated financial statements include the accounts of the Parent Company and the following wholly-owned subsidiaries:

	Principal Activities	Direct Ownership
SCCP	Clearing agency	100.00%
CMIC	Audit and surveillance unit	100.00%

Changes in Accounting Policies and Disclosures

The Group applied for the first time certain pronouncements, which are effective for annual periods beginning on or after January 1, 2017. Adoption of these pronouncements did not have a significant impact on the Group's financial position or performance unless otherwise indicated.

- Amendment to PFRS 12, *Clarification of the Scope of the Standard* (Part of *Annual Improvements to PFRSs 2014 - 2016 Cycle*)
- Amendments to Philippine Accounting Standards (PAS) 7, *Statement of Cash Flows, Disclosure Initiative*

The amendments require entities to provide disclosure of changes in their liabilities arising from financing activities, including both changes arising from cash flows and non-cash changes (such as foreign exchange gains or losses).

The Group has provided the required information in Note 34 to the consolidated financial statements. As allowed under the transition provisions of the standard, the Group did not present comparative information for the year ended December 31, 2016.

- Amendments to PAS 12, *Income Taxes, Recognition of Deferred Tax Assets for Unrealized Losses*

Future Changes in Accounting Policies

The Group did not early adopt the following new standards, amendments and improvements to PFRS and Philippine Interpretations that have been approved but are not yet effective. The Group does not expect these changes to have a significant impact on its consolidated financial statements unless otherwise indicated.

Effective January 1, 2018

- Amendments to PFRS 2, *Share-based Payment, Classification and Measurement of Share-based Payment Transactions*

The amendments to PFRS 2 address three main areas: the effects of vesting conditions on the measurement of a cash-settled share-based payment transaction; the classification of a share-based payment transaction with net settlement features for withholding tax obligations; and the accounting where a modification to the terms and conditions of a share-based payment transaction changes its classification from cash settled to equity settled.

On adoption, entities are required to apply the amendments without restating prior periods, but retrospective application is permitted if elected for all three amendments and if other criteria are met. Early application of the amendments is permitted.

The Group has assessed that the adoption of the amendments will have no any impact on the 2018 consolidated financial statements

- Amendments to PFRS 4, *Insurance Contracts, Applying PFRS 9, Financial Instruments, with PFRS 4*

The amendments address concerns arising from implementing PFRS 9, the new financial instruments standard before implementing the new insurance contracts standard. The amendments introduce two options for entities issuing insurance contracts: a temporary exemption from applying PFRS 9 and an overlay approach. The temporary exemption is first applied for reporting periods beginning on or after January 1, 2018. An entity may elect the overlay approach when it first applies PFRS 9 and apply that approach retrospectively to financial assets designated on transition to PFRS 9. The entity restates comparative information reflecting the overlay approach if, and only if, the entity restates comparative information when applying PFRS 9.

The amendments are not applicable to the Group since none of the entities within the Group have activities that are predominantly connected with insurance or issue insurance contracts.

- PFRS 15, *Revenue from Contracts with Customers*

PFRS 15 establishes a new five-step model that will apply to revenue arising from contracts with customers. Under PFRS 15, revenue is recognized at an amount that reflects the consideration to which an entity expects to be entitled in exchange for transferring goods or services to a customer. The principles in PFRS 15 provide a more structured approach to measuring and recognizing revenue.

The new revenue standard is applicable to all entities and will supersede all current revenue recognition requirements under PFRSs. Either a full or modified retrospective application is required for annual periods beginning on or after January 1, 2018. The Group is currently assessing the impact of PFRS 15 in 2018.

- PFRS 9, *Financial Instruments*

PFRS 9 reflects all phases of the financial instruments project and replaces PAS 39, *Financial Instruments: Recognition and Measurement*, and all previous versions of PFRS 9. The standard introduces new requirements for classification and measurement, impairment, and hedge accounting. PFRS 9 is effective for annual periods beginning on or after January 1, 2018, with early application permitted. Retrospective application is required, but providing comparative information is not compulsory. For hedge accounting, the requirements are generally applied prospectively, with some limited exceptions.

The Group is currently assessing the impact of adopting this standard on its 2018 consolidated financial statements.

- Amendments to PAS 28, *Measuring an Associate or Joint Venture at Fair Value (Part of Annual Improvements to PFRSs 2014 - 2016 Cycle)*

The amendments clarify that an entity that is a venture capital organization, or other qualifying entity, may elect, at initial recognition on an investment-by-investment basis, to measure its investments in associates and joint ventures at fair value through profit or loss. They also clarify that if an entity that is not itself an investment entity has an interest in an associate or joint venture that is an investment entity, the entity may, when applying the equity method, elect to retain the fair value measurement applied by that investment entity associate or joint venture to the investment entity associate's or joint venture's interests in subsidiaries. This election is made separately for each investment entity associate or joint venture, at the later of the date on which (a) the investment entity associate or joint venture is initially recognized; (b) the associate or joint venture becomes an investment entity; and (c) the investment entity associate or joint venture first becomes a parent.

The amendments should be applied retrospectively, with earlier application permitted.

The Group has assessed that the adoption of these amendments will not have any impact on the 2018 financial statements.

- Amendments to PAS 40, *Investment Property, Transfers of Investment Property*

The amendments clarify when an entity should transfer property, including property under construction or development into, or out of investment property. The amendments state that a change in use occurs when the property meets, or ceases to meet, the definition of investment property and there is evidence of the change in use. A mere change in management's intentions for the use of a property does not provide evidence of a change in use. The amendments should be applied prospectively to changes in use that occur on or after the beginning of the annual reporting period in which the entity first applies the amendments. Retrospective application is only permitted if this is possible without the use of hindsight.

Since the Group's current practice is in line with the clarifications issued, the Group does not expect any effect on its consolidated financial statements upon adoption of these amendments.

- Philippine Interpretation International Financial Reporting Interpretations Committee (IFRIC)-22, *Foreign Currency Transactions and Advance Consideration*

The interpretation clarifies that in determining the spot exchange rate to use on initial recognition of the related asset, expense or income (or part of it) on the derecognition of a non-monetary asset or non-monetary liability relating to advance consideration, the date of the transaction is the date on which an entity initially recognizes the nonmonetary asset or non-monetary liability arising from the advance consideration. If there are multiple payments or receipts in advance, then the entity must determine a date of the transactions for each payment or receipt of advance consideration. The interpretation may be applied on a fully retrospective basis. Entities may apply the interpretation prospectively to all assets, expenses and income in its scope that are initially recognized on or after the beginning of the reporting period in which the entity first applies the interpretation or the beginning of a prior reporting period presented as comparative information in the financial statements of the reporting period in which the entity first applies the interpretation.

Since the Group's current practice is in line with the clarifications issued, the Group does not expect any effect on its consolidated financial statements upon adoption of this interpretation.

Effective January 1, 2019

- Amendments to PFRS 9, *Prepayment Features with Negative Compensation*

The amendments to PFRS 9 allow debt instruments with negative compensation prepayment features to be measured at amortized cost or fair value through other comprehensive income. An entity shall apply these amendments for annual reporting periods beginning on or after January 1, 2019. Earlier application is permitted.

The Group has assessed that the adoption of these amendments will not have any impact on the 2018 financial statements.

▪ PFRS 16, *Leases*

PFRS 16 sets out the principles for the recognition, measurement, presentation and disclosure of leases and requires lessees to account for all leases under a single on-balance sheet model similar to the accounting for finance leases under PAS 17, *Leases*. The standard includes two recognition exemptions for lessees – leases of 'low-value' assets (e.g., personal computers) and short-term leases (i.e., leases with a lease term of 12 months or less). At the commencement date of a lease, a lessee will recognize a liability to make lease payments (i.e., the lease liability) and an asset representing the right to use the underlying asset during the lease term (i.e., the right-of-use asset). Lessees will be required to separately recognize the interest expense on the lease liability and the depreciation expense on the right-of-use asset.

Lessees will be also required to remeasure the lease liability upon the occurrence of certain events (e.g., a change in the lease term, a change in future lease payments resulting from a change in an index or rate used to determine those payments). The lessee will generally recognize the amount of the remeasurement of the lease liability as an adjustment to the right-of-use asset.

Lessor accounting under PFRS 16 is substantially unchanged from today's accounting under PAS 17. Lessors will continue to classify all leases using the same classification principle as in PAS 17 and distinguish between two types of leases: operating and finance leases.

PFRS 16 also requires lessees and lessors to make more extensive disclosures than under PAS 17.

Early application is permitted, but not before an entity applies PFRS 15. A lessee can choose to apply the standard using either a full retrospective or a modified retrospective approach. The standard's transition provisions permit certain reliefs.

The Group is currently assessing the impact of adopting PFRS 16.

▪ Amendments to PAS 28, *Long-term Interests in Associates and Joint Ventures*

The amendments to PAS 28 clarify that entities should account for long-term interests in an associate or joint venture to which the equity method is not applied using PFRS 9. An entity shall apply these amendments for annual reporting periods beginning on or after January 1, 2019. Earlier application is permitted.

The Group has assessed that the adoption of these amendments will not have any impact on the 2018 financial statements.

▪ Philippine Interpretation IFRIC-23, *Uncertainty over Income Tax Treatments*

The interpretation addresses the accounting for income taxes when tax treatments involve uncertainty that affects the application of PAS 12 and does not apply to taxes or levies outside the scope of PAS 12, nor does it specifically include requirements relating to interest and penalties associated with uncertain tax treatments.

The interpretation specifically addresses the following:

- Whether an entity considers uncertain tax treatments separately
- The assumptions an entity makes about the examination of tax treatments by taxation authorities
- How an entity determines taxable profit (tax loss), tax bases, unused tax losses, unused tax credits and tax rates
- How an entity considers changes in facts and circumstances

An entity must determine whether to consider each uncertain tax treatment separately or together with one or more other uncertain tax treatments. The approach that better predicts the resolution of the uncertainty should be followed. The Group is currently assessing the impact of adopting this interpretation.

Deferred Effectivity

▪ Amendments to PFRS 10 and PAS 28, *Sale or Contribution of Assets between an Investor and its Associate or Joint Venture*

The amendments address the conflict between PFRS 10 and PAS 28 in dealing with the loss of control of a subsidiary that is sold or contributed to an associate or joint venture. The amendments clarify that a full gain or loss is recognized when a transfer to an associate or joint venture involves a business as defined in PFRS 3, *Business Combinations*. Any gain or loss resulting from the sale or contribution of assets that does not constitute a business, however, is recognized only to the extent of unrelated investors' interests in the associate or joint venture.

On January 13, 2016, the Financial Reporting Standards Council postponed the original effective date of January 1, 2016 of the said amendments until the International Accounting Standards Board has completed its broader review of the research project on equity accounting that may result in the simplification of accounting for such transactions and of other aspects of accounting for associates and joint ventures.

3. Summary of Significant Accounting Policies and Financial Reporting

Current versus Noncurrent Classification

The Group presents assets and liabilities in consolidated statement of financial position based on current/noncurrent classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in normal operating cycle;
- Held primarily for the purpose of trading;
- Expected to be realized within twelve months after the reporting period; or
- Cash or cash equivalent unless restricted from being exchanges or used to settle a liability for at least twelve months after the reporting period.

All other assets are classified as noncurrent.

A liability is current when:

- It is expected to be settled in normal operating cycle;
- It is held primarily for the purpose of trading;
- It is due to be settled within twelve months after the reporting period; or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period.

The Group classifies all other liabilities as noncurrent.

Deferred tax assets and liabilities are classified as noncurrent assets and liabilities.

Cash and Cash Equivalents

Cash includes cash on hand and in banks. Cash equivalents are short-term, highly liquid investments that are readily convertible to known amounts of cash with original maturities of three months or less from dates of placement and are subject to an insignificant risk of change in value.

Financial Instruments

Date of Recognition. The Group recognizes a financial asset or a financial liability in the consolidated statements of financial position when it becomes a party to the contractual provisions of the instrument. Purchases or sales of financial assets that require delivery of assets within a time frame established by regulation or convention in the market place (regular way trades) are recognized on the trade date, i.e., the date that the Group commits to purchase or sell the asset.

Initial Recognition of Financial Instruments. Financial assets are classified, at initial recognition, as financial assets at FVPL, loans and receivables, held-to-maturity investments (HTM), AFS investments, or as derivatives designated as hedging instruments in an effective hedge, as appropriate. All financial assets are recognized initially at fair value plus, in the case of financial assets not recorded at FVPL, transaction costs that are attributable to the acquisition of the financial asset.

Financial liabilities are classified, at initial recognition, as financial liabilities at FVPL, loans and borrowings, payables, or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of loans and borrowings and payables, net of directly attributable transaction costs.

The Group has no HTM investments, financial liabilities at FVPL and derivatives designated as hedging instruments in an effective hedge as at December 31, 2017 and December 31, 2016.

Subsequent Measurement. The subsequent measurement of financial assets depends on their classification as follows:

Financial Assets at FVPL. Financial assets at FVPL include financial assets held for trading and financial assets designated upon initial recognition at FVPL. Financial assets are classified as held for trading if these are acquired for the purpose of selling or repurchasing in the near term. Derivatives, including any separated derivatives, are also classified under financial assets at FVPL, unless these are designated as effective hedging instruments as defined by PAS 39. The Group has not designated any financial assets at FVPL. Financial assets at FVPL are carried in the consolidated statement of financial position at fair value with net changes in fair value presented as interest expense (negative net changes in fair value) or interest income (positive net changes in fair value) in profit or loss.

This category includes the Group's investment in management account which is classified as FVPL as it is being managed on a fair value basis (see Note 8).

Loans and Receivables. Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. After initial measurement, such financial assets are subsequently measured at amortized cost using the effective interest rate (EIR) method, less impairment. Amortized cost is calculated by taking into account any discount or premium on acquisition and fee or costs that are an integral part of the EIR. The EIR amortization is included in the "Interest income" account in profit or loss. The losses arising from impairment are recognized in profit or loss as part of "Others - net" account.

This category includes cash and cash equivalents, receivables (except advances to employees and suppliers) and refundable deposit included under "Other current assets" account and "Other noncurrent assets" account (see Note 14).

AFS Investments. AFS investments include equity investments and debt securities. Equity investments classified as AFS are those that are neither classified as held for trading nor designated as FVPL. Debt securities in this category are those that are intended to be held for an indefinite period of time and that may be sold in response to needs for liquidity or in response to changes in the market conditions.

After initial measurement, AFS investments are subsequently measured at fair value with unrealized gains or losses recognized in OCI and credited in the AFS reserve in equity until the investments is derecognized, at which time the cumulative gain or loss is recognized in the consolidated statement of comprehensive income, or the investment is determined to be impaired, when the cumulative loss is reclassified from the AFS reserve in equity to the consolidated statement of comprehensive income. Interest earned while holding AFS investments is reported as interest income using the EIR method.

The Group evaluates whether the ability and intention to sell its AFS investments in the near term is still appropriate. When, in rare circumstances, the Group is unable to trade these financial assets due to inactive markets, the Group may elect to reclassify these financial assets if the management has the ability and intention to hold the assets for foreseeable future or until maturity.

The Group's AFS investments in December 31, 2017 and December 31, 2016 include investments in government debt securities, corporate bonds and quoted equity securities (see Note 9).

Other Financial Liabilities. This category pertains to financial liabilities that are not held for trading or not designated as at FVPL upon the inception of the liability. These include liabilities arising from operations and borrowings. Other financial liabilities are recognized initially at fair value and are subsequently carried at amortized cost, taking into account the impact of applying the EIR method of amortization (or accretion) for any related premium, discount and any directly attributable transaction costs. Gains and losses are recognized in the consolidated statements of comprehensive income when the liabilities are derecognized as well as through the EIR amortization process.

This category includes accounts payable and other current liabilities (excluding payable to government agencies).

Determination of Fair Value

Fair value is the estimated price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability, or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible to the Group.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their best economic interest.

A fair value measurement of a non-financial asset takes into account a market participant's ability to generate economic benefits by using the asset in its highest and best use or by selling it to another market participant that would use the asset in its highest and best use.

The Group uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

Assets and liabilities for which fair value is measured or disclosed in the consolidated financial statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities;

Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable; and

Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

For assets and liabilities that are recognized in the consolidated financial statements on a recurring basis, the Group determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

The Group determines the policies and procedures for both recurring and non-recurring fair value measurements. For the purpose of fair value disclosures, the Group has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy.

The Group recognizes transfers into and transfers out of fair value hierarchy levels by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) as at the date of the event or change in circumstances that caused the transfer.

Derecognition of Financial Assets and Liabilities

Financial Asset. A financial asset (or, when applicable, a part of a financial asset or part of a group of similar financial assets) is derecognized when:

- The rights to receive cash flows from the asset have expired; or
- The Group has transferred its rights to receive cash flows from the asset or has assumed an obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either: (a) the Group has transferred substantially all the risks and rewards of the asset, or (b) has neither transferred nor retained substantially all the risks and rewards of the asset, but has transferred control of the asset.

When the Group has transferred its rights to receive cash flows from an asset or has entered into a pass-through arrangement and has neither transferred nor retained substantially all the risks and rewards of the asset nor transferred control of the asset, the asset is recognized to the extent of the Group's continuing involvement in the asset. In that case, the Group also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Group has retained.

Financial Liabilities. A financial liability is derecognized when the obligation under the liability is discharged or cancelled or has expired. When an existing financial liability is replaced by another from the same lender on substantially different terms, or the terms of an existing liability are substantially modified, such an exchange or modification is treated as a derecognition of the original liability and the recognition of a new liability, and the difference in the respective carrying amounts is recognized in the profit or loss.

Impairment of Financial Assets

The Group assesses at each reporting date whether a financial asset or group of financial assets is impaired. A financial asset or a group of financial assets is deemed to be impaired, if and only if, there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (an incurred loss event) and that loss event has an impact on the estimated future cash flows of the financial asset or a group of financial assets that can be reliably estimated. Objective evidence of impairment may include indications that the borrower or a group of borrowers is experiencing significant financial difficulty, default or delinquency in interest or principal payments, the probability that they will enter bankruptcy or other financial reorganization and where observable data indicate that there is measurable decrease in the estimated future cash flows, such as changes in arrears or economic conditions that correlate with defaults.

Assets Carried at Amortized Cost. The Group first assesses whether objective evidence of impairment exists individually for financial assets that are individually significant, and individually or collectively for financial assets that are not individually significant. If it is determined that no objective evidence of impairment exists for an individually assessed financial asset, whether significant or not, the asset is included in a group of financial assets with similar credit risk characteristics and that group of financial assets is collectively assessed for impairment. Assets that are individually assessed for impairment and for which an impairment loss is or continues to be recognized are no longer included in a collective assessment of impairment.

The amount of any impairment loss identified is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future expected credit losses that have not yet been incurred). The present value of the estimated future cash flows is discounted at the financial asset's original EIR.

The carrying amount of the asset is reduced through the use of an allowance account and the loss is recognized in the profit or loss. Interest income continues to be accrued on the reduced carrying amount and is accrued using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. Loans together with the associated allowance are written off when there is no realistic prospect of future recovery and all collateral has been realized or has been transferred to the Group. If, in a subsequent year, the amount of the estimated impairment loss increases or decreases because of an event occurring after the impairment was recognized, the previously recognized impairment loss is increased or reduced by adjusting the allowance account. If a write-off is later recovered, the recovery is credited to interest expense in profit or loss.

AFS Investments. For AFS financial assets, the Group assesses at each reporting date whether there is objective evidence that an investment or a group of investments is impaired.

In the case of equity investments classified as AFS, objective evidence would include a significant or prolonged decline in the fair value of the investment below its cost. 'Significant' is evaluated against the original cost of the investment and 'prolonged' against the period in which the fair value has been below its original cost. When there is evidence of impairment, the cumulative loss - measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that investment previously recognized in profit or loss is removed from OCI and recognized in profit or loss. Impairment losses on equity investments are not reversed through profit or loss; increases in their fair value after impairment are recognized in OCI.

The determination of what is 'significant' or 'prolonged' requires judgment. In making this judgment, the Group evaluates, among other factors, the duration or extent to which the fair value of an investment is less than its cost.

In the case of debt instruments classified as AFS, the impairment is assessed based on the same criteria as financial assets carried at amortized cost. However, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the consolidated statement of profit or loss.

Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest is recorded as part of interest income. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through profit or loss.

'Day 1 Difference'

Where the transaction price in a non-active market is different from the fair value based on other observable current market transactions in the same instrument or based on a valuation technique whose variables include only data from observable market, the Group recognizes the difference between the transaction price and fair value (a 'Day 1 difference') in the profit or loss unless it qualifies for recognition as some other type of asset. In cases where unobservable data is used, the difference between the transaction price and model value is recognized in the profit or loss only when the inputs become observable or when the instrument is derecognized. For each transaction, the Group determines the appropriate method of recognizing the 'Day 1 difference' amount.

Offsetting of Financial Instruments

Financial assets and financial liabilities are offset and the net amount is reported in the consolidated statement of financial position if, and only if, there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, or to realize the assets and settle the liabilities simultaneously. The Group assesses that it has a currently enforceable right of offset if the right is not contingent on a future event, and is legally enforceable in the normal course of business, even of default, and event of insolvency or bankruptcy of the Group and all of the counterparties.

Other Current Assets

Other current assets include deposits which pertain to deposits to suppliers to be applied for future purchases; prepaid expenses which are expenses paid in advance and recorded as asset before they are utilized; and creditable withholding taxes, which will be applied in the following year against the Group's corporate income tax due.

Value-added Tax (VAT)

Revenue, expenses and assets are recognized, net of the amount of VAT. The net amount of VAT recoverable from, or payable to, the taxable authority is included as part of "Other current assets" or "Accounts payable and other current liabilities" accounts in the consolidated statement of financial position.

Investment Properties

Investment properties consist of buildings held by the Group for capital appreciation and rental income purposes. Investment properties are measured initially at cost, including transaction costs, less accumulated depreciation and accumulated impairment in value. The carrying amount includes the cost of replacing part of an existing investment property at the time that cost is incurred if the recognition criteria are met, and excludes the costs of day-to-day servicing of an investment property.

Depreciation is computed on a straight-line basis over 25 years which is the estimated useful life of the building.

Investment property is derecognized when disposed of or when the investment property is permanently withdrawn from use and no future economic benefit is expected from its disposal. Any gains or losses on the retirement or disposal of an investment property are recognized in the profit or loss in the year of retirement or disposal.

Transfers are made to investment property when, and only when, there is a change in use, evidenced by ending of owner-occupation, commencement of an operating lease to another party or completion of construction or development. Transfers are made from investment property when, and only when, there is change in use, evidenced by commencement of owner-occupation or commencement of development with a view to sale.

Property and Equipment

Property and equipment, except land, is stated at cost less accumulated depreciation and any impairment in value. The cost of the land, which is represented by shares in the Condominium Corporation donated to the Parent Company, is valued at the fair value of the land at the date of donation. Land is subsequently carried at cost less any impairment in value.

The initial cost of property and equipment comprises its purchase price and any directly attributable costs in bringing the asset to its working condition and location for its intended use. Expenditures incurred after the property and equipment have been put into operation, such as repairs and maintenance, are charged against current operations.

Depreciation is calculated using the straight-line method over the following estimated useful life of the depreciable assets:

Buildings	25 years
Building improvements	10 years
Trading system equipment	3 to 7 years
Computer hardware and peripherals	3 to 5 years
Transportation equipment	3 to 5 years
Office furniture, fixtures, communication equipment and others	2 to 5 years

The residual values, useful lives and methods of depreciation are reviewed at each financial year-end, and adjusted prospectively, if appropriate.

Fully depreciated assets are retained in the accounts until these are no longer in use and no further depreciation is credited or charged to current operations.

An item of property and equipment is derecognized upon disposal or when no future economic benefits are expected from its use or disposal. Any gain or loss arising on derecognition of the asset, calculated as the difference between the net disposal proceeds and the carrying amount of the asset, is included in the profit or loss in the year the asset is derecognized.

Construction in progress represents assets under construction and is stated at cost less any impairment in value. This includes the cost of construction and other direct costs. Construction in progress is not depreciated until such time that the relevant assets are completed and readily for use.

Computer Software

Costs associated with developing or maintaining computer software programs are recognized as expense when incurred. Costs that are directly associated with identifiable and unique software controlled by the Group and will generate economic benefits exceeding costs beyond one year, are recognized as intangible assets.

Computer software development costs recognized as assets are amortized using the straight-line method over their estimated useful life, but not exceeding a period of seven (7) years.

Investment in an Associate

An associate is an entity over which the Group has significant influence. Significant influence is the power to participate in the financial and operating policy decisions of the investee, but is not control or joint control over those policies.

The considerations made in determining significant influence are similar to those necessary to determine control over subsidiaries. The Group's investment in an associate is accounted for under the equity method.

Under the equity method, investment in an associate is initially recognized at cost. The carrying amount of the investment is adjusted to recognize changes in the Group's share in the net asset of the associate since the acquisition date. Goodwill relating to the associate is included in the carrying amount of the investment and is not tested for impairment individually.

Profit or loss reflects the Parent Company's share in the result of operations of the associate. Any change in OCI of those investees is presented as part of the Group's OCI. In addition, where there has been a change recognized directly in the equity of the associate, the Group recognizes its share in any changes and discloses this, when applicable, in the consolidated statement of comprehensive income.

The aggregate of the Group's share of profit or loss of an associate is shown on the face of the consolidated statement of comprehensive income outside operating profit and represents profit or loss after tax and non-controlling interests in the subsidiaries of the associate. If the Group's share of losses of an associate equals or exceeds its interest on the associate, the Group discontinues recognizing its share of further losses.

The financial statements of the associate are prepared for the same reporting date as the Group. The accounting policies of the associate conform to those used by the Group for like transactions and events in similar circumstances.

After application of the equity method, the Group determines whether it is necessary to recognize an impairment loss on its investment in its associate. At each reporting date, the Group determines whether there is objective evidence that the investment in the associate is impaired. If there is such evidence, the Group calculates the amount of impairment as the difference between the recoverable amount of the associate and its carrying value, and then recognized the loss as "Equity in net income of an associate" account in the consolidated statement of comprehensive income.

Upon loss of significant influence over the associate, the Group measures and recognized any retained investment at its fair value. Any difference between the carrying amount of the associate upon loss of significant influence and the fair value of the retained investment and proceeds from disposal is recognized in the consolidated statement of comprehensive income.

Impairment of Nonfinancial Assets

The carrying values of property and equipment, investment property, computer software, and investment in an associate are reviewed for impairment when events or changes in circumstances indicate that the carrying value may not be recoverable. If any such indication exists, and if the carrying value exceeds the estimated recoverable amount, the assets are written down to their recoverable amounts. The recoverable amount of the asset is the greater of fair value less costs to sell or value in use. The fair value less costs to sell is the amount obtainable from the sale of an asset in an arm's-length transaction between knowledgeable, willing parties, less costs of disposal. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. Impairment losses are recognized in profit or loss in those expense categories consistent with the function of the impaired asset.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment loss may no longer exist or may have decreased. If such indication exists, the recoverable amount is estimated. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If that is the case, the carrying amount of the asset is increased to its recoverable amount. That increased amount cannot exceed the carrying amount that would have been determined, net of depreciation and amortization, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the profit or loss. After such a reversal, the depreciation or amortization charge is adjusted in future periods to allocate the asset's revised carrying amount, less any residual value, on a systematic basis over its remaining useful life.

Deferred Fees

Deferred fees represent listing fees, listing maintenance fees and data feed fees which are collected but not yet earned as at reporting date. This account is reversed and recognized as revenue when services are rendered.

Capital Stock and Additional Paid-in Capital

Capital stock is measured at par value for all shares issued. Incremental costs incurred directly attributable to the issuance of new shares are shown in equity as a deduction from proceeds, net of tax. Proceeds and/or fair value of considerations received in excess of par value, if any, are recognized as additional paid-in capital stock.

Subscribed Capital Stock / Subscription Receivable

Subscribed shares are the shares of stock that will be issued upon completion of an installment purchase contract with an investor. Subscribed shares are presented net of subscription receivable.

Treasury Shares

The Parent Company's own equity instruments which are acquired (treasury shares) are deducted from equity and accounted for at cost. No gain or loss is recognized in the profit or loss on the purchase, sale, issue or cancellation of the Parent Company's own equity instruments. Any difference between the carrying amount and the consideration, if reissued, is recognized in additional paid-in capital.

Retained Earnings

Retained earnings represent the Company's accumulated earnings, net of dividends declared and the cumulative effect of the retrospective application of change in accounting policy.

Donated Capital and Donation Income

Donations received, other than those contributions from equity participants, are recognized as income on the date of donation. Donations in kind are recognized at the fair value of asset received. Donated capital becomes available for dividend declaration when all conditions or restrictions are met such that the asset received will be for the exclusive use of the Exchange for at least a period of 10 years from the date of the occupancy.

Dividends on Common Shares

Dividends on common shares are recognized as a liability and deducted from equity when approved by the BOD of the Parent Company. Dividends for the year that are approved after the reporting date are dealt with as an event after the reporting date.

Employee Stock Purchase Plan

All regular employees in good standing are granted options to purchase shares, subject to restrictions, terms and conditions provided in the Employee Stock Purchase Plan (ESPP). ESPP is considered an equity-settled transaction.

The cost of equity-settled transactions is measured by reference to the fair value at the date on which these are granted. The fair value is determined using the quoted market price at the time of payment.

The cost of equity-settled transactions is recognized with a corresponding increase in the equity, over the period in which the performance and/or service conditions are fulfilled, ending on the date on which the relevant employees become fully entitled to the award (vesting date). The cumulative expense recognized for equity-settled transactions at each reporting date until the vesting date reflects the extent to which the vesting period has expired and the Group's best estimate of the number of equity instruments that will ultimately vest. The amount reflected in the profit or loss represents the movement in cumulative expense recognized as at the beginning and end of the period. No expense is recognized for awards that do not ultimately vest.

Revenue Recognition

Revenue is recognized to the extent that it is probable that the economic benefits will flow to the Group and the revenue can be reliably measured, regardless of when the payment is being made. Revenue is measured at the fair value of the consideration received or receivable, taking into account contractually defined terms of payment and excluding taxes or duties. The Group assesses its revenue arrangements against specific criteria to determine if it is acting as principal or agent. The Group has concluded that it is acting as principal in all of its revenue arrangements.

The following specific recognition criteria must also be met before revenue is recognized:

Listing Fees. Listing fees for initial public offering are recognized upon listing of an applicant. The additional listing fees are recognized upon the listing of new securities issued by an applicant.

Listing Maintenance, Processing, Service Fees, and Trading-related Fees. Revenue is recognized when the related services are rendered.

Other Revenues. Revenue is recognized when the services are rendered or when penalties or fines are charged. This account mainly consists of trading and listing related fines and penalties for late payment, late submission of requirements, noncompliance and nondisclosure of listed companies.

Interest Income. Revenue is recognized as the interest accrues, taking into account the effective yield of the asset.

Dividend Income. Dividend income is recognized when the Group's right to receive the dividend payment is established.

Expense Recognition

Expenses are recognized in the profit or loss when a decrease in future economic benefit related to a decrease in an asset or an increase in a liability has arisen that can be measured reliably. Expenses are recognized in the profit or loss on the basis of a direct association between the costs incurred and the earning of specific items of income; on the basis of systematic and rational allocation procedures when economic benefits are expected to arise over several accounting periods and the association with income can only be broadly or indirectly determined; or immediately when an expenditure produces no future economic benefits or when, and to the extent that, future economic benefits do not qualify, cease to qualify, for recognition in the consolidated statements of financial position as an asset.

Costs of Services. Costs of services constitute expenses that arise in the course of the ordinary activities of the Group and recognized as expenses once incurred. These normally include costs related to the performance and delivery of services to customers.

General and Administrative Expenses. General and administrative expenses constitute costs of administering the business and are recognized as expenses once incurred.

Pension and Other Post-employment Benefits

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans. The defined benefit plans cover the Group's permanent employees. The retirement fund of the Parent Company is being administered by its trustees. The Group's retirement cost is actuarially determined using the projected unit credit method. This method reflects services rendered by employees to the date of valuation and incorporates assumptions concerning employees' projected salaries.

Defined Benefit Plan. The net defined benefit liability or asset is the aggregate of the present value of the defined benefit obligation at the end of the reporting date reduced by the fair value of plan assets (if any), adjusted for any effect of limiting a net defined benefit asset to the asset ceiling. The asset ceiling is the present value of any economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

Defined benefit costs comprise the following:

- Service cost
- Net interest on the net defined benefit liability or asset
- Remeasurements of net defined benefit liability or asset

Service costs which include current service costs, past service costs and gains or losses on non-routine settlements are recognized as expense in profit or loss. Past service costs are recognized when plan amendment or curtailment occurs. These amounts are calculated periodically by independent qualified actuaries.

Net interest on the net defined benefit liability or asset is the change during the period in the net defined benefit liability or asset that arises from the passage of time which is determined by applying the discount rate based on government bonds to the net defined benefit liability or asset. Net interest on the net defined benefit liability or asset is recognized as expense or income in profit or loss.

Remeasurements comprising actuarial gains and losses, return on plan assets and any change in the effect of the asset ceiling (excluding net interest on defined benefit liability) are recognized immediately in OCI in the period in which these arise. Remeasurements are not reclassified to profit or loss in subsequent periods.

Plan assets are assets that are held by a long-term employee benefit fund. Plan assets are not available to the creditors of the Group, nor can these be paid directly to the Group. Fair value of plan assets is based on market price information. When no market price is available, the fair value of plan assets is estimated by discounting expected future cash flows using a discount rate that reflects both the risk associated with the plan assets and the maturity or expected disposal date of those assets (or, if they have no maturity, the expected period until the settlement of the related obligations). If the fair value of the plan assets is higher than the present value of the defined benefit obligation, the measurement of the resulting defined benefit asset is limited to the present value of economic benefits available in the form of refunds from the plan or reductions in future contributions to the plan.

The Group's right to be reimbursed of some or all of the expenditure required to settle a defined benefit obligation is recognized as a separate asset at fair value when and only when reimbursement is virtually certain.

Profit Sharing and Bonus Plans. The Group recognizes a liability and an expense for bonuses and profit-sharing based on a formula that takes into consideration the profit attributable to the Parent Company's shareholders after certain adjustments. The Group recognizes a provision where it is contractually obliged to pay the benefits, or where there is a past practice that has created a constructive obligation.

Employee Leave Entitlements. Compensated absences are recognized for the number of paid leave days (including holiday entitlement) remaining at the end of the reporting date. These are included in "Accounts payable and other current liabilities" account in the consolidated statement of financial position at the undiscounted amount that the Group expects to pay as a result of the unused entitlement.

Termination Benefits. Termination benefits are payable when employment is terminated by the Group before the normal retirement date, or whenever an employee accepts voluntary redundancy in exchange for these benefits. The Group recognizes termination benefits at the earlier of when it can no longer withdraw the offer of such benefits and when it recognizes costs for a restructuring that is within the scope of PAS 37, *Provisions, Contingent Liabilities and Contingent Assets* and involves the payment of termination benefits. In the case of an offer made to encourage voluntary redundancy, the termination benefits are measured based on the number of employees expected to accept the offer. Benefits falling due more than 12 months after the reporting date are discounted to their present value.

Operating Leases

The determination of whether an arrangement is, or contains a lease is based on the substance of the arrangement at inception date, whether fulfillment of the arrangement is dependent on the use of a specific asset or assets or the arrangement conveys a right to use the asset, even if that right is not explicitly specified in an arrangement.

Group as a Lessee. Leases where the lessor retains substantially all the risks and benefits of ownership of the asset are classified as operating leases. Operating lease payments are recognized as an expense in the statement of comprehensive income on a straight-line basis over the lease term.

Income Taxes

Current Income Tax. Current tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted at reporting date.

Deferred Income Tax. Deferred tax is provided, using the balance sheet liability method, on all temporary differences at reporting date between the tax bases of assets and liabilities and their carrying amounts for financial reporting purposes at the reporting date.

Deferred tax assets are recognized for all deductible temporary differences, carryforward of unused tax credits from excess minimum corporate income tax (MCIT) over regular corporate income tax (RCIT), to the extent that it is probable that taxable profit will be available against which the deductible temporary differences and carryforward of unused tax credits can be utilized, except:

- Where the deferred tax asset relating to the deductible temporary difference arises from the initial recognition of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and
- In respect of deductible temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, deferred tax assets are recognized only to the extent that it is probable that the temporary differences will reverse in the foreseeable future and taxable profit will be available against which the temporary differences can be utilized.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax assets to be utilized. Unrecognized deferred tax assets are reassessed at each reporting date and are recognized to the extent that it has become probable that future taxable profit will allow the deferred tax assets to be recovered.

Deferred income tax liabilities are recognized for all taxable temporary differences, except:

- Where the deferred income tax liability arises from the initial recognition of goodwill of an asset or liability in a transaction that is not a business combination and, at the time of the transaction, affects neither the accounting profit nor taxable profit; and

- In respect of taxable temporary differences associated with investments in subsidiaries, associates and interests in joint ventures, where the timing of the reversal of the temporary differences can be controlled and it is probable that the temporary differences will not reverse in the foreseeable future.

Deferred tax liabilities are not provided on nontaxable temporary differences associated with investment in subsidiary.

Deferred tax assets and liabilities are measured at the tax rate applicable to the year when the asset is realized or the liability is settled, based on tax rates (and tax laws) that have been enacted or substantively enacted at reporting date.

Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and deferred taxes related to the same taxable entity and the same taxation authority.

Income tax relating to OCI is recognized in OCI section of the consolidated statement of comprehensive income.

Foreign Currency-denominated Transactions

Transactions in foreign currencies are recorded using the exchange rate at the date of the transactions. Foreign exchange gains or losses arising from foreign currency-denominated transactions and revaluation adjustments of foreign currency-denominated assets and liabilities are credited to or charged against current operations. Monetary assets and liabilities denominated in foreign currencies are translated using the closing rate prevailing at reporting date. All differences are taken to profit or loss. For income tax purposes, foreign exchange gains and losses are treated as taxable income or deductible expenses when realized.

Earnings Per Share (EPS)

Basic EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, with retroactive adjustments for any stock dividends declared, if any.

Diluted EPS is calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of common shares outstanding during the year, adjusted for the effects of dilutive stock options. Stocks under ESPP are deemed to have been converted into shares on the date when granted.

Operating Segments

For management purpose, the Group is organized and managed under a single business segment, the equity securities market, which is the basis upon which the Parent Company reports its primary segment information.

Provisions

Provisions are recognized when the Group has a present obligation (legal or constructive) where, as a result of a past event, it is probable that an outflow of assets embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. If the effect of the time value of money is material, provisions are determined by discounting the expected future cash flows at a pre-tax rate that reflects current market assessments of the time value of money and, where appropriate, the risks specific to the liability. Where discounting is used, the increase in the provision due to the passage of time is recognized as interest expense. Where the Group expects a provision to be reimbursed, the reimbursement is recognized as a separate asset but only when the receipt of the reimbursement is virtually certain.

Contingencies

Contingent liabilities are not recognized in the consolidated financial statements. These are disclosed in the notes to the consolidated financial statements unless the possibility of an outflow of assets embodying economic benefits is remote. Contingent assets are not recognized in the consolidated financial statements but are disclosed in the notes to the consolidated financial statement when an inflow of economic benefits is probable.

Events after the Reporting Period

Post-year-end events that provide additional information about the Group's financial position at the end of the reporting period (adjusting events) are reflected in the consolidated financial statements. Post-year-end events that are not adjusting events, are disclosed in the notes to the consolidated financial statement when material.

4. Significant Accounting Judgments, Estimates and Assumptions

The preparation of the consolidated financial statements in accordance with PFRS requires the Group to make judgments, estimates and assumptions that affect the reported amounts of assets, liabilities, income and expenses and disclosure of contingent assets and contingent liabilities, at the end of the reporting date. Future events may occur which will cause the assumptions used in arriving at the estimates to change. The effects of any change in estimates are reflected in the consolidated financial statements as these become reasonably determinable.

Judgments and estimates are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be determinable under the circumstances.

Judgments

In the process of applying the Group's accounting policies, management has made the following judgments, apart from those involving estimates and assumptions, which have the most significant effect on the amounts recognized in the consolidated financial statements.

Operating Lease Commitments – The Group as Lessee. The Group has entered into a property lease for its condominium units, office space and parking lots as a lessee. The Group has determined, based on evaluation of the terms and condition of the lease agreement, that the significant risks and rewards of ownership of the leased property was retained by the lessor and accounts this lease as operating lease. Other operating leases entered into by the Group include leases of office equipment, which are normally for a period of not more than a year, and/or renewable yearly. Rent expense arising from operating leases amounted to ₱24.90 million, ₱9.81 million and ₱9.73 million for the years ended December 31, 2017, 2016 and 2015, respectively (see Note 25).

Fair Values of Financial Assets and Liabilities. The Group carries certain financial assets at fair value. Fair value determinations for financial assets and liabilities are based generally on listed or quoted market prices.

Estimates and Assumptions

The key estimates and assumptions concerning the future and other key sources of estimation uncertainty at reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below. The Group based its assumptions and estimates on parameters available when the consolidated financial statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising beyond the control of the Group. Such changes are reflected in the assumptions when these occur.

Impairment of AFS Investments. The Group treats AFS investments as impaired when there is objective evidence that an investment or a group of investments is impaired.

AFS equity investments as impaired when there has been a significant or prolonged decline in the fair value below its cost or where other objective evidence of impairment exists. The determination of what is 'significant' or 'prolonged' requires judgment. The Group treats 'significant' generally as 20% or more and 'prolonged' as greater than the period of six months. In addition, the Group evaluates other factors, including normal volatility in share price for quoted equities and the future cash flows and the discount factors for unquoted equities.

An assessment is made at each reporting date as to whether there is any indication that previously recognized impairment losses may no longer exist or may have decreased. If such indication exists, the Group makes an estimate of the recoverable amount. A previously recognized impairment loss is reversed only if there has been a change in the estimates used to determine the asset's recoverable amount since the last impairment loss was recognized. If this is the case, the carrying amount of the asset is increased to its recoverable amount. The increased amount cannot exceed the carrying amount that would have been determined, had no impairment loss been recognized for the asset in prior years. Such reversal is recognized in the consolidated statements of comprehensive income.

In the case of debt instruments classified as AFS, the amount recorded for impairment is the cumulative loss measured as the difference between the amortized cost and the current fair value, less any impairment loss on that investment previously recognized in the consolidated statement of profit or loss.

Future interest income continues to be accrued based on the reduced carrying amount of the asset, using the rate of interest used to discount the future cash flows for the purpose of measuring the impairment loss. The interest is recorded as part of interest income. If, in a subsequent year, the fair value of a debt instrument increases and the increase can be objectively related to an event occurring after the impairment loss was recognized in profit or loss, the impairment loss is reversed through profit or loss.

The Group recognized provision for decline in value of equity securities on AFS investments amounting to ₱0.10 million and nil in 2017 and 2016, respectively. The total carrying value of AFS investments amounted to ₱513.92 million and ₱550.07 million as at December 31, 2017 and 2016, respectively (see Note 9).

Impairment of Receivables. The Group annually reviews its receivables that are individually significant to assess impairment. If the Group determines that no objective evidence of impairment exists for an individually assessed financial asset, it collectively assesses them for impairment. For the purpose of a collective evaluation of impairment, receivables are grouped based on credit risk. In determining whether an impairment loss should be recorded in the consolidated statements of profit or loss, the Group makes judgment as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from the receivables. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers. Allowance for impairment losses is maintained at a level considered adequate to provide for potentially uncollectible receivables.

Provision for impairment losses on receivables amounted to ₱0.03 million, ₱0.31 million and ₱0.15 million in 2017, 2016 and 2015, respectively. The Group recognized a reversal of impairment loss amounting to ₱0.05 million in 2017 and nil in 2016 and 2015, respectively. The carrying values of receivables amounted to ₱70.65 million and ₱93.90 million as at December 31, 2017 and 2016, respectively (see Note 10).

Estimation of Useful Lives of Property and Equipment and Computer Software. The Group estimated the useful lives of its property and equipment and computer software based on the period over which the assets are expected to be available for use. The Group reviews annually the estimated useful lives based on factors that include asset utilization, internal technical evaluation, technological changes, and anticipated use of the assets. A reduction in the estimated useful lives of property and equipment and computer software would increase the recorded depreciation and amortization expense and decrease the related assets.

There were no significant changes in the estimated useful lives of the Group's property and equipment and computer software as at December 31, 2017 and 2016.

Impairment of Investment in an Associate. The Group assesses impairment on its investment in an associate whenever events or changes in circumstances indicate that the carrying amount of an asset may not be recoverable. Among others, the factors that the Group considers important which could trigger an impairment review on its investment in an associate include the following:

- Deteriorating or poor financial condition;
- Recurring net losses; and

- Significant changes with an adverse effect on the technological, market, economic, or legal environment in which the associate operates have taken place during the period, or will take place in the near future.

There was no provision for impairment losses on the investment in an associate for the years ended December 31, 2017, 2016 and 2015. The carrying value of the investment in an associate amounted to ₱359.20 million and ₱376.17 million as at December 31, 2017 and 2016, respectively (see Note 13).

Provisions. The Group recognizes a provision for an obligation resulting from a past event when it has assessed that it is probable that an outflow of resources will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. These assessments are made based on available evidence, including the opinion of experts. Future events and developments may result in changes in these assessments which may impact the Group's financial position and performance (see Note 31).

Contingencies. The Group is currently involved in legal proceedings. The estimate of the probable costs for the resolution of these claims has been developed in consultation with counsel handling the defense in these matters and is based upon an analysis of potential results. The outcome of these legal proceeding are not presently determinable. In the opinion of management and its legal counsel, the eventual liability under these lawsuits or claims, if any, will not have a material or adverse effect on the consolidated financial position and results of operations (see Note 31).

Present Value of Pension Liability. The present value of the pension obligations depends on a number of factors that are determined on an actuarial basis using a number of assumptions. The assumptions used in determining the net cost for pensions include discount rate and rate of salary increase.

The Group determines the appropriate discount rate at the end of each year. It is the interest rate that should be used to determine the present value of estimated future cash outflows expected to be required to settle the pension obligations. Other key assumptions for pension obligations are based in part on current market conditions.

While it is believed that the Group's assumptions are reasonable and appropriate, significant differences in actual experience or significant changes in assumptions may materially affect the Group's pension obligations.

The amounts of post-employment benefit obligation and expense and an analysis of the movements in the estimated present value of post-employment benefit obligation, as well as the significant assumptions in estimating such obligation, are presented in Note 27.

Recognition of Deferred Tax Assets. The carrying amount of deferred tax assets is reviewed at each reporting date. Deferred tax assets are recognized for all deductible temporary differences to the extent that it is probable that taxable profit will be available against which the deductible temporary differences can be utilized. The forecasted availability of taxable profit is based on past results and future expectations on revenue and expenses. Significant management judgment is required to determine the amount of deferred income tax assets that can be recognized, based upon the likely timing and level of future taxable profits together with future tax planning strategies.

As at December 31, 2017 and 2016, the Parent Company and CMIC recognized total deferred tax assets amounting to ₱19.51 million and ₱20.69 million, respectively (see Note 26). SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to ₱3.74 million and ₱3.53 million as at December 31, 2017 and 2016, respectively (see Note 26).

5. Financial Risk Management Objectives and Policies

The Group's principal financial instruments consist of cash and cash equivalents, financial assets at FVPL and AFS investments. The main purpose of these financial instruments is to raise finances for the Group's operations. The Group has other financial assets and liabilities such as receivables, other noncurrent assets - deposits in bank, accounts payable and other current liabilities excluding payable to government agencies, which arise directly from its operations. It is the Group's policy not to directly engage in the trading of financial instruments.

The main risks arising from the Group's financial instruments are liquidity risk, credit risk, equity price risk, interest rate risk and foreign currency risk. The Group's BOD, management and the Corporate Governance Officer review and agree on the policies of managing each of these risks as summarized below.

Liquidity Risk

Liquidity risk is the risk that an entity will encounter difficulty in raising funds to meet commitments associated with the financial instruments. Liquidity risk may result from the inability to sell financial assets quickly at their fair values.

The Group seeks to manage its liquidity profile to be able to service its maturing liabilities and to finance capital requirements. The Group maintains a level of cash and cash equivalents deemed sufficient to finance operations. As part of its liquidity risk management, the Exchange regularly evaluates its projected and actual cash flows.

To meet the requirement for liquidity, adequate cash flow is provided for administrative operating expenditures and capital expenses based on projected funding requirements. All excess funds are invested in an organized investment mix of short-term and long-term investments to achieve maximum returns.

The tables below summarize the maturity profile of the financial assets held for liquidity purposes and financial liabilities based on remaining contractual undiscounted payments.

	As at December 31, 2017				
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	Total
Financial Assets					
Loans and receivables:					
Cash and cash equivalents	₱811,587,701	₱-	₱-	₱73,500	₱811,661,201
Receivables:					
Receivables from:					
Trading participants	57,014,698	-	-	-	57,014,698
Listed companies	3,070,698	-	-	-	3,070,698
Data vendors	3,120,307	-	-	-	3,120,307
Accrued interest receivable	4,035,671	-	-	-	4,035,671
Receivable from other fund members	4,483,276	-	-	-	4,483,276
Others	448,110	-	-	-	448,110
Other current assets - Refundable deposits	419,639	-	-	-	419,639
Other noncurrent asset - Deposits in bank	-	-	688,432	-	688,432
Financial assets at FVPL	319,000,934	-	-	-	₱319,000,934
AFS investments:					
Government debt securities:*					
Short-term	5,045,605	-	-	-	5,045,605
Long-term	16,791,673	17,553,103	359,147,853	-	393,492,629
Corporate bonds -*					
Long-term	5,634,078	14,592,918	97,752,792	-	117,979,788
Equity securities	-	-	-	1,000,000	1,000,000
	₱1,230,652,390	₱32,146,021	₱457,589,077	₱1,073,500	₱1,721,460,988

	As at December 31, 2017				Total
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	
Financial Liabilities					
Other financial liabilities -					
Accounts payable and other current liabilities:					
Trade	₱73,261,637	₱-	₱-	₱-	₱73,261,637
Due to SEC	96,835,212	-	-	-	96,835,212
Accrued expenses**	116,999,290	-	-	-	116,999,290
Others	15,352,115	-	-	-	15,352,115
	₱302,448,254	₱-	₱-	₱-	₱302,448,254

*Including interest.

**Excluding accrued taxes amounting to ₱1.28 million.

	As at December 31, 2016				Total
	Within a Year	1-2 Years	More than 2 Years	No Maturity Date	
Financial Assets					
Loans and receivables:					
Cash and cash equivalents	₱833,726,568	₱-	₱-	₱68,500	₱833,795,068
Receivables:					
Receivables from:					
Trading participants	55,370,159	-	-	-	55,370,159
Listed companies	4,995,176	-	-	-	4,995,176
Data vendors	11,466,288	-	-	-	11,466,288
Accrued interest receivable	3,880,578	-	-	-	3,880,578
Advances	20,101,979	-	-	-	20,101,979
Others	1,145,043	-	-	-	1,145,043
Other noncurrent assets:					
Deposits in bank	-	-	687,051	-	687,051
Refundable deposits	413,770	-	-	-	413,770
Financial assets at FVPL	230,899,656	-	-	-	230,899,656
AFS investments:					
Government debt securities -*					
Long-term	16,958,463	22,498,867	369,804,762	-	409,262,092
Corporate bonds:*					
Short-term	25,418,651	-	-	-	25,418,651
Long-term	5,969,459	5,671,459	114,883,854	-	126,524,772
Equity securities	-	-	-	1,100,000	1,100,000
	₱1,210,345,790	₱28,170,326	₱485,375,667	₱1,168,500	₱1,725,060,283

Financial Liabilities					
Other financial liabilities -					
Accounts payable and other current liabilities:					
Trade	₱37,190,387	₱-	₱-	₱-	₱37,190,387
Due to SEC	99,776,398	-	-	-	99,776,398
Accrued expenses**	54,857,072	-	-	-	54,857,072
Others	5,030,893	-	-	-	5,030,893
	₱196,854,750	₱-	₱-	₱-	₱196,854,750

*Including interest.

**Excluding accrued taxes amounting to ₱1.10 million.

Credit Risk

Credit risk refers to the potential loss arising from any failure by the Group's counterparties to fulfill their contractual obligations, as and when they fall due. The Group's credit exposure arises mainly from receivables from trading participants on clearing related services for securities transactions, membership fees and other fees, receivable from listed companies on listing maintenance fees and receivable from market data vendors for data feed charges. To minimize credit risk, the Group monitors the financial health of clearing participants and takes note of participants with potential default.

The credit risk of the Group's financial assets arises from default of the counterparty with maximum exposure equal to the carrying amounts of these financial instruments. The fair values of these financial instruments are disclosed in Note 6.

The tables below show the aging analysis of the Group's financial assets as at December 31, 2017 and 2016:

As at December 31, 2017							
	Past Due but not Impaired						Total
	Neither Past Due nor Impaired	30 to 60 Days	60 to 120 Days	120 to 180 Days	Over 180 Days but Less than 360 Days	Past Due and Impaired	
Loans and receivables:							
Cash and cash equivalents*	₱811,587,701	₱-	₱-	₱-	₱-	₱-	₱811,587,701
Receivables:							
Receivables from:							
Trading participants	56,693,751	-	-	-	-	320,947	57,014,698
Listed companies	228,980	19,120	19,960	-	328,360	2,474,278	3,070,698
Data vendors	-	796,323	1,522,107	801,877	-	-	3,120,307
Accrued interest receivable	4,035,671	-	-	-	-	-	4,035,671
Receivable from other fund members	4,483,276	-	-	-	-	-	4,483,276
Others	156,841	15,175	4,480	-	31,998	239,616	448,110
Other current assets - Refundable deposits	419,639	-	-	-	-	-	419,639
Other noncurrent assets - Deposits in bank	688,432	-	-	-	-	-	688,432
Financial assets at FVPL	319,000,934	-	-	-	-	-	319,000,934
AFS investments:							
Government debt securities:							
Short-term	5,046,882	-	-	-	-	-	5,046,882
Long-term	392,903,294	-	-	-	-	-	392,903,294
Corporate bonds - Long-term	114,966,200	-	-	-	-	-	114,966,200
Equity securities	1,000,000	-	-	-	-	-	1,000,000
	₱1,711,211,601	₱830,618	₱1,546,547	₱801,877	₱360,358	₱3,034,841	₱1,717,785,842

*Excluding cash on hand amounting to ₱0.07 million.

As at December 31, 2016							
	Past Due but not Impaired						Total
	Neither Past Due nor Impaired	30 to 60 Days	60 to 120 Days	120 to 180 Days	Over 180 Days but Less than 360 Days	Past Due and Impaired	
Loans and receivables:							
Cash and cash equivalents*	₱833,726,568	₱-	₱-	₱-	₱-	₱-	₱833,726,568
Receivables:							
Receivables from:							
Trading participants	55,049,717	1,680	-	-	-	318,762	55,370,159
Listed companies	1,439,960	8,520	379,286	227,411	465,721	2,474,278	4,995,176
Data vendors	10,035,789	706,368	370,249	-	353,882	-	11,466,288
Accrued interest receivable	2,663,845	-	-	-	-	-	2,663,845
Advances	20,101,979	-	-	-	-	-	20,101,979
Others	867,269	6,160	-	-	31,998	239,616	1,145,043
Other noncurrent assets:							
Deposits in bank	687,051	-	-	-	-	-	687,051
Refundable deposits	413,770	-	-	-	-	-	413,770
Financial assets at FVPL	230,899,656	-	-	-	-	-	230,899,656
AFS investments:							
Government debt securities - Long-term	405,875,315	-	-	-	-	-	405,875,315
Corporate bonds:							
Short-term	25,313,718	-	-	-	-	-	25,313,718
Long-term	117,777,978	-	-	-	-	-	117,777,978
Equity securities	1,100,000	-	-	-	-	-	1,100,000
	₱1,705,952,615	₱722,728	₱749,535	₱227,411	₱851,601	₱3,032,656	₱1,711,536,546

*Excluding cash on hand amounting to ₱0.07 million.

Credit Quality of Financial Assets

The credit quality of financial assets is managed by the Group using high quality and standard quality as internal credit ratings.

High Quality. This pertains to a counterparty who is not expected by the Group to default in settling its obligations, thus credit risk exposure is minimal. This normally includes large prime financial institutions, companies and government agencies.

Standard Quality. Other financial assets not belonging to high quality financial assets are included in this category.

The credit analyses of the Group's financial assets that are neither past due nor impaired as at December 31, 2017 and 2016 are as follows:

2017			
	High Quality	Standard Quality	Total
Loans and receivable:			
Cash and cash equivalents*	₱811,587,701	₱-	₱811,587,701
Receivables:			
Receivables from:			
Trading participants	56,693,751	-	56,693,751
Listed companies	228,980	-	228,980
Data vendors	-	-	-
Accrued interest receivable	4,035,671	-	4,035,671
Receivable from other fund members	4,483,276	-	4,483,276
Others	156,841	-	156,841
Other current assets - Refundable deposit	-	419,639	419,639
Other noncurrent assets - Deposits in bank	688,432	-	688,432
Financial assets at FVPL	319,000,934	-	319,000,934
AFS Investments			
Government debt securities:			
Short-term	5,046,882	-	5,046,882
Long-term	392,903,294	-	392,903,294
Corporate bonds - Long-term	114,966,200	-	114,966,200
Equity securities	-	1,000,000	1,000,000
	₱1,709,791,962	₱1,419,639	₱1,711,211,601

*Excluding cash on hand amounting to ₱0.07 million.

December 31, 2016 (Audited)			
	High Quality	Standard Quality	Total
Loans and receivables			
Cash and cash equivalents*	₱833,726,568	₱-	₱833,726,568
Receivables			
Receivables from:			
Trading participants	55,049,717	-	55,049,717
Listed companies	1,439,960	-	1,439,960
Data vendors	10,035,789	-	10,035,789
Accrued interest receivable	2,663,845	-	2,663,845
Advances	20,101,979	-	20,101,979
Others	867,269	-	867,269
Other noncurrent assets:			
Deposits in bank	687,051	-	687,051
Refundable deposit	-	413,770	413,770
Financial assets at FVPL	230,899,656	-	230,899,656
AFS Investments			
Government debt securities - Long-term	405,875,315	-	405,875,315
Corporate bonds:			
Short-term	25,313,718	-	25,313,718
Long-term	117,777,978	-	117,777,978
Equity securities	-	1,100,000	1,100,000
	₱1,704,438,845	₱1,513,770	₱1,705,952,615

*Excluding cash on hand amounting to ₱0.05 million.

The Group does not have any significant exposure to any individual customer or counterparty nor does it have any major concentration of credit risk related to any financial instrument.

In the selection of investment, capital preservation is the primary consideration of the Group. With this objective, funds are basically invested in government bonds and securities and duly registered with the Registry of Scripless Securities under the name of the Group.

The Treasury Manager is responsible for the identification of investments that provide a relatively stable rate of return and submit these identified investments to the Vice President for Controllershship and Treasury Division who endorses it to the Treasurer or President for approval. The Group is guided by a BOD approved investment policy guidelines. Any exemption to the set policy is subject to

the approval of the BOD. In addition, on a monthly basis, the Treasurer reports the investment portfolio performance and management's performance associated with the investment portfolio to the BOD.

Market Risk

The Group's market risk (the risk of loss to future earnings, to fair values or to future cash flows that may result from changes in market variables) originates from its holdings of debt and equity securities. The value of a financial instrument may change as a result of changes in equity price, interest rates, foreign currency exchanges rates and other market changes.

Equity Price Risk. The Group's exposure to equity price pertains to its investments in quoted equity shares which are classified under financial assets at FVPL and AFS investments in the consolidated statements of financial position. Equity price risk arises from the changes in the levels of equity indices and the value of individual stocks traded in the stock exchange.

The Group's policy is to maintain the risk to an acceptable level by monitoring regularly the movement of share prices to determine the impact on its financial position.

The effect on profit or loss (as a result of change in fair value of financial assets at FVPL as at December 31, 2017 and 2016) due to a possible change in equity indices, based on historical trend, with all other variables held constant is as follows:

	Change in Equity Price	Effect on Profit or Loss/Equity (In Millions)
2017	+5.05%	₱6.77
	-5.05%	(6.77)
2016	+2.45%	₱2.21
	-2.45%	(2.21)

As at December 31, 2017 and December 31, 2016, the Group's exposure to equity price risk arising from equity securities investments is minimal.

Fair Value Interest Rate Risk. The Group follows a prudent policy on managing its assets and liabilities so as to ensure that exposure to fluctuations in interest rates are kept within acceptable limits. There are no floating rate financial assets and financial liabilities. Term deposits with banks and debt securities carry fixed rates throughout the period of deposit or placement.

The table below sets forth the sensitivity to a reasonable possible change in interest rates with all other variables held constant, of the Group's equity (through the impact on unrealized gain/loss on AFS fixed rate debt securities).

	Effect on Equity	
	2017	2016
	(In Millions)	
Increase (Decrease) in interest rates:		
+70 basis points	(₱17.77)	(₱21.62)
-70 basis points	17.53	23.47

Foreign Currency Risk. Foreign currency risk is the risk that the fair value of future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. The Group's exposure to foreign currency risks arise primarily from US dollar transactions, mostly from cash and cash equivalents and receivables.

The Group's policy is to maintain foreign currency exposure within acceptable limits. The Group believes that its profile of foreign currency exposure on its assets and liabilities is within conservative limits.

The following table summarizes the exposure to foreign currency exchange risk as at December 31, 2017 and 2016:

	2017		2016	
	In USD	In ₱	In USD	In ₱
Financial assets:				
Cash and cash equivalents	\$704,707	₱35,186,009	\$623,509	₱31,000,881
Receivables	255,558	12,760,014	229,686	10,935,722
	\$960,265	₱47,946,023	\$853,195	₱41,936,603
Financial liability - Payable	\$-	₱-	\$17,633	₱876,709

In translating the foreign currency-denominated monetary assets and liabilities into Philippine peso amounts, the exchange rate used was ₱49.93 to US\$1.00 and ₱49.72 to US\$1.00, the Philippine peso to U.S. Dollar exchange rate as at December 31, 2017 and 2016, respectively.

The table below indicates the effect of increase or decrease in US dollar exchange rate on income before income tax to which the Group has substantial exposures on its financial assets. The result calculates the effect of a reasonably possible change in the spot rates, when all other variables are held constant. Negative values in the table reflect a potential reduction in income while a positive amount reflects a potential increase.

	2017		2016
USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)	USD Strengthens/ (Weakens)	Effect on Income Before Tax (in millions)
0.42%	₱0.20	6.00%	₱2.40
(0.42%)	(0.20)	(6.00%)	(2.40)

The increase in ₱ rate as against US\$ rate demonstrates weaker functional currency while the decrease represents stronger Philippine peso value.

There is no other impact on the equity other than those already affecting the consolidated statement of profit or loss.

6. Fair Value Measurement and Hierarchy

The following table sets forth the carrying values and estimated fair values of financial assets, by category and by class, recognized as at December 31, 2017 and 2016:

	2017			
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVPL	₱319,000,934	₱319,000,934	₱-	₱-
AFS investments:				
Government securities:				
Current	5,046,882	5,046,882	-	-
Long-term	392,903,294	26,418,824	366,484,470	-
Corporate bonds -				
Long-term	114,966,200	114,966,200	-	-
Equity securities	1,000,000	-	1,000,000	-
	512,916,376	146,431,906	367,484,470	-
	₱831,917,310	₱465,432,840	₱367,484,470	₱-

	2016			
	Carrying Value	Quoted Prices in Active Markets (Level 1)	Significant Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Assets measured at fair value -				
Financial assets at FVPL	₱230,899,656	₱230,899,656	₱-	₱-
AFS investments:				
Government securities -				
Long-term	405,875,315	31,461,950	374,413,365	-
Corporate bonds:				
Current	25,313,718	25,313,718	-	-
Long-term	117,777,978	117,777,978	-	-
Equity securities	1,100,000	-	1,100,000	-
	550,067,011	174,553,646	375,513,365	-
	₱780,966,667	₱405,453,302	₱375,513,365	₱-

For the years ended December 31, 2017 and 2016, there were no transfers made among the three levels in the fair value hierarchy. There are no financial instruments classified under level 3.

Cash and Cash Equivalents, Receivables excluding Advances to Employees and Suppliers, Refundable Deposits and Other Noncurrent Assets - Deposits in Bank, Accounts Payable and Other Current Liabilities excluding Payable to government agencies

The carrying amounts approximate the fair values because of their short-term nature or due to the immaterial effect of discounting when present value of future cash flows from these instruments are calculated.

7. Cash and Cash Equivalents

This account consists of:

	2017	2016
Cash on hand and in banks	₱73,520,871	₱120,668,982
Cash equivalents	738,140,330	713,126,086
	₱811,661,201	₱833,795,068

Cash in banks earns interest at an average of 0.25% bank deposit rate. Time deposits are made for varying periods with original maturity of three months or less from dates of placement and earn interest rates ranging from 0.50% to 2.0% in 2017, 1.50% to 1.75% in 2016 and 0.375% to 1.88% in 2015.

Interest income earned from cash and cash equivalents amounted to ₱12.80 million, ₱4.66 million and ₱11.12 million in 2017, 2016 and 2015, respectively (see Note 20).

8. Financial Assets at FVPL

The Group entered into an investment management agreement with third party banks for the disposition of its investible funds at the banks' discretion subject to the investment guidelines set by the Parent Company. The financial assets at FVPL mainly pertain to held for trading equity securities. The fair value of the investment as at December 31, 2017 and 2016 amounted to ₱319.00 million and ₱230.90 million, respectively.

Mark-to-market gain (loss) on financial assets at FVPL amounted to ₱59.76 million, ₱31.75 million and (₱14.22 million) in 2017, 2016 and 2015, respectively.

Dividend income earned on financial assets at FVPL amounted to ₱4.67 million, ₱7.81 million and ₱8.60 in 2017, 2016 and 2015, respectively.

The fair values of the financial assets at FVPL have been determined directly by reference to quoted prices in active markets (see Note 6).

9. Available-for-Sale Investments

This account consists of:

	2017	2016
Debt securities:		
Government debt securities	₱397,950,176	₱431,189,033
Corporate bonds	114,966,200	117,777,978
Total debt securities	512,916,376	548,967,011
Quoted equity securities	1,000,000	1,100,000
Total AFS investments	513,916,376	550,067,011
Less short-term AFS investments	5,046,882	25,313,718
Long-term AFS investments	₱508,869,494	₱524,753,293

Short-term AFS investments as at December 31, 2017 and 2016 pertain to government debt securities and corporate bonds with interest rate of 2.13% and 5.75% to 7.75% which will mature in 2018 and 2017, respectively.

Peso-denominated long-term government debt securities and corporate bonds earn annual interest rates ranging from 2.08% to 6.00% in 2017 and 3.25% to 7.75% in 2016 and 2015. Long-term government debt securities and corporate bonds as at December 31, 2017 and 2016 will mature starting 2019 to 2032.

Interest income earned from AFS investments amounted to ₱24.04 million, ₱27.20 million and ₱32.06 million in 2017, 2016 and 2015, respectively (see Note 20).

The rollforward analysis of the Group's AFS investments follows:

	2017	2016
Balance at beginning of year	₱550,067,011	₱634,882,358
Maturities	(25,000,000)	(85,000,000)
Net change in fair value	(9,599,411)	1,585,263
Amortization of premium	(1,451,224)	(1,400,610)
Provision for decline in value of equity securities	(100,000)	-
Balance at end of year	₱513,916,376	₱550,067,011

The movement of net unrealized loss on AFS investments as at December 31, 2017 and 2016 follows:

	2017	2016
Balance at beginning of year	(₱8,968,499)	(₱10,553,762)
Net change in fair value	(9,599,411)	1,585,263
Balance at end of year	(₱18,567,910)	(₱8,968,499)

10. Receivables

This account consists of:

	2017	2016
Receivables from:		
Trading participants (Note 29)	₱57,014,698	₱55,370,159
Data vendors	3,120,307	11,466,288
Listed companies	3,070,698	4,995,176
Accrued interest receivable (Note 20)	4,035,671	3,880,578

(Forward)

	2017	2016
Advances to/receivables from:		
Other fund members	₱4,483,276	₱5,026,758
Officers and employees	1,401,751	1,533,221
Suppliers	115,045	13,542,000
Others	448,110	1,145,043
Total	73,689,556	96,959,223
Less allowance for impairment loss	3,034,841	3,060,601
	₱70,654,715	₱93,898,622

Receivables generally have terms of 30 days, except for the receivables from data vendors which are normally collected within 45 days.

The movements in the allowance for impairment losses follow:

	2017	2016	2015
Balance at beginning of year	₱3,060,601	₱2,755,025	₱2,603,947
Reversal	(52,640)	—	—
Provision	26,880	305,576	151,078
Balance at end of year	₱3,034,841	₱3,060,601	₱2,755,025

Provision for (reversal of) impairment losses is presented under “Others - net” account in profit or loss.

11. Other Current Assets

This account consists of:

	2017	2016
Prepaid expenses	₱42,069,175	₱15,521,460
Input VAT - net of noncurrent portion	39,441,339	21,819,590
Deposits	817,289	811,420
	₱82,327,803	₱38,152,470

Prepaid expenses include prepayment of rental, insurance, prepaid income tax, creditable withholding tax and other expenses which are normally incurred within the next financial year.

Input VAT, net of noncurrent portion, represents VAT paid to suppliers that can be claimed as credit against the Group's future output VAT liabilities without prescription.

Deposit pertains to refundable deposit of CMIC which are expected to be received within the next financial year.

In 2016, the Parent Company has written off its deposit due to expiration of its commercial terms and forfeiture of its right to consume the future services. Consequently, the Parent Company has recognized a corresponding loss amounting to ₱14.14 million. Also, a property and equipment was recognized in the December 31, 2016 statement of financial position amounting to ₱2.70 million as the Parent Company received computer hardware in pursuant to its original agreement with the supplier (see Note 12).

12. Property and Equipment - net

The composition of and movements in property and equipment are as follows:

	2017								
	Land	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Communication Equipment and Others	Transportation Equipment	Construction in progress - Office fit-out	Total
Cost									
At beginning of year	₱155,690,154	₱886,755,314	₱156,132,995	₱206,394,573	₱361,936,540	₱87,143,521	₱14,522,394	₱14,917,551	₱1,883,493,042
Additions (Note 17)	—	—	83,490	54,650,776	156,025,684	2,635,232	11,816,036	118,737,584	343,948,802
Disposals	—	—	(5,100)	—	(1,969,341)	(366,928)	(4,950,000)	—	(7,291,369)
Write-off	—	—	—	(2,444,051)	(6,953,866)	—	—	—	(9,397,917)
Reclassification	—	(1,302,224)	1,302,224	—	—	—	—	—	—
At end of year	155,690,154	885,453,090	157,513,609	258,601,298	509,039,017	89,411,825	21,388,430	133,655,135	2,210,752,558
Accumulated Depreciation									
At beginning of year	—	57,600,001	154,597,732	102,428,538	286,556,717	75,528,426	6,465,494	—	683,176,908
Depreciation	—	11,253,696	1,609,823	23,813,106	42,726,308	2,470,485	3,738,453	—	85,611,871
Disposals	—	—	(5,099)	—	(1,859,697)	(365,158)	(2,670,447)	—	(4,900,401)
Write-off	—	—	—	(768,002)	(6,701,834)	—	—	—	(7,469,836)
At end of year	—	68,853,697	156,202,456	125,473,642	320,721,494	77,633,753	7,533,500	—	756,418,542
Net book value	₱155,690,154	₱816,599,393	₱1,311,153	₱133,127,656	₱188,317,523	₱11,778,072	₱13,854,930	₱133,655,135	₱1,454,334,016

	2016								
	Land	Buildings	Building Improvements	Trading System Equipment	Computer Hardware and Peripherals	Communication Equipment and Others	Transportation Equipment	Construction in progress - Office fit-out	Total
Cost									
At beginning of year	₱155,690,154	₱81,385,714	₱157,518,709	₱402,701,588	₱321,975,035	₱84,128,661	₱13,550,073	—	₱1,216,949,934
Additions (Note 17)	—	805,369,600	—	15,232,693	42,609,043	3,184,274	6,336,607	14,917,551	887,649,768
Disposals	—	—	—	(211,539,708)	(2,647,538)	(169,414)	(5,364,286)	—	(219,720,946)
Write-off	—	—	(1,385,714)	—	—	—	—	—	(1,385,714)
At end of year	155,690,154	886,755,314	156,132,995	206,394,573	361,936,540	87,143,521	14,522,394	14,917,551	1,883,493,042
Accumulated Depreciation									
At beginning of year	—	54,400,001	152,533,819	287,366,514	236,032,658	72,289,193	9,601,910	—	812,224,095
Depreciation	—	3,200,000	2,063,913	26,601,730	53,171,580	3,408,638	2,227,869	—	90,673,730
Disposals	—	—	—	(211,539,706)	(2,647,521)	(169,405)	(5,364,285)	—	(219,720,917)
At end of year	—	57,600,001	154,597,732	102,428,538	286,556,717	75,528,426	6,465,494	—	683,176,908
Net book value	₱155,690,154	₱829,155,313	₱1,535,263	₱103,966,035	₱75,379,823	₱11,615,095	₱8,056,900	₱14,917,551	₱1,200,316,134

As at December 31, 2017 and 2016, the Group's acquisition of property and equipment which remains unpaid and is included under “Accounts payable and other current liabilities - Trade” amounted to ₱49.98 million and ₱21.27 million, respectively (see Note 34).

The Group disposed property and equipment with carrying value amounting to ₱2.39 million, nil and ₱0.71 million with related gain (loss) on disposal amounting to (₱0.11 million), nil and ₱1.02 million in 2017, 2016 and 2015, respectively.

As at December 31, 2017, write-off of computer hardware and peripherals amounting to ₱1.93 million pertains to those equipment which were no longer used for the Group's trading and technology operations.

As at December 31, 2016, write-off of building pertains to the preliminary construction costs amounting to ₱1.39 million which were no longer used for the acquired Fort Bonifacio Development Corporation (FBDC) office units (see Note 17).

As at December 31, 2017 and 2016, no property and equipment have been pledged as security or collateral for any of the Group's liabilities.

The cost of fully depreciated assets still in use by the Group amounted to ₱575.03 million and ₱532.93 million as at December 31, 2017 and December 31, 2016, respectively.

Land. This represents shares in a condominium corporation donated to the Parent Company. Ayala Land, Inc. (ALI) established a stock condominium corporation with the corporate name of Tower One and PSE Exchange Plaza Condominium for the purpose of holding title to the parcel of land where the Exchange Plaza is located and other common areas of the condominium. The PSE's share in the parcel of land where the condominium is located and the common areas of the condominium is classified under Land. The donation is divided into two tranches consisting of 120 and 176 shares, each valued at ₱63.12 million and ₱92.57 million, respectively. Such shares were received by the Parent Company on December 29, 1994 for the 120 shares and on January 15, 1995 for the 176 shares and were valued at fair market value of the land at the time of donation.

Buildings. These include condominium units at the PSE Plaza, Ayala Triangle and Fort Bonifacio Global City (see Note 17). The condominium units in One Bonifacio High Street building at Fort Bonifacio Global City were transferred and accepted by the Exchange on September 22, 2017.

Building improvements. These pertain to improvements of office units at PSE Plaza, Ayala Triangle donated by ALI.

Construction in progress. These pertain to expenditures for building improvements in the course of construction and installation of furniture and equipment and computer hardware.

Trading System Equipment. This represents software and hardware costs. Software costs cannot be separately classified as an intangible asset as this is an integral part of the related hardware.

13. Investment in an Associate

This account represents the 20.98% interest in Philippine Dealing System Holdings Corp. (PDSHC) whose principal activity is to provide platform for the issuance, trading, dealing and exchange of fixed income securities and monetary instruments:

	2017	2016
Acquisition cost	₱137,050,657	₱137,050,657
Accumulated equity in net income of an associate:		
Balance at beginning of year	270,607,741	221,441,607
Share in net income of investee	53,604,469	49,166,134
Balance at end of year	324,212,210	270,607,741
Accumulated equity in other comprehensive loss - remeasurement losses on pension liability:		
Balance at beginning of year	(7,448,186)	(7,428,260)
Share in remeasurement gain (loss)	2,871,478	(19,926)
Balance at end of year	(4,576,708)	(7,448,186)
Accumulated dividend income:		
Balance at beginning of the year	(24,041,299)	–
Dividends declared during the year	(73,440,585)	(24,041,299)
Balance at end of year	(97,481,884)	(24,041,299)
	₱359,204,275	₱376,168,913

The available financial information of PDSHC follows (in millions):

	2017	2016
Current assets	₱1,547.52	₱1,443.18
Noncurrent assets	242.49	451.10
Current liabilities	95.58	110.70
Noncurrent liabilities	82.66	91.97
Total equity	1,611.77	1,691.61
Net income attributable to:		
Equity holder of the parent company	248.56	234.35
Noncontrolling interest	6.36	5.45
Other comprehensive income (loss)	13.69	(0.09)
Total comprehensive income	268.60	239.71

The reconciliation of the net assets of the associate to the carrying amounts of the interest in this associate recognized in the consolidated statements of financial position follows (in millions):

	2017	2016
Net assets of associate attributable to controlling shareholders	₱1,593.77	₱1,674.70
Proportionate ownership in net assets (20.98%)	334.38	351.35
Goodwill	24.82	24.82
	₱359.20	₱376.17

On August 13, 2014, the Parent Company's BOD authorized the offer to purchase the shareholdings of Banker's Association of the Philippines (BAP) in PDSHC at a total value of ₱2.25 billion.

On October 7, 2014, the Parent Company and BAP agreed on the indicative terms and conditions for the proposed acquisition by the Parent Company of BAP's 28.90% stake in PDSHC.

On May 2, 2015, the Exchange's stockholders approved the increase in the Exchange's shareholdings in PDSHC to at least two-thirds (2/3) of the total issued and outstanding shares of PDSHC using a PDS equity value of ₱2.25 billion.

On May 27, 2015, the Exchange's BOD authorized the avilment of a clean term loan in the total amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC. The loan includes a 5-year term, with interest rate based on 5-year PDST R-2 on drawdown and can be released on a staggered basis as the need arises.

On July 22, October 27, November 12 and November 16 of 2015, the Exchange has signed Share Purchase Agreements (SPA) with the BAP, Finex Research and Development Foundation, Inc. (FINEX), Whistler Technology Services, Inc. (WTSI) and Insular Investment Corp. for the proposed purchase by the Exchange of 1,807,094 common shares or 28.91%, 192,776 common shares or 3.08%, 500,000 common shares or 8.00% and 192,776 common shares or 3.0844%, respectively.

On January 26, 2016, the Exchange submitted regulatory requirements to SEC.

On March 28, 2016, the Exchange received SEC En Banc Resolution No. 230, series of 2016, denying the application for exemptive relief by the PSE that was required for the acquisition to be completed. On the same date, BOD of PDSHC declared cash dividends in the amount of ₱18.33 per share to all stockholders of record as of December 31, 2015 payable on or before April 20, 2016.

On December 14, 2016, the Exchange is looking for various proposals to bring down the membership to less than 20%.

On June 15, July 6, August 25, September 26, 2017 and November 8, 2017, the Exchange has signed SPAs with the shareholders of PDSHC, such as BAP, WTSI, Investment House of Association of the Philippines and Philippine American Life and General Insurance Co and FINEX, for the newly proposed purchase by the Exchange of 1,466,800 common shares or 23.47%, 500,000 common shares or 8.00%, 36,446 common shares or 0.58%, 250,000 common shares or 4.00%, and 192,776 common shares or 3.08%, respectively.

On September 13, 2017, the Exchange's BOD authorized the obtainment of a one-year loan in the amount of ₱1.15 billion from several banks for the purpose of financing the purchase of shares of stock from stockholders of PDSHC.

On September 28, 2017, BOD of PDSHC declared cash dividends in the amount of ₱56 per share (₱73.44 million) in favor of all shareholders on record as of June 30, 2017 payable on or before October 15, 2017.

On October 5, 2017, the Exchange entered into a loan agreement with Bank of Commerce amounting to ₱1,000.00 million. As at February 28, 2018, the Exchange has not yet made any drawdown to the loan.

On November 30, 2017, the proposed acquisition of PDHSC was deemed approved by the Philippine Competition Commission.

On January 12 and 15, 2018, the Exchange has signed SPAs with San Miguel Corporation and Tata Consulting Services Asia-Pacific Pte. Ltd. for the proposed purchase by the Exchange of 250,000 common shares or 4.00% and 500,000 common shares or 8.00%, respectively (see Note 35).

As at February 28, 2018, the acquisition of PDHSC is still subject to the approval of the SEC.

14. Other Noncurrent Assets

This account consists of:

	2017	2016
Input VAT - noncurrent portion	₱45,497,950	₱51,766,052
Prepaid rent - noncurrent portion	2,020,625	—
Computer software - net	1,862,727	6,949,079
Deposits in bank	688,432	687,051
Other investments	54,106	54,106
Others	—	4,670,904
	₱50,123,840	₱64,127,192

Noncurrent portion of input VAT pertains to deferred VAT that can be claimed as credit against future output VAT from the reporting date without prescription.

Deposits in bank represent the amount deposited by the Parent Company in favor of National Labor Relations Commission (NLRC) in connection with pending labor cases which are still on appeal. Under the Rules of NLRC, the amount may not be withdrawn by the Parent Company until final disposition of the cases.

The movements in computer software account follow:

	2017	2016
Cost:		
Balance at beginning and end of year	₱68,229,080	₱68,229,080
Accumulated amortization:		
Balance at beginning of year	61,280,001	56,205,319
Amortization (Note 21)	5,086,352	5,074,682
Balance at end of year	66,366,353	61,280,001
Net book value	₱1,862,727	₱6,949,079

Other noncurrent assets include the carrying value of investment property carried at cost less accumulated depreciation and impairment loss.

On May 24, 2017, the Exchange and Philippine Realty and Holdings Corporation (PRHC) entered into a memorandum of agreement for the Exchange to sell the condominium units and parking slots. On August 29, 2017, the Exchange and PRHC signed the deed of sale for the condominium units and parking slots of its investment property with carrying value of ₱4.56 million. The total consideration for the sale amounted to ₱272.61 million, resulting to a gain on sale of investment property amounting to ₱252.63 million.

Subsequent to the sale, the Exchange entered into a lease agreement with PRHC for the lease of the portion of the same property and agreed to deduct from the total consideration the advance rental payments amounting to ₱38.92 million (see Notes 11 and 25). As at December 31, 2017, the unamortized portion of prepaid rent amounted to ₱26.27 million (see Note 11).

In 2016, the Parent Company reclassified building, including condominium units and parking slots at the Philippine Stock Exchange Centre in Pasig City donated by ALI and PRHC from "Property and equipment" to "Other noncurrent assets" accounts in the consolidated statement of financial position, as these were held for capital appreciation rather than use in the daily operations, services or administrative work of the Parent Company.

The composition of the investment property in 2016 is as follows:

	Building	Condominium unit	Parking slot	Total
Cost	₱139,542,000	₱5,003,034	₱350,000	₱144,895,034
Accumulated amortization:				
Balance at beginning of year	130,015,289	4,187,207	349,999	134,552,495
Depreciation (Note 21)	5,581,680	200,121	—	5,781,801
Balance at end of year	135,596,969	4,387,328	349,999	140,334,296
	₱3,945,031	₱615,706	₱1	₱4,560,738

15. Accounts Payable and Other Current Liabilities

This account consists of:

	2017	2016
Trade (Note 12)	₱73,261,637	₱37,190,387
Due to SEC	96,835,212	99,776,398
Accrued expenses:		
Legal costs	41,000,000	—
Repairs and maintenance	31,001,971	18,648,800
Occupancy costs	9,448,155	6,191,938
Telecommunication and others	9,226,922	2,593,201
Compensation and other related staff costs	6,728,607	8,135,601
Professional fees	6,192,458	9,646,755
Penalties (Note 18)	1,277,500	1,095,000
Other accrued expenses	13,401,177	9,640,777
Payable to government agencies	10,127,155	8,047,070
Others	15,352,115	5,030,893
	₱313,852,909	₱205,996,820

Trade, accrued expenses, payable to government agencies and others are noninterest-bearing, except for legal costs, and are normally settled within the next financial year.

Due to SEC represents the amount payable for license fees to operate an exchange imposed under Section 35 of the SRC entitled "Additional Fees of Exchanges", which are subsequently billed and collected from active trading participants.

Legal costs include estimates of legal services, settlement amounts and other costs of claims made against the Parent Company.

16. Deferred Fees and Others

This account consists of:

	2017	2016
Listing fees	₱5,476,354	₱68,883,698
Deferred output tax	3,811,784	11,739,156
Data feed fees	11,043,855	14,120,310
Others	321,274	1,735,312
	₱20,653,267	₱96,478,476

Deferred revenue from listing, data feed and others are normally realized within the next financial year.

17. Donated Capital

As at December 31, 2017 and 2016, this account consists of donations from:

	Amount
ALI (Note 12)	₱235,690,154
PRHC (Note 12)	139,542,000
FBDC	211,597,831
	₱586,829,985

On November 12, 2002, the Parent Company and FBDC executed a Definitive Agreement with the following salient terms and conditions: (i) the Parent Company agrees to relocate its headquarters, majority of its management offices and its unified trading operations in equity securities for the National Capital Region (NCR) to the Bonifacio Global City; (ii) Crescent West Development Corporation (CWDC) shall be the corporate vehicle to which FBDC shall contribute the land as additional capital and the shares of which shall eventually be donated to the Parent Company; and (iii) the FBDC and the Parent Company agree to develop the land and construct the building that will house the Parent Company's headquarters, majority of its management offices and its unified trading operations in equity securities for the NCR.

Based on such agreement, all outstanding shares of stocks of CWDC shall be donated by FBDC to the Parent Company on the following dates:

Date of Donation	%/Number of Shares to be Donated
January 7, 2005	14.32% or 5,247,419 shares
January 7, 2006	14.28% or 5,232,762 shares
January 7, 2007	14.28% or 5,232,762 shares
January 7, 2008	14.28% or 5,232,762 shares
January 7, 2009	14.28% or 5,232,762 shares
January 7, 2010	14.28% or 5,232,762 shares
January 7, 2011	14.28% or 5,232,762 shares

Following the Definitive Agreement, on January 7, 2006 and 2005, FBDC executed a Deed of Conditional Donation in favor of the Parent Company, which covers the transfer of 5,232,762 shares and 5,247,419 shares of CWDC, respectively, for ₱10.48 million. Such shares received were classified as other investments under "Other noncurrent assets" account in the consolidated statement of financial position.

In June 2007, the donation of all remaining CWDC shares was deferred pending negotiations among the Parent Company, FBDC and ALI for the joint development, pursuant to a Memorandum of Understanding dated April 26, 2007, of an iconic office building in Bonifacio Global City for the relocation of the Parent Company's headquarters, majority of its management offices and unified trading operations in equities securities for the NCR to the Bonifacio Global City.

On May 3, 2012, the Parent Company, FBDC and ALI executed a Memorandum of Agreement (MOA) for the Parent Company's acquisition of office units in the West Super Block building developed by FBDC and ALI in Bonifacio Global City. Subject to the fulfillment of certain conditions (including regulatory licenses and execution of the necessary agreements), if the Parent Company proceeds with the acquisition of office units in the West Super Block building, then the Definitive Agreement relating to donation of CWDC shares shall be terminated, and FBDC shall buyback the 10,480,181 CWDC shares that were previously donated to the Parent Company.

On May 19, 2015, a contract to sell was entered into between the Parent Company and FBDC for the purchase by the Parent Company of certain office units in the West Super Block building. On June 30, 2015, in line with the provision of the MOA, the Parent Company sold back the FBDC's previously donated 10,480,181 shares of CWDC for ₱52.11 million resulting to a gain amounting to ₱41.63 million.

Further, FBDC agreed to donate a portion of the total purchase price of the office units amounting to ₱235.01 million. Total donation, net of related expenses, received by the Parent Company amounted to nil, ₱96.18 million and ₱115.42 million for the years ended December 31, 2017, 2016 and 2015, respectively, which is presented as "Income from donation" account in the consolidated statements of comprehensive income. Consequently, portion of donated capital pertaining to CWDC shares amounting to ₱10.48 million was reclassified to unappropriated retained earnings.

As at December 31, 2016, the total advances amounting to ₱805.37 million, inclusive of the instalment payments made in 2016 was reclassified to property and equipment since the office units have been substantially completed (see Note 12).

The Parent Company has hired various external consultants to conduct project and construction management and quantity surveying services of the fit-out works in the said office units with total project cost of ₱356.84 million. The fit-out works is expected to be completed in May 2018.

18. Equity

The composition of equity is as follows:

	2017	2016
Common stock - ₱1.00 par value		
Authorized - 120.0 million shares		
Issued - 73,480,413 shares	₱73,480,413	₱73,480,413
Additional paid-in capital in excess of par*	1,072,514,796	1,072,120,935
Subscribed capital stock	8,440,058	7,275,854
Subscription receivable	(3,065,327)	(4,743,192)
	1,151,369,940	1,148,134,010
Treasury stock - 100,005 shares in 2017 and 100,023 shares in 2016	(68,000,005)	(68,000,023)
	₱1,083,369,935	₱1,080,133,987

*Including shares options outstanding amounting to ₱0.39 million and ₱0.48 million in 2017 and 2016, respectively.

The following summarizes the information on the Parent Company's registration of securities under the Securities Regulation Code:

Date of SEC Approval	Authorized Shares	No. of Shares Issued	Issue/Offer Price
August 8, 2001	36,800,000	9,200,008	₱31.16
January 28, 2004	—	6,077,505	120.50
September 10, 2008	—	15,177,499	—
September 12, 2008	61,000,000	—	—
June 9, 2011	—	30,504,363	—
November 14, 2014	22,200,000	12,221,680	—
ESPP:			
2009		49,358	
2010		50,000	
2011		50,000	
2012		49,397	
2014		50,603	
2015		50,000	
	120,000,000	73,480,413	

The Parent Company has total number of shareholders of 281 and 279 as at December 31, 2017 and 2016, respectively.

Retained Earnings

Date of Declaration	Dividends		Record Date	Payment Date
	Per Share	Total Amount		
February 22, 2017	₱7.00	₱513,917,404	March 31, 2017	April 27, 2017
February 24, 2016	7.00	513,796,017	March 30, 2016	April 25, 2016
February 25, 2015	9.00	660,423,465	March 25, 2015	April 16, 2015

On January 24, 2018, BOD of the Exchange declared cash dividends in the amount of ₱9.00 per share in favor of all shareholders on record as of February 8, 2018 payable on or before March 6, 2018 (see Note 35).

Unappropriated retained earnings include the accumulated equity in net earnings of subsidiaries and associate amounting to ₱425.14 million and ₱543.41 million as at December 31, 2017 and 2016, respectively, that is not available for distribution until such time that the Parent Company receives the dividends from the respective subsidiaries and associate. In addition, the retained earnings of the Company is restricted for the payment of dividends to the extent of ₱68.00 million as at December 31, 2017 and 2016, representing the cost of shares held in treasury.

In accordance with SEC Memorandum Circular No. 11 issued in December 2008, the Parent Company's retained earnings available for dividend declaration as of December 31, 2017 and 2016 amounted to ₱1,064.5 million and ₱858.4 million, respectively.

As at December 31, 2017 and 2016, the total appropriated retained earnings of the Parent Company and SCCP is ₱121.00 million. On August 13, 2008, the Parent Company's BOD appropriated ₱68.00 million in connection with its acquisition of treasury shares. In 2007, the Parent Company's BOD appropriated ₱3.00 million to cover potential liability cases filed against the Parent Company, its directors and/or its officers. SCCP restricted retained earnings amounting to ₱50.00 million for the settlement of trade obligations of defaulting clearing members should the clearing and trade guarantee fund not be enough (see Note 33).

Ownership in the Parent Company

The SRC provides that no industry or business group may beneficially own or control, directly or indirectly, more than 20% of the voting rights of the Parent Company. On August 13, 2007, the SEC imposed on the Parent Company a penalty of ₱101,100 plus a daily fine of ₱100 for every day of delay of compliance because the total trading participant ownership in the Parent Company exceeds the allowable limit. Starting March 2009, the daily fine for every day of delay of compliance is ₱500. As at December 31, 2017 and 2016, the total amount of penalty recognized by the Group under "Accounts payable and other current liabilities - accrued expenses" account in the consolidated statements of financial position amounted to ₱1.28 million and ₱1.10 million, respectively (see Note 15).

On October 25, 2017, the BOD approved the stock rights offering (SRO) to stockholders of up to 11.50 million common shares to be issued under terms and conditions as determined by the Exchange. This is part of the compliance plan to align shareholder ownership with the 20% limit set by SRC.

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange will offer 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period will be from March 12 to 16, 2018 (see Note 35).

Capital Management

The Group's objectives when managing capital are (a) to safeguard the Group's ability to continue as a going concern, so that it continues to provide returns for shareholders and benefits for other stakeholders; (b) to support the Group's stability and growth; and (c) to provide capital for the purpose of strengthening the Group's risk management capability.

The Group considers all the components of its total equity as capital.

The Group actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the Group and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected strategic investment opportunities. No changes were made in the objectives, policies or processes as at December 31, 2017 and 2016.

The Group adopts a practice of providing shareholders with regular dividends.

19. Revenues

This account consists:

	2017	2016	2015
Listing-related fees:			
Listing	₱249,801,463	₱324,358,484	₱244,888,767
Listing maintenance	244,114,470	233,508,454	236,991,885
Processing	1,030,000	1,040,000	1,550,000
Service fees (Note 29)	349,707,632	344,553,434	384,180,547
Trading-related fees:			
Transaction (Note 29)	168,732,553	177,625,903	180,129,510
Data feed	89,358,799	80,278,852	71,354,401
Block sales (Note 29)	27,103,721	15,324,021	35,002,255
Subscription (Note 29)	50,142,297	29,960,816	23,383,453
Other revenues (Note 29)	45,527,589	56,636,475	36,725,182
	₱1,225,518,524	₱1,263,286,439	₱1,214,206,000

20. Interest Income

This account consists of interest income from:

	2017	2016	2015
AFS investments (Note 9)	₱24,037,525	₱27,203,042	₱32,059,663
Cash and cash equivalents			
Time deposits (Note 7)	12,457,743	4,522,199	10,739,379
Cash in banks (Note 7)	338,207	140,974	376,142
Financial assets at FVPL	332,854	480,138	396,215
	₱37,166,329	₱32,346,353	₱43,571,399

21. Cost of Services

This account consists of:

	2017	2016	2015
Compensation and other related staff costs (Note 23)	₱87,489,343	₱76,121,171	₱75,164,009
Repairs and maintenance	74,746,407	76,170,052	66,658,785
Depreciation (Notes 12 and 14)	61,963,559	74,327,298	87,749,249
Communication	11,194,779	8,368,492	9,667,688
Amortization of computer software (Note 14)	5,033,532	5,048,271	5,313,104
Others	6,083,902	5,232,251	6,097,283
	₱246,511,522	₱245,267,535	₱250,650,118

22. General and Administrative Expenses

This account consists of:

	2017	2016	2015
Compensation and other related staff costs (Note 23)	₱150,918,739	₱138,599,127	₱144,270,391
Occupancy costs (Note 24)	60,644,216	46,182,398	48,283,420
Professional fees	56,044,951	52,258,485	65,484,085
Depreciation (Notes 12 and 14)	23,701,133	22,154,644	29,962,467
Taxes and licenses	13,443,065	9,668,600	14,050,956
Public relations	7,062,739	6,090,327	7,257,340
Trading participants' development	6,738,846	6,469,753	7,902,304
Repairs and maintenance	4,207,917	3,190,045	4,732,734
Office supplies	3,897,845	3,806,826	4,426,573
Travel and transportation	3,558,764	2,981,756	8,237,935
Market development	3,174,377	1,763,027	3,236,855
Insurance	2,446,407	2,719,672	2,590,109
Communication	1,880,872	4,180,170	1,967,938
Meetings and conferences	1,542,637	1,758,112	1,791,474
Donations and contributions	1,054,500	500,000	500,000
Provision (Note 31)	—	39,860,000	—
Others	6,030,246	5,146,403	6,560,666
	₱346,347,254	₱347,329,345	₱351,255,247

23. Compensation and Other Related Staff Costs

This account consists of:

	2017	2016	2015
Salaries and wages	₱199,318,742	₱180,057,223	₱174,002,814
Pension expense (Note 27)	10,462,602	14,486,365	17,673,609
Other employee benefits	28,626,738	20,176,710	27,757,977
	₱238,408,082	₱214,720,298	₱219,434,400

Other employee benefits include the ESPP expense amounting to ₱0.24 million, ₱0.32 million and nil in 2017, 2016 and 2015, respectively (see Note 32).

24. Occupancy Costs

This account consists of:

	2017	2016	2015
Condominium rent and dues	₱30,060,663	₱15,251,234	₱16,242,620
Utilities	18,757,703	19,973,784	20,764,807
Security and janitorial services	11,825,850	10,957,380	11,275,993
	₱60,644,216	₱46,182,398	₱48,283,420

25. Lease Commitment

Operating Lease Commitment - The Exchange as Lessee

As at August 29, 2017, the Exchange entered into a contract of lease with PRHC covering the lease of condominium units and parking slots on Philippine Stock Exchange Center in Pasig City. This lease has a term of 18 months starting September 1, 2017 to February 28, 2019 which may be pre-terminated under terms and conditions that are mutually agreed upon by the parties.

Furthermore, the Exchange entered into lease agreements covering storage room, colocation space and data recovery site. These contracts are renewed on a yearly basis.

Total rental expense amounted to ₱20.64 million, ₱6.21 million and ₱6.13 million for the year ended December 31, 2017, 2016 and 2015, respectively (see Notes 21, 22 and 24).

Operating Lease Commitments - CMIC as Lessee

In May 2012, the Company entered into a lease agreement for its present office space with Ayala Land, Inc. The lease is for a period of five (5) years commencing on May 2, 2012 with an option to renew, subject to the fulfillment of the conditions specified in the lease agreement and under such terms and conditions as may be mutually acceptable to the lessor and the lessee. The lease agreement provides for escalation of rent at a rate of 5% for the second and third year and 10% for the fourth and fifth year. The lease is accounted for on a straight-line method over the term of the agreement.

The lease agreement contains (1) an advanced rental equivalent to three months' rent amounting to ₱0.40 million which shall be applied for the last three months of the lease, subject to adjustment if rent increases; and (2) a refundable deposit at an amount equivalent to three months' rent or ₱0.40 million which shall be refunded at the end of the lease. This refundable deposit is initially recognized at present value and subsequently carried at amortized cost using the effective interest method

On May 2, 2017, the Company renewed its lease agreement with Ayala Land, Inc. for a period of one (1) year. Total rent expense amounted to ₱4.26 million in 2017 and ₱3.60 million in 2016 and 2015 (see Notes 21, 22 and 24).

26. Income Tax

The provision for income tax consists of:

	2017	2016	2015
Current:			
RCIT	₱203,836,120	₱178,598,345	₱147,301,044
MCIT	263,781	—	—
Final	8,505,363	8,463,599	11,072,666
Deferred	(2,099,487)	(13,157,473)	6,812,454
	₱210,505,777	₱173,904,471	₱165,186,164

The components of the net deferred tax assets are as follows:

	2017			2016		
	PSE	CMIC	Total	PSE	CMIC	Total
Deferred tax assets:						
Provision	₱12,300,000	₱—	₱12,300,000	₱11,958,000	₱—	₱11,958,000
Unamortized past service costs	5,876,443	—	5,876,443	7,459,415	—	7,459,415
Allowance for impairment losses on receivables	910,452	—	910,452	918,180	—	918,180
Pension liability	—	351,873	351,873	—	285,892	285,892
Accrued expenses	—	—	—	—	71,192	71,192
Excess MCIT over RCIT	—	69,575	69,575	—	—	—
Unamortized discount on refundable deposits	—	—	—	—	1,761	1,761
	19,086,895	421,448	19,508,343	20,335,595	358,845	20,694,440
Deferred tax liabilities:						
Pension asset	8,813,380	—	8,813,380	9,257,826	—	9,257,826
Unrealized foreign exchange gains	22,275	—	22,275	641,946	—	641,946
Net unrealized gains on available-for-sale investments	—	—	—	—	251,340	251,340
Deferred lease asset	—	—	—	—	1,739	1,739
	8,835,655	—	8,835,655	9,899,772	253,079	10,152,851
	₱10,251,240	₱421,448	₱10,672,688	₱10,435,823	₱105,766	₱10,541,589

Total movement in net deferred tax asset accounted under OCI for Parent Company and CMIC amounted to ₱1.96 million and ₱6.28 million in 2017 and 2016, respectively.

As at December 31, 2017, the carryforward benefit from the excess of MCIT over RCIT of CMIC that can be claimed as tax credit against RCIT due in the future is as follows:

Year Incurred	Expiry Year	Beginning Balance	Addition	Applied during the year	Ending Balance
2017	2020	₱—	₱69,575	₱—	₱69,575

Optional Standard Deduction (OSD)

Under the OSD method in computing taxable income, corporations may elect a standard deduction in an amount equivalent to 40% of gross income, as provided by law, in lieu of the itemized allowed deductions.

SCCP elected the OSD method in 2017 and 2016, in computing its taxable income.

The availment of the OSD method also affected the recognition of several deferred tax assets and liabilities. Deferred tax assets and liabilities, for which the related income and expense are not considered in determining gross income for income tax purposes, are not recognized. This is because the manner by which the Company expects to recover or settle the underlying assets and liabilities, for which the deferred tax assets and liabilities were initially recognized, would not result to any future tax consequence under the OSD method. Meanwhile, deferred tax assets and liabilities, for which the related income and expense are considered in determining gross income for income tax purposes, are recognized only to the extent of their future tax consequence under OSD method. Hence, the tax base of these deferred tax assets and liabilities is reduced by the 40% allowable deduction provided for under the OSD method.

SCCP's deferred tax asset, which were not recognized due to the use of the OSD method amounted to ₱3.74 million and ₱3.53 million in 2017 and 2016, respectively.

Deferred tax asset in 2014 amounting to ₱5.13 million was derecognized in 2016 as management believes that the future taxable income against which the deferred tax asset can be used may not be available.

The reconciliation between the statutory tax rates and the Group's effective tax rates on income before income tax is as follows:

	2017	2016	2015
Provision for income tax at statutory income tax rate	30.00%	30.00%	30.00%
Adjustments for:			
Nontaxable income	(4.99%)	(4.65%)	(7.13%)
Benefit from using OSD	(3.01%)	(3.60%)	—
Equity in net income of an associate	(1.55%)	(1.69%)	(1.27%)
Income subjected to final tax	(0.25%)	(0.20%)	(0.22%)
Derecognized DTL - unrealized gain AFS	—	(0.0044%)	—
Nondeductible expenses	0.07%	0.0001%	(1.90%)
Effective income tax rate	20.27%	19.87%	19.48%

27. Retirement Plan

The Parent Company has a funded noncontributory defined benefit retirement plan while SCCP and CMIC have unfunded noncontributory defined benefit retirement plans. The benefits are accumulated based on years of service and compensation per year of credited service.

The principal actuarial assumptions used in determining retirement liabilities as at December 31, 2017 and 2016 are shown below:

	Parent Company		SCCP		CMIC	
	2017	2016	2017	2016	2017	2016
Discount rate	5.94%	5.95%	5.77%	5.86%	5.08%	5.86%
Future salary increases	5.00%	5.00%	5.00%	5.00%	5.00%	3.00%

The latest actuarial valuation studies of the retirement plan of the Parent Company and SCCP were made as at December 31, 2017.

The pension expense included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statements of comprehensive income are as follows:

	2017	2016	2015
Current service cost	₱11,498,353	₱14,929,060	₱17,361,217
Net interest cost (income)	(1,035,751)	(442,695)	312,392
	₱10,462,602	₱14,486,365	₱17,673,609

The component of remeasurements of the Parent Company, SCCP and CMIC in the statements of comprehensive income is as follows:

	2017	2016	2015
Remeasurement gains on pension asset/liability	₱7,245,370	₱21,198,310	₱21,660,423
Tax effect	(1,968,386)	(6,280,885)	(6,498,127)
	₱5,276,984	₱14,917,425	₱15,162,296

The Parent Company's share in remeasurement gain (loss) on pension benefits of the associate is ₱2.87 million, (₱0.01 million) and (₱4.46 million) in 2017, 2016 and 2015, respectively.

The pension (asset)/ liability included in the consolidated statements of financial position as at December 31, 2017 and 2016 are as follows:

	2017			2016		
	Parent	SCCP	CMIC	Parent	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Present value of the obligation	₱109,892,509	₱12,469,341	₱1,172,909	₱105,428,560	₱11,762,008	₱952,974
Fair value of plan assets	(142,778,571)	—	—	(140,410,413)	—	—
Effect of asset ceiling	3,508,131	—	—	4,122,437	—	—
	(₱29,377,931)	₱12,469,341	₱1,172,909	(₱30,859,416)	₱11,762,008	₱952,974

Changes in the present value of the consolidated defined benefit obligation are as follows:

	2017			2016		
	Parent	SCCP	CMIC	Parent	SCCP	CMIC
	Pension Asset	Pension Liability	Pension Liability	Pension Asset	Pension Liability	Pension Liability
Balance at beginning of year / period	₱105,428,560	₱11,762,008	₱952,974	₱114,620,463	₱11,552,853	₱—
Current service cost	10,447,899	845,146	205,308	12,698,795	972,934	1,257,331
Interest cost on benefit obligation	6,272,999	689,254	55,844	6,051,960	561,469	69,225
Actual benefits paid	(2,523,870)	(142,985)	—	(3,185,603)	—	—
Actuarial gains arising from:						
Changes in financial assumptions	144,402	164,769	338,276	(21,484,291)	(1,283,416)	(121,910)
Experience adjustments	(9,877,481)	(848,851)	(397,102)	(3,272,764)	(41,832)	(251,672)
Changes in demographic assumptions	—	—	17,609	—	—	—
Balance at end of year / period	₱109,892,509	₱12,469,341	₱1,172,909	₱105,428,560	₱11,762,008	₱952,974

The movements in the fair value of plan assets recognized by the Parent Company follow:

	2017	2016
Balance at beginning of year	₱140,410,413	₱138,248,180
Interest income	8,299,133	7,215,404
Actual benefits paid	(2,523,870)	(3,185,603)
Remeasurement loss	(4,072,599)	(1,867,568)
Contributions	665,494	—
Balance at end of year	₱142,778,571	₱140,410,413

The assets of the Parent Company's retirement plan are being held by a trustee bank pursuant to a trust agreement dated August 10, 2011. The investing decisions of the retirement plan are made by Board of Trustees of the retirement plan.

The following table presents the carrying amounts and estimated fair values of the assets of the retirement plan as at December 31, 2017 and 2016:

	2017		2016	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Cash and cash equivalents	₱16,824,235	₱16,824,235	₱28,543,185	₱28,543,185
Investment in government securities, bonds and other debt instruments	99,948,853	99,948,853	90,615,377	90,615,377
Investment in equity securities	23,124,563	23,124,563	19,719,779	19,719,779
Others	2,880,920	2,880,920	1,532,072	1,532,072
	₱142,778,571	₱142,778,571	₱140,410,413	₱140,410,413

The Parent Company's retirement plans' assets and investments consist of the following:

- Cash and cash equivalents includes regular savings and time deposits.
- Investment in equity securities consists of listed equity securities.
- Investments in government securities, consisting of retail treasury bonds that bear interest ranging from 3.03% to 7.38% in 2017 and 2016 and have maturities from April 2022 to March 2027 in 2017 and March 2021 to October 2037 in 2016; and fixed-income treasury notes that bear interest ranging from 2.13% to 8.75% in 2017 and 2016 with maturities from May 2018 to August 2037 in 2017 and August 2017 to March 2033 in 2016, respectively.
- Investments in debt and other securities consist of long-term corporate bonds, which bear interest ranging from 4.00% to 6.15% in 2017 and 4.15% to 6.15% in 2016 and have maturities from May 2020 to April 2025 in 2017 and May 2020 to April 2025 in 2016.
- Other financial assets held by the retirement plan are primarily accrued interest income on cash deposits and debt securities and dividend receivables.

As at December 31, 2017 and 2016, the sensitivity analysis below has been determined by remeasuring the defined benefit obligation at the reporting date after first adjusting one of the current assumptions that was reasonably possible at the valuation date while all other assumptions remained unchanged. It should be noted that the changes assumed to be reasonably possible at the valuation date are open to subjectivity, and do not consider more complex scenarios in which changes other than those assumed may be deemed to be more reasonable.

	Increase (Decrease) in Basis Points	Increase (Decrease) in Defined Benefits Obligation	
		2017	2016
Discount rate	100	(₱15,062,844)	(₱5,713,789)
	(100)	18,064,481	6,325,918
Future salary increases	100	16,733,042	5,497,623
	(100)	(14,295,902)	(5,089,443)

To efficiently manage the retirement plan, the Parent Company ensures that the investment positions are managed in accordance with its asset-liability matching strategy to achieve that long-term investments are in line with the obligations under the retirement scheme. This strategy aims to match the plan assets to the retirement obligations by investing in long-term fixed interest securities (i.e.,

government or corporate bonds) with maturities that match the benefit payments as these fall due and in the appropriate currency. The Parent Company actively monitors how the duration and expected yield of the investments are matching the expected cash outflows arising from the retirement obligations. In view of this, investments are made in reasonably diversified portfolio, such that the failure of any single investment would not have a material impact on the overall level of assets.

A large portion of the plan assets as at December 31, 2017 and 2016 consists of equity and debt securities, although the Parent Company also invests in cash and cash equivalents. The Parent Company believes that debt securities offer the best returns over long-term with an acceptable level of risk. The majority of debt securities are in government securities which have relatively low risk.

There has been no change in the Parent Company's strategies to manage its risks from previous periods.

On the other hand, SCCP and CMIC do not have an established retirement fund and only conforms to the minimum regulatory benefit under the Retirement Pay Law (Republic Act No. 7641) which is of the defined benefit type and provides a retirement benefit equal to 22.5 days pay for every year of credited service. Benefit claims under the retirement obligation are paid directly by the Company when these become due.

The maturity profile of undiscounted expected benefit payments from the plan for the next 10 years follows as at December 31, 2017 and 2016:

	2017	2016
More than one year to five years	₱28,836,960	₱34,756,179
More than five years to 10 years	29,262,032	17,144,407
	₱58,098,992	₱51,900,586

The weighted average duration of the defined benefit obligations at the end of the reporting date are 13.2 years, 14.9 years and 13.6 years for the Parent Company, SCCP and CMIC, respectively.

28. Basic/Diluted Earnings Per Share (EPS)

Basic EPS are calculated by dividing the net income for the year attributable to ordinary equity holders of the Parent Company by the weighted average number of ordinary shares outstanding during the year.

Diluted EPS amounts are calculated by dividing the net income attributable to ordinary equity holders of the Parent Company by weighted average number of ordinary shares outstanding during the year plus the weighted average number of ordinary shares that would be issued on conversion of all the dilutive potential ordinary shares into ordinary shares.

The following reflects the diluted EPS computations:

	2017	2016	2015
(a) Net income	₱828,085,490	₱701,541,398	₱682,808,883
(b) Weighted average number of shares - basic	73,380,390	73,380,390	73,380,390
Weighted average number of shares outstanding under the stock option plan	134,296	108,688	—
(c) Adjusted weighted average shares - diluted	73,514,686	73,489,078	73,380,390
EPS:			
Basic (a/b)	₱11.28	₱9.56	₱9.31
Diluted (a/c)	11.26	9.55	9.31

29. Related Party Transactions

Parties are considered to be related if one party has the ability, directly or indirectly, to control the other party or exercise significant influence over the other party in making financial and operating decisions. Parties are also considered to be related if they are subject to common control. Related parties may be individuals or corporate entities. Related parties include trading participants that are stockholders of the Group.

The Group, in its normal course of business, has transactions with related parties.

The details of transactions with related parties are as follows:

Category	Year	Amount/ Volume of Transactions	Outstanding Receivables	Terms	Conditions
Stockholders					
Trading participants -					
Revenues					
Trading-related fees (Note 10):					
Transaction	2017	₱168,732,553	₱11,507,812	Collectible monthly through	Unsecured;
	2016	177,625,903	11,721,353	cash, noninterest-	no impairment
	2015	180,129,510	19,499,626	bearing	
Block sales	2017	27,103,721	1,803,034	Collectible monthly through	Unsecured;
	2016	15,324,021	1,082,230	cash, noninterest-	no impairment
	2015	35,002,255	7,219,004	bearing	
Subscription	2017	50,142,297	-	Collectible monthly through	Unsecured;
	2016	29,960,816	-	cash, noninterest-	no impairment
	2015	23,383,453	-	bearing	
Service fees	2017	349,707,632	27,262,237	Collectible monthly through	Unsecured;
	2016	344,553,434	26,172,888	cash, noninterest-	no impairment
	2015	384,180,547	27,179,283	bearing	
Other revenues	2017	37,739,419	16,441,615	Collectible monthly through	Unsecured;
	2016	45,247,167	16,393,688	cash, noninterest-	no impairment
	2015	33,040,626	10,455,304	bearing	

The receivable from trading participants included in the consolidated statements of financial position are net of allowance for impairment losses of ₱0.32 million as at December 31, 2017 and 2016, respectively.

Other revenues include trading participants' maintenance fee, recoveries from printing of data transaction report, penalty on trading floor, cancellation of matched orders, and other fees.

Compensation of key management personnel (covering officer positions starting from Assistant Vice President and up) included under "Compensation and other related staff costs" account under "Cost of services" and "General and administrative expenses" in the consolidated statement of comprehensive income is as follows:

	2017	2016	2015
Short-term employee benefits	₱70,517,094	₱52,531,345	₱61,793,815
Post-employment pension and medical benefits	1,028,185	244,238	927,779
Employee stock purchase plan (Notes 23 and 32)	51,168	242,435	-
	₱71,596,447	₱53,018,018	₱62,721,594

Short-term employee benefits include salaries, paid annual leave, vacation and sick leave, profit sharing and bonuses, and non-monetary benefits.

30. Operating Segment

The Group has one reportable business segment which is the equity securities market. The equity securities market provides trading, clearing, depository and information services for the equity market. The Group also has one geographical segment and derives all its revenues from domestic operations. The financial information about the sole business segment is presented in the consolidated financial statements.

The management, the chief operating decision maker of the Group, monitors the operating results of its business segment for the purpose of making decisions about resource allocation and performance assessment. The segment performance is evaluated based on operating profit or loss and is measured consistently with the income before income tax in the consolidated financial statements.

31. Provision and Contingencies

Parent Company

Provision

As at December 31, 2016, the Parent Company is a party to legal proceedings, the outcome of which are not presently determinable. Provision recognized under "General and administrative" account in the 2016 consolidated statement of comprehensive income amounted to ₱39.86 million (see Note 22).

These include estimates of legal services, settlement amounts and other costs of claims made against the Parent Company. Other information on the claims are not disclosed as at December 31, 2016 as this may prejudice the Parent Company's position on such claims.

On January 25, 2017, the Parent Company filed a motion for reconsideration and received the respondents' comment on June 15, 2017. In a resolution dated December 13, 2017, the Supreme Court denied the Parent Company's reconsideration with finality. The provision amounting to ₱41.00 million as at December 31, 2017 was reclassified to "Accounts payable and other current liabilities" account in the 2017 statement of financial position.

Contingencies

In February 2017, the Parent Company appointed a financial adviser for the acquisition of the shares of PDSHC until December 31, 2017. The fee is payable only upon the closing of the transaction between the Parent Company and PDSHC. As at February 28, 2018, the transaction is not yet closed as the acquisition of PDSHC has not yet been approved by the SEC.

SCCP

The SCCP, as the central counterparty to stock exchange transactions, has contingent liabilities pertaining to outstanding trades as at December 31, 2017 and 2016. Details of stock exchange transactions outstanding as at reporting dates are as follows:

	2017	2016
Value of shares not yet delivered (net selling)	₱10,726,045,500	₱6,184,416,185
Amount of purchases unpaid (due clearing)	4,111,108,419	2,659,830,943
	₱14,837,153,919	₱8,844,247,128

All transactions outstanding as at December 31, 2017 and 2016 were subsequently settled in January 2018 and 2017, respectively. Accordingly, no failed trades occurred from these transactions.

32. Employee Stock Purchase Plan

On March 25, 2015 and May 2, 2015, the Parent Company's BOD and at least two thirds of the stockholders of the Parent Company approved to offer 150,000 ESPP shares for 3 years.

On December 23, 2015, the Parent Company submitted a request from SEC to be exempted from the registration requirements of the SRC. The Parent Company received the reply from the SEC stating that the Commission, in its meeting on January 21, 2016, ruled that the proposed ESPP is exempt from registration requirements of the SRC on January 26, 2016. Also, such approval commences the effectivity date of ESPP.

On February 16, 2016, the initial offering of ESPP was announced with the following terms and conditions:

- a. the number of shares allotted for the offering is 150,000 shares or about 0.20% of the outstanding capital stock of the Parent Company. Each offering shall consist of 50,000 shares;
- b. the program shall be administered by a five-member ESPP Committee headed by the President and CEO of the Parent Company, the Corporate Governance & Compliance Officer, the Chief Operating Officer of the Parent Company, the General Counsel of the Parent Company, and the Chief Operating Officer of SCCP. The Secretariat of the ESPP Committee will be led by the Head of the Human Resources & Administration Division of the Parent Company;
- c. all regular employees, who are not under any suspension of the Parent Company and of the SCCP with at least one year of service shall be eligible for the ESPP;
- d. offer date shall be quarterly for a period commencing on the quarter immediately after the SEC approval is obtained until the 4th quarter of 2017. Any unavailed portion of the ESPP shares offered to the employees within any year shall be reallocated to the immediately succeeding year;
- e. offer price shall be fixed based on the Volume Weighted Average Price (VWAP) of the Parent Company shares for the month preceding the offer date less a discount of ten percent (10%). Payment terms will be through monthly salary deduction over a period of twenty four (24) months subject to salary deduction over a period of twenty four (24) months subject to payroll guidelines on net take home pay;
- f. a mandatory holding period of two (2) years from the date of subscription shall be implemented;
- g. if an employee who availed of the ESPP shares resigns within the mandatory holding period, then the Parent Company will reimburse the resigned employee for any and all contributions paid as of the latest payroll cutoff; and
- h. in case an employee dies pending completion of the full payment over the 24-month period, any remaining unpaid balance will be considered by the Parent Company as fully paid.

The movement in the number of ESPP shares is as follows:

Total number of shares granted in 2015	150,000
Availed shares in:	
2016	(31,437)
2017	(13,859)
Forfeited shares in 2017	(8,000)
<u>Outstanding as at December 31, 2017</u>	<u>96,704</u>

Total additional paid-in capital and employee benefit expense arising from ESPP amounted to ₱0.39 million, ₱0.48 million and nil in 2017, 2016 and 2015, respectively.

In 2017, 8,000 shares from ESPP purchases with a subscription price amounting to ₱1.81 million were forfeited.

The range of exercise prices for the options granted during the year was ₱211.72 to ₱216.48.

The range of fair value of services during the year, based on the Exchange's daily stock quotation, was ₱239 to ₱242.

33. Clearing and Trade Guaranty Fund (CTGF)

The CTGF is a risk management tool designed to protect the market against the settlement risks of trading participants. Each active trading participant's monthly contribution is equivalent to 1/500 of 1% of the members' trade value, net of block sales and cross transactions of the same flag.

The CTGF was presented off balance sheet and is not included within the noncurrent assets and noncurrent liabilities in the consolidated statement of financial position since these are not assets and liabilities of SCCP. This presentation is to better reflect the clearing members' contribution as trust monies and does not result in a change in net assets of SCCP.

The CTGF consists of:

	2017	2016
Principal contributions from:		
Trading participants:		
Balance at beginning of year	₱584,109,238	₱527,584,091
Contributions	61,628,874	56,525,147
Balance at end of year	645,738,112	584,109,238
The Parent Company	80,000,000	80,000,000
	<u>725,738,112</u>	<u>664,109,238</u>
Accumulated income:		
Balance at beginning of year	325,958,647	298,616,685
Interest income - net of management fee of ₱1.07 million and ₱0.98 million in 2017 and 2016, respectively	29,209,269	27,341,962
Balance at end of year	355,167,916	325,958,647
Net unrealized loss on AFS investments	(16,134,397)	(8,552,458)
	<u>339,033,519</u>	<u>317,406,189</u>
	<u>₱1,064,771,631</u>	<u>₱981,515,427</u>

Contributions

In order for the SCCP to effectively implement its Fails Management function, the CTGF must be adequate to cover any unsettled trade by any member on any settlement day. Fails Management aims to settle a failed trade due to nonpayment of cash and/or nondelivery of securities by clearing members. In this regard, the Group through SCCP continuously builds up the CTGF through the monthly contributions collected from the clearing members and collection of initial contributions from new and returning clearing members.

On September 25, 2001, the SCCP's Board resolved to approve the return of the principal amount without interest, of the contributions made by members to the CTGF in case of (1) liquidation of the CTGF, in which case the contribution shall be returned to members as of the date of liquidation, and/or (2) cessation of membership in the Corporation, whether by sale of seat or otherwise.

On January 28, 2003, the SCCP's BOD approved the amendment of its rules on CTGF providing for the non-refundability of all CTGF contributions to its clearing members. On April 26, 2007, the SCCP's BOD approved the full refund of CTGF contributions upon cessation of trading operations of a clearing member and upon termination of its membership with the SCCP, at the same time that it approved an increase in the rate of CTGF contribution to be collected from each clearing member. The SEC subsequently approved the rate increase in July 2007.

While awaiting approval by the SEC of the refundability of the contributions, on November 3, 2009, the SCCP's BOD approved to postpone the implementation thereof until such time that SCCP is able to implement other measures to augment the Clearing Fund. The SCCP's President formally notified the SEC of such decision of the BOD on November 12, 2009.

During its regular meeting held on March 15, 2017, the SCCP Board approved the refund of the contributions to the members upon cessation of business operations by the Clearing Member and/or upon termination of membership with the Corporation, provided that all liabilities of such Clearing Member at the time of termination, whether actual or contingent, shall have been satisfied or paid in full, (taking into account any pending and previous applications of the Clearing Fund at the time of such termination), subject to the approval of the SEC.

In April 2017, the SCCP submitted to the SEC the revisions to its Rules and Operating Procedures. The revisions relate to the refundability of the contributions to CTGF. As at February 28, 2018, SEC has not yet approved the revisions to SCCP's Rules and Operating Procedures.

Assets of CTGF

The assets of the CTGF consist of:

	2017	2016
Cash in banks	₱10,012,184	₱25,606,652
Accounts receivable	3,602,110	3,714,101
Accrued interest receivable	8,967,965	9,509,966
AFS investments - debt securities:		
Principal amount	1,050,079,600	937,098,600
Net unamortized premium	9,310,006	15,121,064
Net unrealized loss on AFS investments	(16,134,397)	(8,552,458)
	1,065,837,468	982,497,925
Less accrued management fees	1,065,837	982,498
	₱1,064,771,631	₱981,515,427

Under the SCCP's rules, the CTGF may only be invested in the following:

- Securities issued or guaranteed by the Republic of the Philippines; and
- Such other investments as the SCCP's BOD may approve, taking into consideration the liquidity requirements of the clearing fund.

As at December 31, 2017, AFS investments with face value of ₱196.17 million will mature within one year from reporting date.

Net unrealized loss from CTGF investments held as AFS follows:

	2017	2016
Balance at beginning of year	(₱8,552,458)	(₱9,561,764)
Change in fair value	(7,581,939)	1,009,306
Balance at end of year	(₱16,134,397)	(₱8,552,458)

For the management and administration of CTGF, the SCCP is entitled to a management fee computed at 0.1% of CTGF fund level as at the close of year. Management fee amounting to ₱1.07 million and ₱0.98 million in 2017 and 2016, respectively, is included under "Other revenues" account in the consolidated statements of comprehensive income.

Any proceeds from the CTGF shall not be used for any purpose other than for:

- Payment of the net money obligations of a defaulting buying member in order to settle a failed trade;
- Buy-in of relevant securities due from a defaulting selling member in order to settle a failed trade;
- The satisfaction of losses, liabilities and expenses of the SCCP incidental to the operation of its clearing and settlement functions and the management of the CTGF;
- For use as collateral in securing credit facilities from the Settlement Banks for the purpose of settling a Failed Trade;
- For use as collateral in borrowing securities through the Securities Borrowing and Lending Facility; and
- Payment of premium on any insurance policy taken for the CTGF.

34. Notes to the Statement of Cash Flows

Changes in liabilities arising from financing activities are as follows:

	January 1, 2017	Cash flows	Other (Note 18)	December 31, 2017
Dividends payable	₱—	(₱513,917,404)	₱513,917,404	₱—

Other includes cash dividends declared during the year. The Company classifies interest paid as cash flows from operating activities.

There were no noncash transactions under financing activities in 2017, 2016 and 2015.

The principal noncash transaction under investing activities pertain to acquisition of property and equipment on account amounting to ₱49.98 million and ₱21.27 million in 2017 and 2016, respectively (see Note 12).

35. Events after the Reporting Period

Additional Share Purchase Agreement

On January 12 and 15, 2018, the Exchange signed SPAs with shareholders of PDSHC, namely San Miguel Corporation and Tata Consulting Services Asia-Pacific Pte. Ltd., for the proposed purchase by the Exchange of 250,000 common shares or 4.00% and 500,000 common shares or 8.00%, respectively. As at February 28, 2018, these acquisitions, together with other SPAs as discussed in Note 13, are still subject to the approval of SEC.

Dividend Declaration

On January 24, 2018, BOD of the Exchange declared cash dividends in the amount of ₱9.00 per share in favor of all shareholders on record as of February 8, 2018, payable on or before March 6, 2018.

Pricing of the SRO

On February 23, 2018, the price of the Exchange's SRO was determined. The Exchange will offer 11,500,000 shares to eligible stockholders of record as of March 1, 2018 at ₱252.00 per rights share. The offer period will be from March 12 to 16, 2018.

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AS OF MARCH 2018

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YOUR
FEEDBACK
MATTERS

Please send the
accomplished form to:

The Philippine Stock
Exchange, Inc.
PSE Tower
5th Ave cor 28th St.
Bonifacio Global City
Taguig City, Philippines

You may also email your
comments and
suggestions to
pird@pse.com.ph or fax to
(63-2) 876-4558

Name:

Company:

Email:

AUDIENCE:

I'm primarily interested in the Philippine Stock Exchange, Inc. as a:

- ☐ PSE shareholder
- ☐ PSE employee
- ☐ Trading Participant
- ☐ Media representative
- If others, please specify:

CONTENT:

The figures and narrative are easy to read and understand

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

COVERAGE:

The report effectively communicates the 2017 performance of the PSE.

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

DESIGN & LAYOUT:

The images, photos, design and layout are visually attractive, relevant, and consistent with the theme of the Annual Report.

- ☐ Strongly Agree
- ☐ Agree
- ☐ Neutral
- ☐ Disagree
- ☐ Strongly Disagree

OVERALL RATING:

On a scale of 1 to 5, with 5 being the highest rating, assess the overall design, relevance, and readability of the 2017 PSE Annual Report.

1

2

3

4

5

☐☐☐☐☐

PARTS OF THE REPORT:

Rate each of the following parts of the 2017 PSE Annual Report on a scale of 1 to 5, with 5 being the highest rating in terms of presentation and effectiveness/clarity.

- ___ Message of the Chairman & the President
- ___ Corporate Governance
- ___ Stock Market Performance
- ___ Operational Highlights
- ___ Table of Listed Companies & Issues
- ___ Gallery of Directors & Officers
- ___ Financial Statements & Documents
- ___ Active Trading Participants Directory

CORPORATE INFORMATION

ANNUAL MEETING

The annual meeting of shareholders will be held on Saturday, May 5, 2018, 8:00 a.m. at Pavilions A & B, Wack-Wack Golf and Country Club, Wack-Wack Road, Mandaluyong City, Metro Manila.

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